ANNUAL **REPORT**
2017

Bangladesh Infrastructure Finance Fund Limited

BIFFL

With You, For the Change

STRATEGIC FOCUS

MISSION

- To perform as a professional Financial Institution by adapting internationally accepted best practices and maintaining highest level of moral and ethical standards.
- To promote country's economic development by facilitating and encouraging Private Sector Investment in infrastructure projects.
- To supplement Government's efforts of achieving Vision 2021 and SDG 2030 through investment in infrastructure as well as sustainable development projects.

VISION

Acceleration of economic growth by leveraging the relative strengths of the Public and Private Sector in financing infrastructure and sustainable development projects.

GOAL

- To provide long-term finance to critically important infrastructure and sustainable development projects.
- To catalyze co-financing from private financial sources.
- To develop and use innovative financing instruments that cater to the varying needs of infrastructure sector.
- To provide a unique vehicle for capital market development by exploring a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle.

OBJECTIVES

- To promote, encourage and finance Private Sector investment in infrastructure sectors.
- To extend financing facilities for infrastructure projects in the form of debt and equity.
- To attract private investment in long-term infrastructure projects by overcoming the asset liability mismatch of existing bank finance.
- To create funds, sub-funds, including Islamic Funds, and any other type of funds as deemed appropriate by the company to support infrastructure development.

STRATEGIC PRIORITIES

- To finance, monitor and implement infrastructure and sustainable development projects.
- To focus on recruitment and retention of skilled, honest, creative and talented work force.
- To ensure transparency, accountability, fairness in operation and zero tolerance in corruption and sexual harassment.
- To maximize shareholders' equity by maintaining asset quality with balanced and sustainable growth.
- To enhance brand image through excellent customer service, CSR activities and finance in Green & Energy Efficient projects.
- To increase in paid-up capital and paying dividend to the shareholders.

MILESTONES

Date	Achievements
31 January 2018	Awarded Certificate of Merit for Best Presented Annual Report 2016 by SAFA
10 January 2018	First disbursement was made to Extra Jose Fashion & Marketing under Women Entrepreneur Development Unit
13 December 2017	PPG formulation and approval of Women Entrepreneur Development Unit by the Board of Directors
25 November 2017	BIFFL Green Convention & Expo 2017, second initiative to promote green financing in November 2017
25 November 2017	Received 17th ICAB National Award (3rd position) for Best presented Annual Report-2016 (Public Sector category)
8 November 2017	Awarded 2nd largest tax payer under non-bank financial institutions category
25 October 2017	Signing of 'Letter of Collaboration (LoC)' with Future Carbon Energy Services (FCES) for inclusion of BIFFL financed green brick projects in Clean Development Mechanism (CDM under United Nations Framework Convention on Climate Change (UNFCCC)
20 June 2017	Dividend Cheque of BDT 64 crore handed over to Hon'ble Finance Minister for FY-2016
13 June 2017	Financial closure for Asim Auto Bricks Ltd., 2nd syndication closure by BIFFL
27 April 2017	BIFFL Green Brick Workshop, first ever event organized by BIFFL for the Banking Officials. A total of 23 Officials from 8 banks, 5 NBFIs and other stakeholders participated in the workshop
24 May 2017	First two NOCs received from SREDA which marked the effective start of Energy Efficiency and Conservation Promotion Financing Project, funded by JICA
9 May 2017	Financial closure for Dharmapur Ceramic Industries Ltd., first ever syndication closure by BIFFL
14 January 2017	Approval of Term Loan of BDT 100 crore to Bangladesh Economic Zone Authority for the largest Economic Zone in Bangladesh- Mirershorai Economic Zone 5-year Strategic Investment Plan of BIFFL was approved by the Board in its 47th meeting
12 January 2017	Became Lead arranger for raising Fund for Odyssey Craft Ltd. – a state of the art green factory, facilitated by refinancing from JICA
03 November 2016	MOU signed by BIFFL with PPP authority for BIFFL to be selected as an enlisted company for financing in PPP projects

Date	Achievements
18 October 2016	Achieving Milestone of disbursement of first BDT 10 billion in infrastructure projects in Bangladesh
18 April 2016	For the 1st time investment in Equity Finance through Preference Share for BDT 45 crore to Summit Group in Power & Electricity based infrastructure project
21 March 2016	Formation of Women Entrepreneur Development Unit (WEDU) approved by MANCOM for financing in projects run by women entrepreneurs
08 February 2016	1st time Disbursement of BDT 40 Crore in the form of Commercial Paper to Max Infrastructure Ltd
19 October 2015	First disbursement was made to an Economic Zone (Sreehatta Economic Zone)
01 June 2015	Mr. S.M. Formanul Islam joined as the second full-time Executive Director & CEO of BIFFL
02 March 2015	First disbursement was made to a Brick Project (ARB Enterprise)
06 August 2014	First disbursement was made to a Power Project (Sinha People's Energy Limited)
03 June 2014	BIFFL signed participation agreement with Bangladesh Bank to participate in Financing Brick Kiln Efficiency Improvement Project
10 October 2013	BIFFL signed participation agreement with Bangladesh Bank to participate in the Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector
25 June 2012	The Ministry of Finance nominated the dignitaries for the formation of an 11-member Advisory Board of BIFFL
01 February 2012	Mr. Md. Atiquzzaman joined as the first full-time Executive Director & CEO of BIFFL
16 October 2011	Obtained license from Bangladesh Bank
20 April 2011	The first meeting of Board of Directors held at the Finance Division, Ministry of Finance, Bangladesh Secretariat
12 April 2011	The Ministry of Finance approved the formation of the 8-member Board of Directors for BIFFL
11 March 2011	Incorporation of the company with the highest paid-up capital in the business history of the country (BDT 16.00 billion/USD 200 million)
29 July 2010	Cabinet meeting of the govt. approved the formation of BIFFL, its Memorandum of Association and Articles of Association

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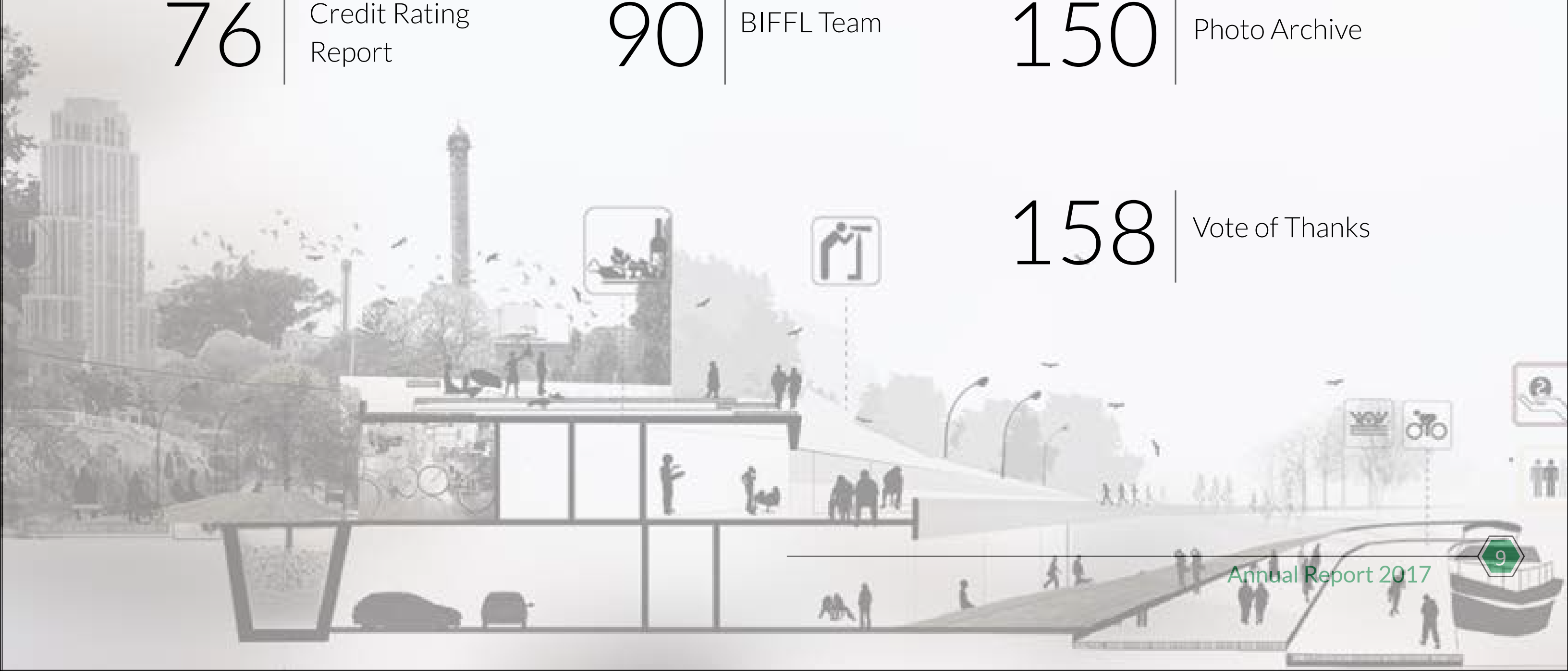


CORE VALUES

I. Professional excellence

- We provide quick and accurate services to the customers.
- We handle each work in a professional manner.

2. Integrity

- Integrity and ethics are the hallmarks of our business operation.
- We strictly maintain zero tolerance on corruption.

3. Transparency

- We focus on the highest level of transparency while providing accurate and timely information about our products, performance, and financial results to meet the expectations of the stakeholders.

4. People

- We support our colleagues and invest in their development to help them realize their full potential.
- We recognize and reward outstanding performance.

5. Customer

- We listen to our customers and understand their needs.
- We build enduring relationship with our customers by delivering superior products and quality services.

6. Concerted effort

- We work together to deliver excellent performance, taking responsibility, holding ourselves accountable, and respecting the contribution of others.
- We communicate effectively & efficiently and give each other the space to do the job.

7. Prudent risk taker

- We manage investment risk prudently.

8. Effectiveness

- We actively invest in infrastructure, process improvement in skills to lower our delivery costs.
- We do the things right at the first time, on time, and every time.

9. Focus on sustainability

- While considering a project we attach high importance on its social and environmental impact to make the project sustainable in the long run.

I 0. Building the future

- We believe in real and sustainable benefit.
- We support green to protect the environment & the interest of our next genaretion
- We keep building a family with our employees, shareholders, customers, and communities.

11. Quality

- We strive to exceed expectation.
- We do not compromise with our service standard.

12. Accountable citizen

- We are tax compliant.
- We are respectful to the laws of the land as well as the rules of our society.

Ethical values are based on our corporate norms & culture; and it expresses basic ethical code, attitudes, and rules that the employees follow in their work. We maintain solid and clearly defined corporate culture. It is the system of behaving with each other, coordinating, and teamwork in all circumstances.

	Equality	Transparency	Respect	Liberty	Belief
Colleague	• No discrimination on the grounds of religion, sex and race. • Practices respect and care towards employees at all time. • No nepotism in recruitment, promotion, training and incentive policies.	• Sharing knowledge to enhance company's value. • Ensure transparent in career path.	• Listen and pay attention to the employees, respecting their values, feeling and moral stance. • Never use any undue pressure or offend someone.	• Create proper environment for freedom of dissent and freedom of as expression. • Offer everybody the chance to practice the value of leadership and develop his/her own professional personality.	• Keep our commitment admitting the possibility of mistakes made in good faith.
Customers	• Strive for excellent customer service at all times. • Pay appropriate attention to each of our customers.	• Ensure timely information on products and services at all times.	• Maintain confidentiality on any information acquired in relation to customer the company and its decisions.	• Handle interpersonal relation in fre and equal terms without being in awe of those who are stronger and without showing arrogance towards those who are weaker.	• Build up confidence through behaviors that constantly confirm our reputation and relationship.
Investors	• Pay appropriate attention to the investors without discrimination.	• Aim to be clear complete and timely. • Use most effective communication channel for investors. • Turn market communication into an economic and culture value.	• Behave with investors in line with corporate values and professional ethics.	• Achieve freedom of action such that we can keep the promises we make to the market without undue influences.	• Develop lasting and continues relationship with the financial community. • Safeguard our consistency and credibility. • Willingly accept and criticism expressed by the market.
Communities	• Maintain sustainable relationship with the stakeholders in order to protect our environment.	• Keep the community informed of what we do and how we do it.	• Promote growth which is environmentally and socially sustainable.	• Respect individual moral codes and culture.	• Establish social and cultural relations with communities, whose distinctive features should be reciprocal.

Code of Conduct

The code of conduct sets the principles for the stakeholders- Member of the Board of Directors and its committees, employees of all levels and categories of banks and Non-Bank Financial Institutions (NBFIs), business partners and service providers and receivers to and from banks and NBFIs to keep uphold and promote the interest of BIFFL.

Recently, BIFFL has adopted the code of conduct as circulated by Bangladesh Bank through DFIM Circular no.-04 dated 12 December 2017 and instructed to comply with all the provisions of the code of conduct.

BIFFL employees should strictly adhere to the following:

- Display the highest standards of professionalism and commitment to ethics and integrity in all of their conducts;
- Behave in such a manner that will enrich the image, dignity and reputation of the Company;
- Discharge duties efficiently and faithfully;
- Refrain from disclosing the confidential and sensitive information of the Company.

Awards and Recognitions

Achievement works as an inspiration for us to reach the summit of success. It is a reflection of our professionalism, ethical practices, true compliance and great team work. Recent notworthy achievements of BIFFL as a compliant organisation are:

2nd largest Tax Payer Recognition Award for the assessment year 2016-2017 under Non-Bank Financial Institutions Category by the National Board of Revenue.

17th ICAB National Award for Best Presented Annual Reports 2016 under Public Sector (Third Prize).

Certificate of Merit- Best Presented Annual Report Awards and SAARC Anniversary Awards for Corporate Governance Disclosures, 2016 under Public Sector Entities by SAFA.

Corporate information

BOARD OF DIRECTORS

Chairman

Mr. Mohammad Muslim Chowdhury
Secretary in Charge, Finance Division, Ministry of Finance

Directors

Khandker Anwarul Islam
Senior Secretary, Bridges Division,
Ministry of Road Transport and Bridges

Mr. Nazimuddin Chowdhury
Secretary, Energy & Mineral Resource Division,
Ministry of Power, Energy and Mineral Resources

Dr. Ahmad Kaikaus
Secretary, Power Division,
Ministry of Power, Energy and Mineral Resources

Kazi Shofiqul Azam
Secretary, Economic Relations Division,
Ministry of Finance

Mr. Md. Nazrul Islam
Secretary, Road Transport and Highways Division,
Ministry of Road Transport and Bridges

Mr. Sajjadul Hassan
Secretary in Charge, Prime Minister's Office

Mr. Md. Ekhlasur Rahman
Additional Secretary, Finance Division,
Ministry of Finance

Mr. S.M. Formanul Islam
Executive Director and CEO, BIFFL

CHIEF EXECUTIVE OFFICER

Mr. S.M. Formanul Islam

COMPANY SECRETARY

Mr. Mohammad Khan, FCS

EXECUTIVE COMMITTEE

Chairman

Khandker Anwarul Islam

Members

Dr. Ahmad Kaikaus
Mr. Md. Ekhlasur Rahman
Mr. S.M. Formanul Islam

Secretary

Mr. Mohammad Khan, FCS

AUDIT COMMITTEE

Chairman

Dr. Ahmad Kaikaus

Members

Mr. Nazimuddin Chowdhury
Mr. Md. Ekhlasur Rahman

Secretary

Mr. Mohammad Khan, FCS

REGISTERED OFFICE

4, Anjuman Mufidul Islam Road,
Kakrail, Dhaka-1000.
PABX: +880-2-8333238-9
FAX: +880-2-9348518

INCORPORATION

Company Registration No-C91370/11
March 21, 2011

LECENSED BY BANGLADESH BANK

October 16, 2011
DFIM (L)-32

SHARE CAPITAL

Authorized Capital: BDT 10,000 Crore
Paid-up Capital: BDT 2,059 Crore
Value per Share: BDT 100 each

SPONSOR

The Finance Division, Ministry of Finance
Government of Bangladesh

WEBSITE

www.biffl.org.bd

AUDITORS

M/s. Syful Shamsul Alam & Co.
Chartered Accountants
Paramount Heights (Level 6) 65/2/1 Box Culvert Road,
Purana Paltan, Dhaka – 1000, Bangladesh.

ADVISORY BOARD

Advisory Board, the apex body of BIFFL, provides strategic policies and guidelines as well as monitors the performance with a view to updating and implementing the Company and Government's Goals for infrastructure development of the country. The Advisory Board comprises the following nine (9) members:

Chairman

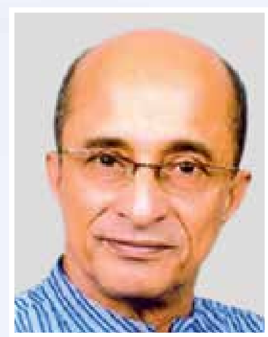
Mr. Abul Maal A. Muhith, MP
The Honorable Minister
Ministry of Finance

Members:

Mr. Amir Hossain Amu, MP
The Honorable Minister
Ministry of Industries

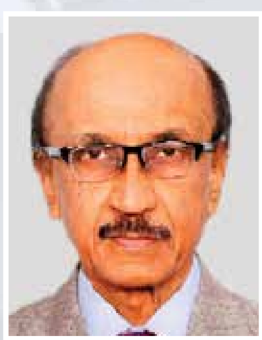
Mr. Obaidul Quader, MP
The Honorable Minister
Ministry of Road Transport & Bridges

Mr. Shajahan Khan, MP
The Honorable Minister
Ministry of Shipping



Dr. Tawfiq-E-Elahi Chowdhury
Advisor to the Honorable
Prime Minister

Kazi M. Aminul Islam
Executive Chairman
Bangladesh Investment
Development Authority (BIDA)



Mr. Fazle Kabir
Governor
Bangladesh Bank

Dr. Zaidi Sattar
Chairman
Policy Research Institute of Bangladesh

Dr. Md. Farashuddin
Former Governor
Bangladesh Bank

MESSAGE FROM THE CHAIRMAN, ADVISORY BOARD

Ministry of Finance
Government of the People's
Republic of Bangladesh

Abul Maal A. Muhith
Minister

On behalf of the Advisory Board of Bangladesh Infrastructure Finance Fund Limited (BIFFL), I would like to commend all shareholders, directors, development partners and employees of the company on the occasion of its 7th Annual General Meeting. I am delighted that BIFFL has completed another fruitful year and has established itself as a mainstay for infrastructure development in Bangladesh.

Infrastructure in Bangladesh needs to advance at a steady pace if we are to achieve the status of middle income country by 2021 and Sustainable Development Goals by 2030. Bangladesh has already reached the status of a lower middle-income nation. Now we need to increase our efforts to reach the next level. In order to ensure continued growth and create an investment-friendly economic environment in Bangladesh, we have to build robust infrastructure all over the country. BIFFL as a nodal financial institution in the country has to contribute a lot in this regard.

Since its inception in 2011, BIFFL has a mandate of expediting national progress through infrastructure financing. It has since then built up a strong pipeline of projects. In view of the performance of the organization thus far, I am confident that it will continue to play a major role in the advancement of infrastructure in Bangladesh.

I am pleased to learn about the accolades BIFFL has earned in last year. From becoming one of the largest national taxpayers to receiving acknowledgement from the Institute of Chartered Accountants of Bangladesh (ICAB), as well as international recognition from South Asian Federation of Accountants (SAFA)- BIFFL has established itself as a strong financial institution. Furthermore, the successful completion of mega-event such as the BIFFL Green Convention & Expo 2017 demonstrates the maturity of the organization.

I extend my thanks to the Board members for their continuous endeavors to push the organization forward. I also appreciate the direction and guidance of Bangladesh Bank and other regulators to run the company smoothly.

Finally, I extend my compliments to all the employees of BIFFL for their dedicated efforts towards the growth of the company.

Thank you all.

(Abul Maal A. Muhith, MP)

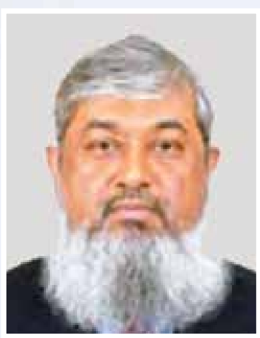
BOARD OF DIRECTORS

The Board of Directors of BIFFL is responsible for overall management of the Company including, but not limited to (a) making policies: (b) overseeing management activities; (c) approving finance proposals; and (d) sourcing of fund for the Company.

Chairman

Mr. Mohammad Muslim Chowdhury
Secretary in Charge, Finance Division,
Ministry of Finance

Members:



Khandker Anwarul Islam
Senior Secretary, Bridges Division, Ministry of Road Transport and Bridges

Mr. Nazimuddin Chowdhury
Secretary, Energy & Mineral Resource Division, Ministry of Power, Energy and Mineral Resources

Dr. Ahmad Kaikaus
Secretary, Power Division, Ministry of Power, Energy and Mineral Resources

Kazi Shofiqul Azam
Secretary, Economic Relations Division,
Ministry of Finance

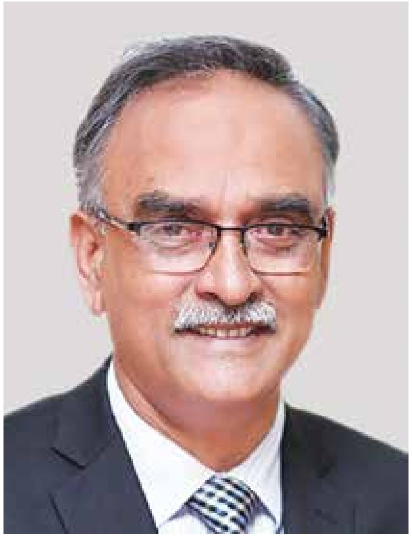
Mr. Md. Nazrul Islam
Secretary, Road Transport and Highways Division
Ministry of Road Transport and Bridges

Mr. Sajjadul Hassan
Secretary in Charge,
Prime Minister's Office

Mr. Md. Ekhlasur Rahman
Additional Secretary,
Finance Division, Ministry of Finance

Mr. S.M. Formanul Islam
Executive Director and CEO

MESSAGE FROM THE CHAIRMAN, BOARD OF DIRECTORS



I welcome you all with great pleasure to the 7th Annual General meeting of Bangladesh Infrastructure Finance Fund Limited (BIFFL). On this august event, on behalf of the Board of Directors and shareholders of BIFFL, I extend my felicitations to all concerned for their efforts in the successful journey of BIFFL thus far. I would like to express gratitude to all the members of the Advisory Board, Board of Directors and Shareholders of BIFFL for their cooperation, guidance and support in the smooth operations of the company in 2017.

One of the main accomplishments of the economy in FY 2016-17 has been a 7.28 percent economic growth, breaking the six percent cycle that continued for a decade or so. Similar to previous years, major boost of the national growth has come from the industrial sector followed by the services sector.

The year 2017 has been a great one for BIFFL as its financials portray healthy key performance parameters i.e. profitability, quality of assets, capital adequacy etc. In the fiscal year 2017, the profit after tax stands at Tk. 80.41 crore. Shareholder's equity increased by 3% (from 2,197 crores to 2,264 crore). BIFFL's capital adequacy ratio is 149.69% against required 10% and the company is consistently in the green zone in the stress test conducted by Bangladesh Bank. In the last fiscal year, the interest income from term loan was TK. 41 crore, while in the reporting year BIFFL earned a total of Tk. 74.82 crore as interest income. In the year 2017, BIFFL made direct contribution of Tk. 64 crore by paying dividend to the Government and Tk 39.71 crore as income tax to the national exchequer. The financial health of the company remains stable as it holds a paid-up capital of Tk. 2,059 crore.

BIFFL has flourished in the year 2017 in terms of manpower. With the introduction of two new departments and 20 fresh recruits, BIFFL has received awards from the Institute of Chartered Accountants of Bangladesh (ICAB) and South Asian Federation of Accountants (SAFA). The successful organization of the BIFFL Green Convention & Expo with over 50 participants from home and abroad has been another feather in its cap.

BIFFL has diversified its portfolio this year with investments in the RMG, infrastructure, Auto Bricks, Power and various others sectors. Large clients include Odyssey Crafts, First Dhaka Elevated Expressway, Baraka Power, Dharmapur Ceramics etc. The newly introduced Women Entrepreneurship Development and Green Bricks & Construction Materials Units are experiencing very good exposure in the market.

I would like to take this opportunity to thank our existing and prospective borrowers for putting their faith in BIFFL. I would also like to express my heartiest appreciation to all the employees of BIFFL for their sustained dedication. My sincere gratitude goes to all the regulatory bodies - Ministry of Finance, Bangladesh Bank, Registrar of Joint Stock Companies, Securities and Exchange Commission for their valuable guidance and support.

The year 2018 will be a turning point for Bangladesh in many ways. Bangladesh will prepare to graduate from the least developed country status to a developing country in 2018. It will also continue its efforts toward becoming a middle-income country by 2021 and achieve the sustainable development goals (SDGs) by 2030. These will hinge on a number of factors such as accelerated resource mobilization, higher investments in infrastructure, skilled human resources and strong institutional set up. Infrastructure development will play a key role in this this regard. I am confident that BIFFL and its employees will overcome these obstacles with firm commitment and renewed enthusiasm. Hopefully, with all stakeholders at its side, this year will be a year of increased prosperity for BIFFL.

Mohammad Muslim Chowdhury
Chairman

MESSAGE FROM THE CHIEF EXECUTIVE OFFICER

BIFFL has completed another eventful year with remarkable success! I would like to have this opportunity to express my sincere gratitude to the Advisory Board, Board of Directors as well as Shareholders of BIFFL for their continued support, guidance, inspiration and trust in the management in running the Company smoothly. The young, energetic and multi-tasking employees of BIFFL deserve special mention for their challenging works, dedication and firm commitment towards achieving Company's goals with relative ease.

Our borrowers and investment partners are the main drivers of the success. We believe in sustained relationship with mutual benefits and creating an enabling environment where all of us can thrive and contribute to the development of much needed infrastructure of our country. We appreciate our borrowers and investment partners for approaching us for finances. I would also like to request the potential project developers to give us an opportunity to join hands with you in developing infrastructure as well as sustainable development projects.

As a continuation of initiatives taken in the previous year, we have been able to draw significant portion of fund under the Energy Efficiency and Conservation Promotion Project funded by JICA. We have been able to approve BDT320 crore under this project for 4 loans. BIFFL has also become a participating financial institution under the US$416 million IPFF-II project funded jointly by the World Bank and the

Government. A special allocation of US$30 million has been made for BIFFL for investment in eligible infrastructure through innovative financing products such as equity, quasi equity, mezzanine financing, takeout financing, infrastructure bond and credit guarantee etc. Involvement with this project has mitigated our inability to extend foreign currency loan in eligible projects. We are also actively working with ADB and KfW for arranging more funds for infrastructure and sustainable development projects.

Major highlights of BIFFL in 2017 are financing few large infrastructure projects such as First Dhaka Elevated Expressway, Mirswarai Economic Zone, Best Holdings Ltd., energy efficiency projects such as KSRM Billet Industries Ltd. (BMRE), Fair Electronics Ltd., Odyssey Craft (Pvt) Ltd. (registered for LEED Platinum certification) and eight green brick projects out of which Dharmapur Ceramics Industries Ltd., First Auto Bricks Ltd. and Makrail Auto Bricks Ltd. are at the final stage of construction completion. BIFFL arranged "BIFFL Green Convention and Expo 2017" where in addition to a national convention a total of 74 stalls were installed where 51 participants from home and abroad joined the Expo to showcase their technologies for energy efficiency and green brick projects.

With a view to supporting women in having access to affordable financial services, BIFFL has established Women Entrepreneurs Development Unit and signed participation agreement with the Bangladesh Bank for refinancing support. BIFFL has the commitment to promote inclusive growth of the society where women entrepreneurs can play a significant role towards achieving the country's development goals.

There is no denying the fact that a vibrant, resourceful and capable private sector holds the key towards achieving the desired level of infrastructure development of the country. BIFFL has the mandate and willingness to play a significant role in building a meaningful public-private partnership in this regard while remaining committed to protecting the environment.

The 5-year Plan of BIFFL require sourcing of a mix of both Local and Foreign Currency fund worth BDT8000 crore. We have a plan to source this amount over the period from the development partners, capital market, bond market and as loan from the Government. We have already engaged an Issue Manager for raising BDT500 crore through coupon bearing bond and in the process of selecting another Issue Manager for raising BDT1,000 crore through IPO as well as private equity placement. We believe both these initiatives will bring in certain depth and positivity in the emerging Bond Market as well as crippling Capital Market of the country.

The Financial Year 2017 was excellent! The year 2018 promises to be even better in terms of more investments in emerging PPP projects, more sourcing of funds from different development partners, shifting BIFFL office to a state of the art new premises, diversification of financing products as well as investment sectors. We appreciate the able guidance from the Board and our regulators; trust shown by our borrowers and investment partners; and strong commitment of BIFFL Team towards improving their skills and achievements. We are committed to gradual progress of the Company in all aspects of its operations.

Finally, I would like to thank each and everybody who were instrumental in our journey last year and expect to have you with us all along!

S.M. Formanul Islam
Executive Director & CEO

LETTER OF TRANSMITTAL

Dear Sir(s),

We are very much happy to present the Annual Report for the year 2017 of Bangladesh Infrastructure Finance Fund Limited (BIFFL). BIFFL is a non-banking financial institution under the ownership of the Government of Bangladesh, represented by Finance Division, Ministry of Finance. It finances infrastructure and environment and eco-friendly projects to ensure sustainable economic growth of the country.

The Annual Report contains all material information of the functions and financial outcomes of the organization audited by the external auditors. The report also presents the Corporate Governance & Regulatory Compliance Status of the organization.

To our knowledge, the report also provides for the information required by the regulators and other applicable laws and regulations.

Regards.

Yours Sincerely,

S.M. Formanul Islam
Executive Director & CEO

MANAGEMENT COMMITTEE

Standing from the left, front row

Mr. Md. Sagir Hossain Khan
Chief Operating Officer (COO)

Mr. Mohammad Khan, FCS
Company Secretary & Head of CCU

Mr. S.M. Formanul Islam
Executive Director & CEO

Ms. Mashruna A. Chowdhury, FCA
Chief Financial Officer (CFO)

Mr. Md. Mizanur Rahman
Unit Head, Credit Administration

Standing from the left, back row

Mr. Md. Sheikh Anowar Sadat
Unit Head, Large Infrastructure

Mr. Md. Saddam Hossain
Unit Head, Sustainable Finance

Mr. Tanvir Warsi
Unit Head, Financial Relations

Mr. Md. Nisarul Kabir Siddiqui
Unit Head, Treasury

RISK MANAGEMENT OF BIFFL

The importance of infrastructure for ensuring sustainable economic development and thereby, the amelioration of the socio-economic condition of the millions of people cannot be overemphasized. The country has been failing to realize its full growth potential due to high transaction costs, mainly, arising from inadequate and inefficient infrastructure. One of the main reasons for such infrastructure-related shortcomings has been insufficient investment. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has established BIFFL and accorded due priority to materialize Public-Private Partnership concept in right earnest for delivering its multipronged benefits to the national economy. Conceptually, PPPs are contracts between the public sector and private sector, which requires new investments by the private partners i.e. money or technology or expertise /time or reputation, which transfers some key risks to the private sector (design/ technology, construction/ installation, availability, demand etc.) in which payments are made in exchange for performance for the purpose of delivering a service traditionally provided by the public sector.

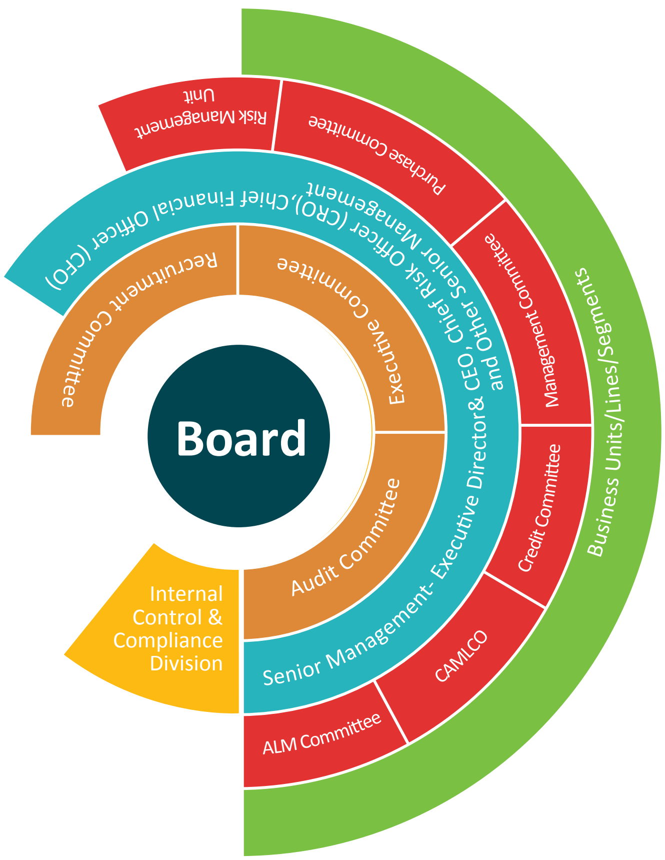
Bangladesh has experienced mixed year of achievements and challenges in 2017. Though some macro indicators reflect the positive trends, the overall strength of the economy is weakened due to a number of developments toward the second half of the year. One of the major achievements of the economy has been a 7.28 percent economic growth in FY 2016-17 breaking the six percent cycle that continued for a decade. Though average inflation has been around 5.5 percent, food inflation has shown an increasing rate, mainly because of agricultural loss due to two rounds of floods. In FY 2016-17, investment as a share of GDP went up to 30.5 percent, a marginal increase from 29 percent in FY 2015-16. Export growth in FY 2016-17 was only 1.7 percent as opposed to the target of 8 percent. However, imports growing at a higher rate than exports led to a negative current account balance that continued during July-December of FY 2017-18. In 2017, the banking sector exposed further weaknesses through major indicators such as rise of non-performing loans, lower capital adequacy and the overall lack of governance in the sector. Bangladesh will strive to achieve the SDG goals which will hinge on a number of factors such as accelerated resource mobilization, higher investment, efficiency in infrastructure implementation, skilled human resources and strong institutional set up.

Statement of Risk Management:

BIFFL believes that effective risk management is of primary importance to its overall operations. Accordingly, BIFFL's risk management process has been designed to monitor, evaluate and manage the principal risks it assumes in conducting its activities. Specifically, the activities that BIFFL engages in and the risks those activities generate—must be consistent with BIFFL's underlying commitment to the principles of and in line with BIFFL's risk appetite. BIFFL's risk appetite framework includes principle-based qualitative boundaries to guide behavior and quantitative boundaries within which the firm will operate, including capital strength and earnings power. In BIFFL, only calculated risks are taken while conducting business to strike a balance between risk and return. Risk is clearly identified, mitigated or minimized and if possible eliminated to protect capital and to maximize value for the shareholders. BIFFL selectively takes risks in support of its underlying customer-centric business strategy. BIFFL evaluates and rewards employees with specific consideration to their risk taking behaviors, including transparency, communication and mitigation of concerns.

BIFFL Risk Management Infrastructure:

Risk management procedures are approved, monitored, and mitigated at various stages of BIFFL with a combination of Board, its committees, management committees, management units, Internal Control & Compliance Division and Risk Management unit. The hierarchy of BIFFL risk management infrastructure is as under:



Board of Directors

The Board oversees and approves all major risk management policies and parameters taking into account market condition, regulatory requirements and lessons learned in the past. While setting policies and parameters for credit, operational and market risks, a balance is maintained for ensuring smooth operations while protecting against down side risk from potential loss or foregone income and to protect interest of shareholders.

Executive Committee (EC) of the Board

Executive Committee of the Board is responsible to oversee that the management and its committees are operating within approved limits and authorities and that all major risks are managed & mitigated effectively and potential and actual losses arising from risks are within the acceptable limits. EC also considers all credit proposals except loan proposals from women entrepreneurs under the Women Entrepreneur Development Unit and Small and Medium Enterprises Unit. It also considers administrative proposals and major purchases as recommended by the Credit Committee, Management Committee and Purchase Committee respectively.

Audit Committee of the Board

Audit Committee independently monitors all activities of operations involving credit risks, operational risks and market risks through Internal Control & Compliance Division (IC&CD) of BIFFL. Risk based audit plan for IC&CD is approved by the Committee and its implementation is monitored on a regular basis to ensure that all risk factors are adequately addressed and any deviation is quickly corrected to ensure sustainable operation of BIFFL.

Risk Management framework:

BIFFL is a highly dedicated Financial Institution of Bangladesh in a professional manner by adopting the internationally accepted best practices keeping high the ethical values and maintaining transparency in all activities in order to promote Country's sustainable economic development. The concern is facilitating and encouraging Private Sector Investment in all infrastructural projects. BIFFL believes in sustainable growth which is ensured through appropriate tradeoff between risk and return.

Risk Identification, Assessment and Analysis:

Risk analysis unit identifies and analyses all prevailing and probable risk of BIFFL appropriately and timely. This unit collects all relevant data related to the risk indicators from different models and information system at the earliest. They assess the quality, completeness and correctness of those data. They identify and quantify the risks and their exposures to material loss. They prepare Risk Management Paper on quarterly basis and conduct periodic Stress Testing.

In addition, the Credit Risk Management Committee (CRMC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to counter associated risks. CRMC reviews the Due Diligence of the individual project considering its technical, commercial, financial, management, economic and social & environmental aspect. They also review the probable impacts of local and global economic condition on the project which is to be financed.

An independent Credit Risk Management (CRM) Department is in place at BIFFL to check all compliances of regulatory body, credit norms and policy of BIFFL in order to create a high quality and efficient credit portfolio and maximize shareholders' return. Credit Risk Grading (CRG) technique helps a Financial Institution to understand and quantify of risks involved in financing individual project. This is done at BIFFL at pre-sanction and post sanction stage of loan. This assists management to monitor changes and trend in risk levels. The process also allows the management to manage risk and optimize return.

To mitigate credit risk, BIFFL requires credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer/project from external Credit Rating

Agency approved by Bangladesh Bank. This report is scrutinized by CRM and CRMC to understand the liability condition, repayment behavior of the customer and business and market condition of the project. BIFFL has established Internal Control and Compliance Division (IC & CD) to address operational risk. IC & CD ensures that an appropriate framework exists to identify, assess and manage operation risk. However, internal control measures are in place at BIFFL to mitigate operational risks under Board Audit Committee.

The Asset Liability Management Committee (ALCO) of the Company regularly meets to assess the prevailing market risk. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby takes effective measures to monitor and control interest rate risk.

Risk Reporting and Communication

After assessment of risks inherent at different divisions of BIFFL, those risks are reported by Risk Analysis Unit to Risk Management Forum-RMF (consisting of the top management of BIFFL).

Plan Actions

RMF recommends some specific action plans for mitigating the indentified risks to be implemented by the head of different divisions with a given timeline. Furthermore, risks are properly communicated to the Board of Directors by Board Audit Committee.

Implementation of Plan Actions

In line with guideline of Bangladesh Bank for comprehensive risk management of the Bank, the Risk Management Division has been carrying out the following activities:

a. All regulatory compliances related with Basel II

b. All regulatory compliances related with Stress Testing

c. All regulatory compliances related with CAMELS Rating of Bangladesh Bank

d. All regulatory compliances related with comprehensive Risk Management Rating including preparation of Risk Management Paper in line with the Bangladesh Bank's reporting format and informing the Board/ Risk Management Committee about major findings of Risk Management Paper for ensuring the regulatory compliances as per requirement.

Monitoring and Controlling of Risk

BIFFL risk management process requires that risks are effectively identified and assessed and that appropriate controls and responses are in place. Board Audit Committee and IC & CD are to carry out regular audits of policy and standards, compliances and standard performance is reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's activities and the procedures are understood and followed.

BIFFL risk management Process:

A well-structured and proactive risk Management system is in place within BIFFL to address the risk relating to Credit, Market, Liquidity, and operation. BIFFL has different committees for risk management and internal control measures are also in place to mitigate risk. The governance of risk management starts with our Board which plays an important role in reviewing and approving risk management policies and practices. In addition, the industry best practices for assessing, identifying, and measuring risk, BIFFL's Board has approved core risk policies as per guideline of managing core risk of financial institutions issued by Bangladesh Bank time to time. Through our risk management framework, we manage enterprise-wide risk, with the objective of maximizing risk-adjusted returns while remaining within our tolerance. As a part of this framework, the Board has approved a set of principles that describe the risk management culture we wish to sustain:

Balancing Risk and return:

- We manage our risks to build a sustainable franchise, in the interests of all our stakeholders;
- We only take Risk within our risk tolerances and risk appetite, and where consistent with our approved strategy;
- We manage our risk profile to maintain a low probability of an unexpected loss event that would materially undermine the confidence of our investors.

Conduct of business:

- We demonstrate we are here for doing good through our conduct, and are mindful of the reputational consequences of inappropriate conduct;
- We seek to achieve good outcomes for clients, investors and the markets in which we operate. while abiding by the spirit and letter of laws and regulations;
- We treat our colleagues fairly and with respect.

Responsibility and accountability

- We take individual responsibility to ensure risk-taking is disciplined and focused, particularly within our area of authority;
- We make sure risk-taking is transparent, controlled and reported in line with the risk management framework, within risk appetite and Risk tolerance boundaries and only where there is appropriate infrastructure and resource.

Anticipation

- We seek to anticipate material future risks, learn lessons from events that have produced adverse outcomes and ensure awareness of known risks.

Competitive advantage

- We seek to achieve competitive advantage through efficient and effective risk management and control.

We have identified a comprehensive suite of risk factors which covers the broad range of risks our businesses are exposed to. A number of the risk factors have the potential to affect the results of our operations or financial condition, but may not necessarily be deemed as top or emerging risks. However, they inform the ongoing assessment of our top and emerging risks which may result in our risk appetite being revised. The principal risks associated with business and ways of mitigations are described in the below:

Credit Risk Management:

Credit risk is one of the most significant risks BIFFL faces as an institution. As a result, BIFFL has a well-established framework in place for managing credit risk across all businesses. This includes a defined risk appetite, credit limits and credit policies, both at the business level as well as at the company-wide level. BIFFL's credit risk management also includes processes and policies with respect to problem recognition, including "watch lists," portfolio review, updated risk ratings and classification triggers. Credit Risk Management as one of the core risk is designed and regularly updated to identify, measure, manage and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and to ensure that approved processes are followed and appropriate due diligence are carried out in appraising and subsequent approving new credit facilities. Credit Risk Grading (CRG) is an important tool for credit risk management as it helps the BIFFL to understand various dimensions of risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of

BIFFL. Another tool of minimizing credit risk is to obtain and review credit rating of a company before extending credit facilities. Risk Management Committee is responsible to review the credit rating of the borrower annually.

Credit risk for counterparty arises from an aggregation of the following:

- Financial Risk
- Business/Industry Risk
- Management Risk
- Security Risk
- Relationship Risk

Each of the above mentioned key risk areas require to be evaluated and aggregated to arrive at an overall risk grading measure.

a. Evaluation of Financial Risk:

Risk that counterparties will fail to meet obligation due to financial distress. This typically entails analysis of financials i.e. analysis of leverage, liquidity, profitability & interest coverage ratios. To conclude, this capitalizes on the risk of high leverage, poor liquidity, low profitability & insufficient cash flow.

b. Evaluation of Business/Industry Risk:

Risk that adverse industry situation or unfavorable business condition will impact borrowers' capacity to meet obligation. The evaluation of this category of risk looks at parameters such as business outlook, size of business, industry growth, market competition & barriers to entry/exit. To conclude, this capitalizes on the risk of failure due to low market share & poor industry growth.

c. Evaluation of Management Risk:

Risk that counterparties may default as a result of poor managerial ability including experience of the management, its succession plan and team work.

d. Evaluation of Security Risk:

Risk that the bank might be exposed due to poor quality or strength of the security in case of default. This may entail strength of security & collateral, location of collateral and support.

e. Evaluation of Relationship Risk:

These risk areas cover evaluation of limits utilization, account performance, conditions/ covenants compliance by the borrower and deposit relationship.

Credit Approval Process

BIFFL Board of Directors has the overall responsibility for management of risks. The Board decides the risk management policies of BIFFL. The Credit Committee is a subcommittee including CEO and senior management of BIFFL. In general, all credit proposals are originated from the investment department of BIFFL. The Credit Risk Management team conducts a thorough credit and risk assessment prior to forwarding any proposal to the Credit Committee. Nevertheless, the credit proposal is clearly stated that all instructions and guidelines of the credit policy have been complied with. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process is now two stages depending on the size of the loan which are Executive Committee and/or BIFFL Board. The Executive Committee (EC) is a committee including CEO and members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/review of Credit Committee. Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval.

Flow Chart: Credit Approval Process

Recently, the Board of Directors has authorized the Executive Director and CEO to approve loan proposals received from WEDU and SME in line with the respective policies for refinancing from Bangladesh Bank. A periodical report on the process under these refinancing schemes are presented before the Board of Directors for consideration.

BIFFL believes in diversification in terms of products and sectors. Sector allocation has already been passed by the Board of Directors of BIFFL to overcome any adverse impact on the BIFFL's return. According to risk return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/ project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/economic condition of the country vis-a -vis the world.

Credit Risk Grading (CRG):

Credit risk grading is a valuable tool for credit risk management as it helps the Banks & financial institutions to understand various dimensions of risk involved in different credit transactions. The aggregation of such grading across the borrowers, activities and the lines of business can provide better assessment of the quality of credit portfolio of a bank or a branch. The credit risk grading system is vital to take decisions both at the pre-sanction stage as well as post-sanction stage.

Functions of Credit Risk Grading

Well-managed credit risk grading systems promote bank safety and soundness by facilitating informed decision-making. Grading systems measure credit risk and differentiate individual credits and groups of credits by the risk they pose. This allows bank management and examiners to monitor changes and trends in risk levels. The process also allows bank management to manage risk to optimize returns.

Use of Credit Risk Grading

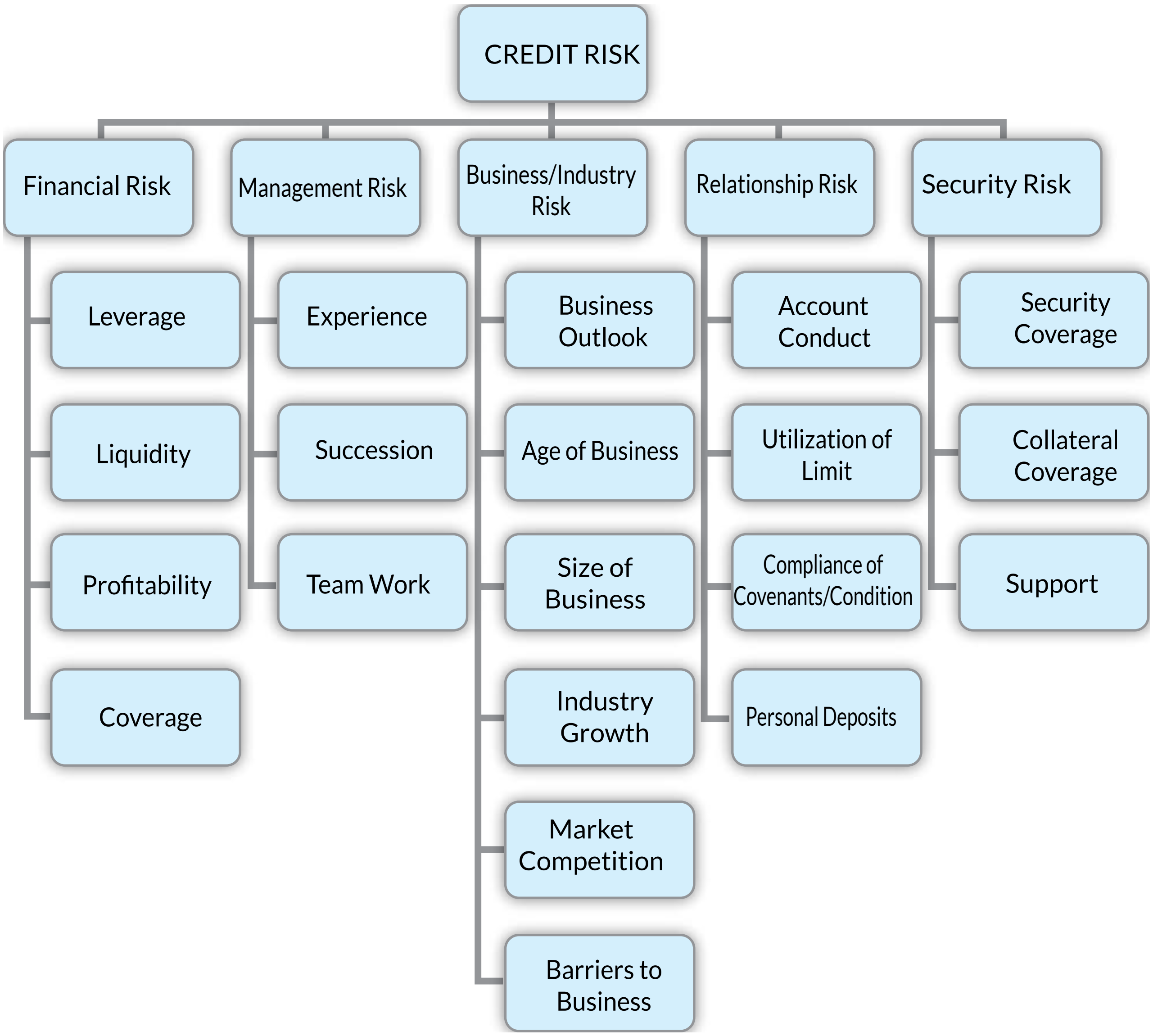
- The Credit Risk Grading matrix allows application of uniform standards to credits to ensure a common standardized approach to assess the quality of individual obligor, credit portfolio of a unit, line of business, the branch or the Bank as a whole.
- As evident, the CRG outputs would be relevant for individual credit selection, wherein either a borrower or a exposure/ facility is rated. The other decisions would be related to pricing (credit-spread) and specific features of the credit facility. These would largely constitute obligor level analysis.
- Risk grading would also be relevant for surveillance and monitoring, internal MIS and assessing the aggregate risk profile of a Bank. It is also relevant for portfolio level analysis.

Number and Short Name of Grades used in the CRG

- The proposed CRG scale consists of 8 categories with Short names and Numbers are provided as follows:

GRADING	SHORT NAME	NUMBER
Superior	SUP	1
Good	GD	2
Acceptable	ACCPT	3
Marginal/Watchlist	MG/WL	4
Special Mention	SM	5
Sub standard	SS	6
Doubtful	DF	7
Bad & Loss	BL	8

Credit Risk Matrix:



Market Risk Management

Market risk encompasses funding and liquidity risk, interest rate risk and price risk, each of which arises in the normal course of business of a financial intermediary such as BIFFL. Market risk is actively monitored by the Treasury Unit of BIFFL. The objective of market risk management is to manage and control market risk exposure within acceptable parameters.

Funding and Liquidity Risk Management

Adequate liquidity and sources of funding are essential to BIFFL's businesses. Funding and liquidity risks arise from several factors, many of which BIFFL cannot control, such as disruptions in the financial markets, changes in key funding sources, credit spreads, changes in credit ratings and political and economic conditions in certain countries.

BIFFL has no exposure in Capital Market and therefore it is not exposed to any market risk related to securities but exposed to interest rate risk. The Treasury Unit in collaboration with accounts and Finance Division manage interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL. Since BIFFL does not take any deposits from the market there is no adverse maturity gap in terms of its assets and liabilities. But it exposes liquidity risk of converting its fixed deposit into cash at reasonable price on time. The Treasury Unit manages the liquidity risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL.

Operational risk Management

Operational risk is the potential loss arising from the failure of company's systems, people and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, delay to perform. Operational risk is the risk of loss, whether direct or indirect, to which the Bank is exposed due to inadequate or failed internal processes or systems, human error, or external events. Operational risk includes legal and regulatory risk, business process and change risk, fiduciary or disclosure breaches, technology failure, financial crime and environmental risk. It exists in some form in every Bank business and function. Operational risk can not only result in pecuniary loss, but also regulatory sanctions and damage to the reputation. BIFFL is very successful at managing operational risk with a view to safeguarding client assets and preserving shareholder value.

Reputational risk

Reputational risk is the risk that negative publicity regarding BIFFL's conduct, business practices or associations, whether true or not, will adversely affect its revenues, operations or customer base, or require costly litigation or other defensive measures.

Environmental risk

Environmental risk is a facilitating element of credit risk arising from environmental issues. These can be due to environmental impacts caused by and / or due to the prevailing environmental conditions. These increase risks as they bring an element of uncertainty or possibility of loss in the context of a financing transaction.

The overall purpose of Environmental Risk Management is to understand and manage risks that arise from environmental concerns. This brings a focus on planning and implementing policies and procedures to mitigate environmental risks.

The specific purposes are to:

- Examine the environmental issues and concerns associated with potential business activities proposed for financing,
- Identify, evaluate and manage the environmental risks and the associated financial implications arising from these issues and concerns, and
- enhance the credit risk appraisal process.

Compliance risk Management

Compliance risk is defined as the current or prospective risk of legal sanction and/or material financial loss that an organization may suffer as a result of its failure to comply with laws, its own regulations, code of conduct, and standards of the best practice as well as from the possibility of incorrect interpretation of laws or regulations. The guidelines articulate the respective roles of the board, senior management and compliance function units in managing compliance risks and also require formulation of a written compliance risk management policy.

BIFFL has always fostered a compliance oriented culture. Senior management has constantly stressed the need to do business in a compliant manner. In general, compliance risk management is embedded in the day to day to business processes and practices of the company.

Potential risks

a) Potential financial loss;
b) Serious regulatory implications (revocation of license, imprisonment, possibility of fines/ penalties from regulators);
c) Potential/actual damage to reputation;
d) Major corporate governance failure;
e) Customer dissatisfaction;
f) Loss of business opportunities.

Plan of action to mitigate potential risks

a) Understand applicable rules and regulations and keep up to date;
b) Communicate new rules and regulations to concerned departments and help them in adoption of the same;
c) Communicate the required reports/statements to regulators within the stipulated time period;
d) Maintain cordial relations with the regulators, customers and other stakeholders;
e) Act as a liaison between management and regulators;
f) Arrange for in-house trainings and attend out-of-house trainings on new developments in the financial sector;
g) Develop checklists for applicable rules and regulations and ensure compliance of the concerned departments, like through DCFCLs.

The Internal Control & Compliance (ICC) Department of BIFFL was formed and started the operation from 2016. Since then, the department is monitoring the reporting of various departments to Bangladesh Bank and other regulatory authorities. The department also ensure the compliance of relevant laws, regulations, directives of different regulators and its own policies.

Comprehensive risk Management Report

Risk Management Report is prepared on monthly interval to record risks related issues of credit, market and operational risk across BIFFL during the month and submitted towards Bangladesh Bank for every month within 30 days following the month end. In addition, BIFFL Risk Management Committee (BRMC) review these paper on monthly interval; recommend action plans to concern department for mitigating identified risk areas and follow-up the implementation of previous recommendations.12 BRMC meetings were held during 2017.

STATEMENT ON NON-PERFORMING LOAN (NPL) MANAGEMENT

A non-performing Loan (NPL) is a loan where the borrower is not paying any interest nor principal on the due date. At what point the loan is classified as non-performing by the bank or NBFI, and when it becomes bad debt, depends on regulations issued by Bangladesh Bank. NPL to Total Loan is the single most important ratio which should be kept as lower as possible to maintain the financial institution's health. The following steps are considered to be the core building blocks related to the development and implementation of an NPL strategy:

- Assessing the operating environment, including internal NPL capabilities, external conditions impacting NPL workout and capital implications.
- Developing the NPL strategy, including targets in terms of development of operational capabilities (qualitative) and projected NPL reductions (quantitative) over the short, medium and long-term projections.
- Implementing the operational plan, including any necessary changes in the organisational structure of the lender.
- Fully embedding NPL strategy into the management processes of the lender also including a regular review and independent monitoring.

Industrial Trend of NPL

According to Bangladesh Bank, the growth rate of total outstanding loan disbursement of the financial sector has shown a plummeted increase of 50.4% during the last five years (during CY2013 to CY2017). The assets of NBFI's increased substantially by 16.83% to BDT 713.87 billion in December 2016 from BDT 611.04 billion in 2015. At the end of June 2017, assets of NBFI's increased to BDT 755.33 billion.

NBFIs are investing in different sectors of the economy, but their investments are mostly concentrated in industries. Sector wise composition of NBFI's investment at the end of June 2017 was: industry 44.21%, real estate 17.53%, margin loan 2.25%, trade and commerce 16.68%, merchant banking 4.17%, agriculture 2.67% and others 12.49%.

In December 2016, all NBFI's total investment in capital market was BDT 20.55 billion compared to BDT 19.35 billion in December 2015. At the end of December 2016, the NPL for NBFIs was 7.29 %. In the total asset composition of all NBFIs, the concentration of loans, lease and advances was 74.34 percent. NBFIs are required to maintain provision for expected losses on loans, advances, leases, investments considering the aging analysis.

NPL at BIFFL

- BIFFL is engaged in financing Infrastructure projects but tries to lower its NPL ratio as much as possible. Till FY2017 NPL ratio of BIFFL was nil.
- Relentless effort of all the BIFFL team members including Investment Divisions, Credit Risk Management Division, Credit Administration and Monitoring and Recovery under close supervision of Executive Director and CEO and effective oversight of the Board of Directors towards containing NPL played a crucial role.

Written Off Loans

A loan write off – as it applies to individual borrowers – occurs when the lender decides that a loan is not collectible and removes it from their balance sheet. The lender judges that it will not be able to recover its dues through collection for a variety of reasons – the borrower might not have the capacity to repay, the borrower is absconding, the borrower is bankrupt etc. In Financial Year 2017 BIFFL has no written off loans yet.

The guidelines established by Bangladesh Bank for CIB reporting, provisioning and write-off of bad and doubtful debts, and suspension of interest is followed in all cases. These requirements are the minimum, and BIFFL has adopted more stringent provisioning/ write-off policies. Regardless of the length of time, once a facility is past due, provisions are kept against the actual and expected losses at the time they are estimated. The approval to take provisions, write-offs or release of provisions/ upgrade of an account is restricted to Board of Directors based on recommendation from the Recovery Unit.

The RU determines the Force Sale Value (FSV) for accounts grade 6 or worse. Force Sale Value is generally the amount that is expected to be realized through the liquidation of collateral held as security or through the available operating cash flows of the business, net of any realization costs. Any shortfall of the FSV compared to total facility outstanding should be fully provided for once an account is downgraded to grade 7. Where the customer is not cooperative, no value should be assigned to the operating cash flow in determining FSV.

Following formula is applied in determining the required amount of provision:

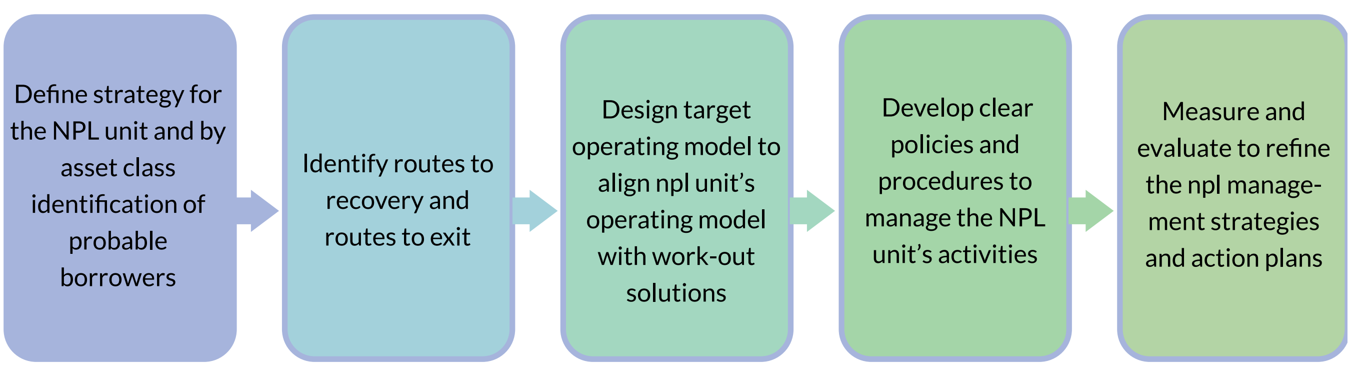
Gross Outstanding	XXX
Less (i) Cash margin held or Fixed Deposits/SP under lien (as per the eligibility criterion).	(XXX)
(ii) Interest in Suspense Account	(XXX)
Facility Value (For which provision is to be created before considering estimated realizable value of other security/collateral held)	XXX
Less: Estimated salvage value of security/collateral held	(XXX)
Net Facility Value	XXX

Our Strategies to manage NPL

BIFFL is always succeeded towards reduction of its NPL through systematic, proactive and focused approach. There are two steps in controlling NPL flow:

Elaborate Credit Monitoring Policies and procedures: BIFFL's NPL management is governed by elaborate Credit Policy and its application in selection of probable defaulters. Underwriting criteria, models, policies and NPL Management procedures are continuously checked and reviewed in comparison to actual performances.

Early Alert System: The main goal of Early Alert System is to identify problematic borrowers for immediate attention and remediation, with the goal of preventing those loans from becoming NPL. It provides scopes for taking precautions before any loan turns into a bad loan.



Incentive Program for Nonperforming Loan Recovery:

BIFFL may introduce incentive programme to encourage Recovery Unit to bring down the Non-Performing Loans (NPLs). The table below shows an indicative incentive plan for RU:

Recovery as a % of Principal plus Interest	Recommended Incentive as % of net recovery amount	
	If CRG 7-8	if written off
76% to 100%	1.00%	2.00%
51% to 75%	0.50%	1.00%
20% to 50%	0.25%	0.50%

Goals regarding NPL Management in 2018

- Monitoring more cautiously for screening of Non-Performing Loans.
- Improved supervision system for timely repayment and awareness of the clients.

Recovery of Classified and Written Off Loans

Industry Overview and Current Position of BIFFL

Effective flow of investments and savings culture is the precondition of the economic development of any country. As a developing country, Bangladesh faces several obstacles such as bad loan culture as well as underdeveloped capital market which mostly depend on the mobilization of the savings and granting credit facilities to the investors by the commercial banks. It is known to all that non-performing loans shrink the profitability of NBFIs. NBFIs do not earn interest income from the classified loans. Non-performing loans decrease the loanable fund of the NBFIs and it stops the recycling of lending business.

Loan classification refers to the loan which is never be collected by the NBFIs. Every NBFI always tries to maintain the good loan culture but in some cases it is not possible. There are several reasons for the classification of loan. BIFFL has only 2.03% of classified loan at the end of the FY 2017. For the concerted effort of all the team members of BIFFL no loan has been written off as yet and BIFFL is working for complete reduction of classified loans.

Special Asset Management Division

Special Asset Management Division (SAMD) started its activities from 2017 for better functional & continual process of up gradation and to robustly initiate the recovery activities of the Organization. The whole Division is restructured and recognized for ensuring better recovery. The main job of the division is devoted to reduce and/ or adjustment of NPLs and for better management of classified liabilities adopting advanced, specialized tools and mechanism including initiating legal procedures to arrest deterioration of assets and speed up recovery of written-off investment. The division also processes all the related issues like negotiations for settlement outside of Court, Written-off and Rescheduling for better result of reducing the classified investments.

Strategies and Policies in Action

The division successfully kept its NPL to 2.03% in 2017 and shows the level of efficiency in portfolio management and successful drive towards reduction and recovery of NPLs and total cash recovery against Classified investment to satisfactory level. The division is expected to achieve a better position through concerted efforts in reducing the classified investment in the year 2018. The major strategies and policies are:

- Holding recovery meeting every month involving senior management of the company
- Execution of law suits against the borrowers

- Arrangement of regular meetings with panel lawyers to speed up legal process
- Running recovery campaign from time to time.

Strategic Outlook in 2018

- Initiatives will be taken for collecting fund from classified loans.
- Close monitoring of all active loan accounts properly.
- Engagement of separate team for specially NPL Management
- Emphasize to settle the accounts under suits/ cases outside the court with the help of legal department.
- More emphasize on primary screening of probable borrowers.

DISCLOSURE ON CAPITAL ADEQUACY AND MARKET DISCIPLINE (CAMD)

In accordance with Bangladesh Bank's DFIM Circular no. 14 dated 28 December 2011, the disclosures on capital adequacy and market discipline have been made in line with same circular, which consists of the following three mutually reinforcing pillars:

Pillar I: This prescribes the minimum capital requirements for Credit Risk, Market Risk and Operational Risk.

Pillar II: This prescribes the Supervisory Review Process which is based on the principle that the Company assesses the overall adequacy of its capital and set targets for capital that commensurate with the Company's specific risk profile and control environment.

Pillar III: This depicts Market Discipline and comprises as set of disclosures on the capital adequacy and risk management framework on the Company to ensure that market participants can better understand the Company's risk profile and the adequacy of its capital.

Scope of Application

Qualitative Disclosures

The name of the top corporate entity in the group to which this guideline applies: Bangladesh Infrastructure Finance Fund Limited (BIFFL).

An outline of differences in the basis of consolidated accounting and regulatory purpose with a brief description of the entities within the group:

(a) that are fully consolidated;

(b) that are given a deduction treatment; and

(c) that are neither consolidated nor deducted (e.g. where the investment is risk weighted).

Not Applicable since the Company does not have any subsidiary.

Any restrictions, or other major impediments, on transfer of funds or regulatory capital within the group.

Not Applicable since the Company does not have any subsidiary.

Quantitative Disclosures

The aggregate amount of capital deficiencies in all subsidiaries not included in the consolidation that are deducted and the name(s) of such subsidiaries.

Not Applicable since the Company does not have any subsidiary.

Capital Structure

Qualitative Disclosures

Summary information on the terms and conditions of the main features of all capital instruments, especially in the case of capital instruments eligible for inclusion in Tier I or in Tier II.

As per the guidelines of Bangladesh Bank, Tier - I and Tier - II Capital of the Company consists of:

Tier - I	Tier - II
Fully Paid-up Capital Non-repayable share premium account Statutory Reserve Retained Earnings	General provision Revaluation reserves – - 50% of revaluation reserve of fixed assets - 45% of revaluation reserve on securities All other preference shares

Quantitative Disclosures

The amount of Tier I capital, with separate disclosure of:

Particulars	Taka in million
Paid-up capital	20,590
Non-repayable share premium account	-
Statutory Reserve	1,402
General Reserve	-
Retained Earnings	651
Total Tier - I capital	22,644
Total amount of Tier - II Capital	134
Other deductions from capital	-
Total eligible capital	22,778.52

Capital Adequacy Qualitative Disclosures

A summary discussion of the Company's approach to assessing the adequacy of its capital to support current and future activities.

BIFFL has adopted Standardized Approach for computing Capital Charge for Credit and Market Risk while Basic Indicator Approach for Operational Risk. Total Risk Weighted Assets (RWA) is determined by multiplying the capital charge for market risk and operational risk by the reciprocal of the minimum capital adequacy ratio which is currently 10% and adding the resulted figure to the sum of the RWA for credit risk. Capital Adequacy Ratio (CAR) is then determined by dividing total RWA by total Eligible Regulatory Capital.

Quantitative Disclosures

Particulars	Taka in million
Capital requirements for Credit Risk	12,367
Capital requirements for Market Risk	2,849.90
Capital requirements for Operational Risk	15,216.90

Total and Tier-I capital ratio- For stand alone

CAR on Total Capital basis (%)	**149.69%**
CAR on Tier-I Capital basis (%)	**148.81%**

Report on Going Concern

Going concern assumption allows the users of financial statements to assume that the company will continue its operation for the foreseeable future to carry out its objectives and commitments to the stakeholders. Every company requires assessing its ability to continue as a going concern. The Board of Directors of BIFFL has made annual assessment about whether there exists any material uncertainty which may cast significant doubt upon the Company's ability to continue as going concern. This assessment involves making appropriate inquiries including review of budget and future outcome of inherent uncertainties in existence. The Directors are convinced from the following indications, which give reasonable assurance as to Company's continuance as a going concern for the foreseeable future.

Financial Indications:

Performance growth

BIFFL has excellent growth in its operating performance. Company's Total Asset has increased from BDT 24,430.25 Million to BDT 25,822.38 Million, achieving a growth @ 5.70% over last year. Earning Assets of BIFFL has grown by 28.37% in 2017 compared to that of 2016. Earning Assets reaches to BDT 22,619.64 Million in 2017 which was BDT 21,649.16 in 2016. Operating Revenue for the year 2017 amounted to BDT 1,660.46 Million which is 4.86% higher than last year's BDT 1,583.57 Million. Net Interest income from loans and advance for the year 2017 amounted to BDT 745 Million compared to BDT 376.39 Million of 2016.

Credibility in payment obligations

BIFFL has strong credibility in terms of payment of its obligations to the lenders and suppliers. BIFFL is very particular in fulfilling the terms of payment or repayment agreements without any exception. This has resultant from our effective liquidity management plan.

Positive key financial ratios

The key financial ratios of BIFFL for the year 2017 indicate a very positive picture as evident from financial highlights and graphical presentation of financial position given separately in this annual report. Financial ratios indicate BIFFL's sound financial strength and good prospects.

Assets Quality:

The operational performance of BIFFL largely depends on its assets quality. The lower the Non-Performing Loan (NPL), the higher the operational efficiency. The growth rate of total outstanding loan disbursement of the financial sector has shown a plummeted increase of 50.4% during the last five years (during CY2013 to CY2017). The assets of NBFI's increased substantially by 16.83 percent to 713.87 billion in December 2016 from BDT 611.04 billion in 2015. At the end of June 2017, assets of NBFI's increased to BDT 755.33 billion. Till FY2017 NPL ratio of BIFFL does not have any Non-Performing Loan (NPL). Relentless effort of all the BIFFL team members including Investment Divisions, Credit Risk Management Division, Credit Administration and Monitoring and Recovery under close supervision of Executive Director and CEO and effective oversight of Board of Directors towards containing NPL played a crucial role.

Cash Flow Analysis:

BIFFL's cash flow analysis represents its strengths about its ability to repay its obligations, ability to adapt in changing circumstances and generate sufficient cash and cash equivalents which will lead the organization to a sustainable future growth. Operating Cash Flow before changes in operating assets and liabilities increase by 103.70% in 2017 compared to 2016; BDT 1.195.95 Million as against BDT 587.11 Million of previous year. However, Net Operating Cash Flow after changes in operating assets and liabilities shows net out flow of BDT 1,758.80 Million which was BDT 3,438.99 million in previous year.

Consistent Payment of Dividends:

BIFFL has been paying consistent dividend to its shareholders over many years, which reflects company's long-term vision and from commitment to its shareholders.

Corporate Environment and Employees' Satisfaction:

There exists a very good corporate working environment in the Company. BIFFL is an excellent work place with a friendly working environment. Communication among the employees is excellent. The organization endeavours to be honest and practices fair treatment to all employees which ensures healthy corporate environment. The company pays a very competitive compensation package and there exists a good number of employee benefits like provident fund, gratuity fund, employee's health insurance, incentive bonus, transport facility to the eligible employees. Pay scale are timely revised to give effect of inflation as well as to align with the industry level. These factors are instrumental for employee satisfaction.

Maintenance of Sufficient Capital:

As per BASEL-II, an NBFI should maintain total capital of at least 10 percent of Risk Weighted Asset. LBFI maintains its capital well above the required level consistently even though growth of RWA is significant. As on 31 December 2017 Capital Adequacy Ratio (CAR) of BIFFL is 149.69%.

Other Indications:

Satisfactory Credit Rating

BIFFL has been rated AA- for long term credit rating and ST-1 for short term based on audited financial statements up to 31 December 2016 and other relevant quantitative as well as qualitative information up to 17 August 2017. The ratings are consistent with CRISL's Financial Institution Rating Methodology. The long-term rating indicates a financial institution with a sound credit profile and without significant problems. Risks are modest and may vary from time to time because of economic conditions. The short-term rating indicates highest certainty of timely payment. Short-term liquidity indicates that internal fund generation is very strong and access to alternative sources of funds is outstanding. Safety is almost like risk free Government short-term obligations.

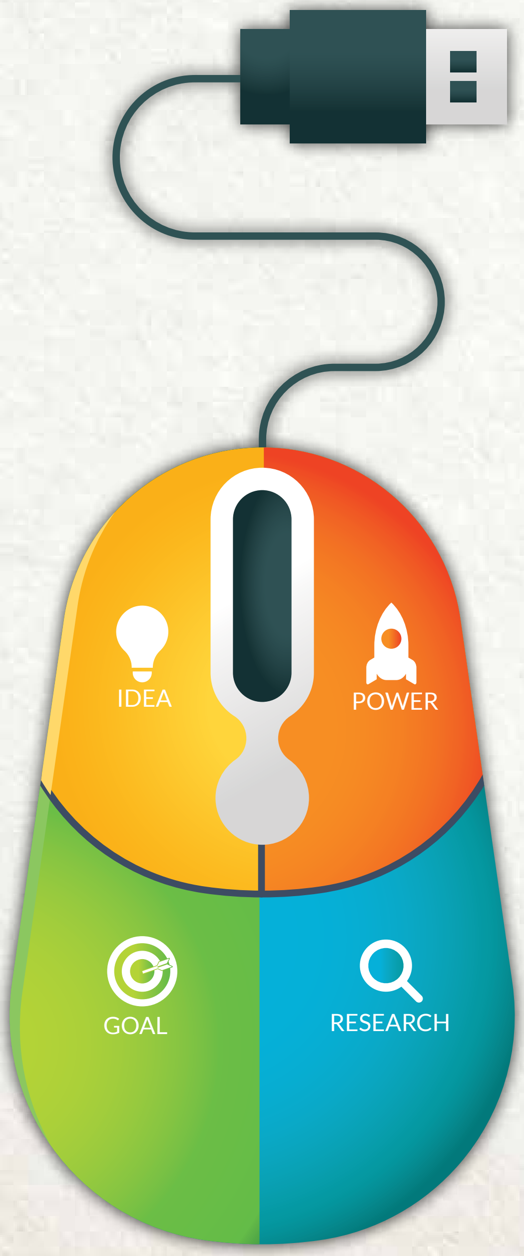
CRISL also viewed the NBFI with "Stable Outlook" in consideration of the fact that the existing fundamentals may remain unchanged in the foreseeable future.

Changes in Government Policy

BIFFL Management anticipates no significant change in legislation or government policy, which may materially affect the business of BIFFL.

Based on the above revealed indications, directors feel it's appropriate to adopt going concern assumptions. Adequate disclosures have been made in the financial statements and different sections of the annual report to understand the appropriateness of going concern basis in preparing financial statements.

STATEMENT ON CORPORATE GOVERNANCE



Corporate Governance is the system/practice by which a Company is directed, controlled and managed. This is done through a collection of procedures that are aligned with recognized standards that respond to the interests of shareholders and other stakeholders. It ensures fairness, transparency and accountability in the corporate sector and safeguards the interest of all stakeholders.

BIFFL is committed to establish its corporate governance framework by adopting, reviewing and complying with all the policies and practices to ensure a balanced corporate environment within the organization with maximum accountability and transparency. The approach to governance is predicated on the belief that there is a link between high-quality governance and the creation of long-term stakeholder value. In pursuing the Corporate objectives, we have committed to the highest level of governance and strive to foster a culture that values and rewards exemplary ethical standards, personal and corporate integrity and mutual respect.

The Board is committed to reviewing and improving our systems to provide transparency and accountability and initiate transformational changes whenever necessary to ensure best practices are maintained and enhanced according to the principles of Corporate Governance.

We continually review our systems and procedures to provide transparency and accountability and update our Corporate Governance policies to keep in line with the stipulated guidelines.

BIFFL has incorporated in its Governance Framework the guidelines prescribed in the Code of Best Practice on Corporate Governance issued by the Bangladesh Securities and Exchange Commission (BSEC) and the Bangladesh Bank on Corporate Governance for Financial Institutions in Bangladesh. The extent of compliance by BIFFL for the year ended 31st December 2017 with the above rule and directive principles and best practices are given in the Annexure.

Annexure-I

The Code of the best Practice on Corporate Governance issued by the BSEC vide notification no. SEC/CMRRCD/2006-158/134/Admin/44, dated: 07/08/2012.

Annexure-II

BIFFL's level of compliance with the requirement of the Bangladesh Bank circular DFIM Circular No. 07, dated 25 September, 2007.

Corporate Governance Framework

Good Corporate Governance practices are not just a matter for the Board but are at the heart of everything that we do within the Company. BIFFL operates within a comprehensive governance framework, which is outlined in the diagram below:

- Composition of the Board with 9 Directors including ex-officio, the Executive Director & CEO. Among the Board members, eight members are senior government officials and the appointment of Independent Director is in the process;
- Constitution of the Board Audit Committee and Board Executive Committee;
- Formation of Risk Management Forum and Risk Analysis Unit;
- Strengthening the process of business operation through segregation of duties;
- Preparation of the Finance and Accounting Manual of the Company and review by the Board Audit Committee and Approved by the Board of Directors;
- Revision of the Human Resource Policy by the Executive Committee and Approved by the Board of Directors;
- Revision of the Credit Policy by the Board of Directors;
- Approval of Environmental and Social Monitoring Framework (following guidelines of Bangladesh Bank) by the Board of Directors;

- Approval of Information Communication Technology (ICT) Policy;
- Approval of Asset-Liability Management Policy;
- Approval of Anti-Money Laundering Policy & Guidelines;
- Approval of Green Banking Policy and Green Office Guide;
- Approval of Internal Control and Compliance Policy and ICC Systems Guidelines - Policy and Procedure;
- Strengthening the process of identification, recording and disclosure of Related Party Transactions;
- Expansion of geographical presence to cover countrywide customer base.

(i) Board and Board Committees

Board of Directors

The Board of Directors is the highest authority of BIFFL. The existing Board comprises of 8 non-executive directors and a full time Executive Director & CEO. The Board is collectively responsible for governance which includes setting out the Company's strategic aims, providing the necessary leadership to implement such aims, supervising the management of the business and reporting to shareholders on their stewardship. The Board is also responsible to the shareholders for the overall management and performance of the Company.

During the year of 2017, 14 nos. of Board meetings were held with more than 80% presence.

Executive Committee

The matter related to ordinary business operations of the Company and the matters that the Board of Directors authorizes from time to time are vested on the Executive Committee (EC). The Committee ensures properly and timely implementation of Polices and guidelines through the management. The EC of BFFL consists of five members.

In 2017, 09 nos. of meeting of the Executive Committee were held with more than 90% presence of the members.

Audit Committee

The Audit Committee (AC) is responsible to examine any matter relating to the financial affairs of the Company and to review all audit and inspection reports, internal control systems and procedures, accounting policies and adherence to compliance requirements, among others. The Audit Committee reviews the audited financial statements with management and the external auditors to ensure that the Company's financial statements are fairly presented in conformity with the relevant Bangladesh Financial Reporting Standards and Bangladesh Accounting Standards in all material aspects, based on its review and discussions with management and the external auditors. The Committee also performs an annual assessment of the effectiveness of the Company's Internal Audit functions and ensures that Internal Audit has adequate resources to fulfill its mandate. It is also responsible for approving certain policies in accordance with regulatory requirements. The Committee also monitors the Company's risk profile, including risk trends and concentrations. The committee consists of three members.

In 2017, 04 nos. of meeting of the Audit Committee were held with more than 90% presence of the members.

(ii) Management Committees

Management Committee

The Management Committee (MANCOM) is selected from the management staff to take upon responsibilities of the day to day administrative and operational affairs of BIFFL. The Committee is responsible for all aspects of day to day operations in line with the various policies and guidelines adopted by the Board. The committee is also responsible to implement all the decisions taken by the Board. The MANCOM comprises of-

01	**Mr. S.M. Formanul Islam** Executive Director & CEO	**Convener**
02	**Mr. Md. Sagir Hossain Khan** Chief Operating Officer (COO)	**Member**
03	**Mr. Mohammad Khan,** FCS Company Secretary & Head of CCU	**Member Secretary**
04	**Ms. Mashruna A. Chowdhury,** FCA Chief Financial Officer (CFO)	**Member**
05	**Mr. Tanvir Warsi** Unit Head, Financial Relations	**Member**
06	**Mr. Md. Sheikh Anowar Sadat** Unit Head, Large Infrastructure	**Member**
07	**Mr. Md. Mizanur Rahman** Unit Head, Credit Administration	**Member**
08	**Mr. Md. Nisarul Kabir Siddiqui** Unit Head, Treasury	**Member**
09	**Mr. Md. Saddam Hossain** Unit Head, Sustainable Finance	**Member**

Generally, the Committee sits once each week regularly to make decisions and supervise the regular functions and operations of the organization. In 2017, a total of 36 meetings were held with the presence of most of the members.

Credit Risk Management (CRM) Committee

The CRM Committee evaluates all projects/ proposals of financing activities of the Company from the risk point of view. Headed by the CEO, the committee consists of the following members:

01	**Mr. S.M. Formanul Islam** Executive Director & CEO	**Chairman**
02	**Mr. Md. Sagir Hossain Khan** Chief Operating Officer (COO)	**Member**
03	**Mr. Tanvir Warsi** Unit Head, Financial Relations	**Member**
04	**Mr. Sheikh Anowar Sadat** Unit Head, Large Infrastructure	**Member**
05	**Mr. Md. Mizanur Rahman** Unit Head, Credit Administration	**Member Secretary**
06	**Mr. Mohabul Alam** Unit Head, IT & MIS	**Member**
07	**Mr. Sujit Basak** Unit Head, ICC	**Member**
08	**Ms. Rajina Rashid** Unit Head, WEDU	**Member**
09	**Mr. Md. Saddam Hossain** Unit Head, Sustainable Finance	**Member**
10	**Mr. Mokabbir Sarkar** Officer, Legal Affairs	**Member**

The functions of the CRM Committee are as under:

- Responsible for the implementation of the credit risk policy/ strategy approved by the Board;
- Monitor credit risk and ensure compliance with limits approved by the Board;
- Recommend to the Board, for its approval, clear policies on standards for presentation of credit proposals, financial covenants, rating standards and benchmarks;

- Taking decisions in terms of capital allocation and defining limits in line with the risk strategy;
- Decide delegation of credit approving powers, prudential limits on large credit exposures, standards for facility collateral, portfolio management, facility review mechanism, risk concentrations, risk monitoring and evaluation, pricing of facilities, provisioning, regulatory/legal compliance, etc.;
- Lay down risk assessment systems, develop MIS, monitor quality of facility/investment portfolio, identify problems, correct deficiencies and undertake facility review/audit; and
- Undertake portfolio evaluations and conduct comprehensive studies on the environment risk management.

Asset Liability Management Committee (ALCO)

In order to manage the Balance Sheet risk especially for meeting of liquidity risk and interest rate risk and assist the Management Committee in the decision-making process, BIFFL management formed an Asset Liability Management Committee (ALCO). ALCO is also responsible for creating an optimal structure of the company's balance sheet to provide the maximum profitability, limiting the possible risk level, monitoring the capital adequacy and risk diversification. The ALCO convene periodical meeting and regularly reviews the decisions of the meeting. The members of the ALCO are-

01	**Mr. S.M. Formanul Islam** Executive Director & CEO	**Chairman**
02	**Mr. Md. Sagir Hossain Khan** Chief Operating Officer (COO)	**Member**
03	**Ms. Mashruna A. Chowdhury,** FCA Chief Financial Officer (CFO)	**Member**
04	**Mr. Tanvir Warsi** Unit Head, Financial Relations	**Member**
05	**Mr. Md. Sheikh Anowar Sadat** Unit Head, Large Infrastructure	**Member**
06	**Mr. Md. Mizanur Rahman** Unit Head, Credit Administration	**Member**
07	**Mr. Md. Nisarul Kabir Siddiqui** Unit Head, Treasury	**Member**
08	**Mr. Md. Saddam Hossain** Unit Head, Sustainable Finance	**Member**
09	**Ms. Rajina Rashid** Unit Head, WEDU	**Member**
10	**Ms. Rabeya Rahman** Senior Officer, Treasury	**Member Secretary**

Risk Management Forum

The Risk Management Forum (RMF) was formed in accordance with the Bangladesh Bank's DFIM Circular no. 01 dated April 07, 2013 to introduce proactive risk management procedures in line with the international best practices framework. The RMF-

- Reviews management's plans for mitigation of the material risks faced by BIFFL, evaluating their potential impact, and implementing appropriate strategies to manage those risks;
- Promotes awareness of a risk-based culture and achievement of a balance between risk minimization and reward for mitigation of risks;
- Reviews the sufficiency of personnel, systems, procedures and other risk management issues;
- Reviews and assess the integrity and adequacy of the risk management function, including process and organizational structure.

The forum consists of the following members-

01	**Mr. Md. Sagir Hossain Khan** Chief Operating Officer (COO)	**Convener**
02	**Mr. Mohammad Khan,** FCS Company Secretary & Head of CCU	**Member**
03	**Ms. Mashruna A. Chowdhury,** FCA CFO	**Member**
04	**Mr. Md. Nisarul Kabir Siddiqui** Unit Head, Treasury	**Member**
05	**Mr. Sujit Basak** Unit Head, ICC	**Member Secretary**
06	**Mr. Mohabul Alam** Unit Head, IT & MIS	**Member**

Risk Analysis Unit

Concurrent with the formation of the RMF, the BIFFL Risk Analysis Unit (RAU) was formed to act as the secretariat of the Risk Management Forum with the responsibility for identifying and analyzing various types of risks appropriately and in a timely manner. The RAU comprises of-

01	**Mr. Sheikh Anowar Sadat** Unit Head, Large Infrastructure	**Convener**
02	**Mr. Md. Mizanur Rahman** Unit Head, Credit Administration	**Member Secretary**
03	**Mr. Md. Saddam Hossain** Unit Head, Sustainable Finance	**Member**
04	**Ms. Rajina Rashid** Unit Head, WEDU	**Member**
05	**Muhammed Shahjahan** Officer, HR & Administration	**Member**
06	**Ms. Mehnaz Hossain** MTO, Credit Administration	**Member**
07	**Mr. Mokabbir Sarkar** Officer, Legal Affairs	**Member**

Central Compliance Unit

Pursuant to the directions and guidelines of "Guidance Notes on Prevention of Money Laundering and Terrorist Financing" issued by Bangladesh Financial Intelligence Unit, Bangladesh Bank, BIFFL formed the Central Compliance Unit (CCU). The unit is responsible to monitor, supervise and follow up the entire compliance issues of the organizations including the compliance of Anti-Money Laundering (AML) and Anti-Terrorism (AT) under the Policy on Anti-Money Laundering as approved by the BIFFL Board. The CCU comprises-

01	**Mr. Mohammad Khan, FCS** Company Secretary	**Head of CCU & CAMLCO**
02	**Mr. Md. Mizanur Rahman** Unit Head, Credit Administration	**Member**
03	**Mr. Mohabul Alam** Unit Head, IT & MIS	**Member**
04	**Mr. Sujit Basak** Unit Head, ICC	**DCAMLCO & Member Secretary**
05	**Mr. Mokabbir Sarkar** Officer, Legal Affairs	**Member**

Integrity and Ethics Committee

BIFFL formed Integrity and Ethics Committee as per the directions and guidelines of Bangladesh Bank to abide by the code of integrity and good governance in line with National Integrity Strategy of Bangladesh. The committee is responsible for development of the integrity and ethical standard among the employees of the organization. The committee comprises of–

01	**Mr. Md. Sagir Hossain Khan** Chief Operating Officer (COO)	**Chairman**
02	**Mr. Mohammad Khan,** FCS Company Secretary & Head of CCU	**Focal Point**
03	**Ms. Mashruna A. Chowdhury,** FCA CFO	**Member**

04	**Mr. Mohabul Alam** Unit Head, IT & MIS	**Member**
05	**Mr. Sujit Basak** Unit Head, ICC	**Member Secretary**
06	**Muhammed Shahjahan** Officer, HR & Administration	**Member**

Sustainable Finance Committee

Pursuant to the directions of SFD Circular no. 02, dated 01 December 2016 issued by Bangladesh Bank, BIFFL formed the Sustainable Finance Committee. The committee is responsible for supervising the activities of Sustainable Finance Unit at BIFFL. The committee formed as follows-

01	**Mr. Md. Sagir Hossain Khan** Chief Operating Officer (COO)	**Chairman**
02	**Mr. Mohammad Khan,** FCS Company Secretary & Head of CCU	**Member**
03	**Ms. Mashruna A. Chowdhury,** FCA CFO	**Member**
04	**Mr. Sheikh Anowar Sadat** Unit Head, Large Infrastructure	**Member**
05	**Mr. Md. Mizanur Rahman** Unit Head, Credit Administration	**Member**
06	**Mr. Mohabul Alam** Unit Head, IT & MIS	**Member**
07	**Mr. Sujit Basak** Unit Head, ICC	**Member**
08	**Ms. Rajina Rashid** Unit Head, WEDU	**Member**
09	**Mr. Md. Saddam Hossain** Unit Head, Sustainable Finance	**Member Secretary**

Recruitment Committee

The Recruitment Committee monitors the overall recruitment process of BIFFL. As per the instruction of the BIFFL Board and subsequent nomination from the Ministry of Public Administration and Bangladesh Bank, a committee formed with the following members:

01	**Mr. Md. Ekhlasur Rahman** Additional Secretary, Finance Division, MoF & Director of BIFFL	**Chairman**
02	**Mrs. Ummul Hasna** Additional Secretary, Ministry of Public Administration	**Member**
03	**Ms. Md. Faruque Hossain** Additional Secretary and DG of CPTU	**Member**
04	**Mr. A.K.M. Amjad Hussain** General Manager DFIM, Bangladesh Bank	**Member**
05	**Mr. S.M. Formanul Islam** Executive Director & CEO, BIFFL	**Member**

Annexure-I

COMPLIANCE REPORT ON BSEC'S NOTIFICATION

Status of compliance with the conditions imposed by the Securities and Exchange Commission's notification No. SEC/CMRRCD/2006-158/129/Admin/44 dated August 07, 2012 issued under section 2CC of the Securities and Exchange Ordinance 1969. The status report on compliance with those conditions is furnished below:

Condition No.	Title	Complied status (put √ in the appropriate column)		Remarks
		Complied	Not complied	
1	**Board of Directors**			
1.1	Board's Size:	√		
1.2	Independent Director:			Appointment of Independent Director is under process.
1.2 (i)	One fifth (1/5) of the total number of directors	-	-	,,
1.2 (ii) a)	Does not hold any share or holds less than 1% share of the total paid-up shares	-	-	,,
1.2 (ii) b)	Not connected with any sponsor/ director/shareholder who holds 1% or more shares of the total paid-up shares on the basis of family relationship	-	-	,,
1.2 (ii) c)	Does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary/associated companies	-	-	,,
1.2 (ii) d)	Not a member, director or officer of any stock exchange	-	-	,,
1.2 (ii) e)	Not a shareholder, director or officer of any member of stock exchange or an intermediary of the capital market	-	-	,,
1.2 (ii) f)	Not a partner or an executive or was not a partner or an executive during the preceding 3 (three) years of any statutory audit firm	-	-	,,

Condition No.	Title	Complied status (put √ in the appropriate column)		Remarks
1.2 (ii) g)	Not be an independent director in more than 3 (three) listed companies	-	-	,,
1.2 (ii) h)	Not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan to a bank or a NBFI	-	-	,,
1.2 (ii) i)	Not been convicted for a criminal offence involving moral turpitude	-	-	,,
1.2 (iii)	Nominated by board of directors and approved by the shareholders in the AGM	-	-	,,
1.2 (iv)	Not remain vacant for more than 90 (ninety) days	-	-	,,
1.2 (v)	Board shall lay down a code of conduct of all Board members and annual compliance of the code to be recorded	-	-	,,
1.2 (vi)	Tenure of office of an independent director shall be for a period of 3 (three) years, which may be extended for 1 (one) term only	-	-	,,
1.3	Qualification of Independent Directors:			Not applicable
1.3 (i)	Knowledge of Independent Directors	-	-	,,
1.3 (ii)	Background of Independent Directors	-	-	,,
1.3 (iii)	Special cases for qualifications	-	-	,,
1.4	Individual Chairman of the Board & CEO:	√		
1.5	The Directors Report to Shareholders:			
1.5 (i)	Industry outlook and possible future developments in the industry	√		
1.5 (ii)	Segment-wise or product-wise performance	√		
1.5 (iii)	Risks and concerns	√		
1.5 (iv)	Discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin	-	-	Not applicable

Condition No.	Title	Complied status (put √ in the appropriate column)		Remarks
1.5 (v)	Discussion on continuity of any Extra-Ordinary gain or loss	√		
1.5 (vi)	Basis for related party transactions	√		
1.5 (vii)	Utilization of proceeds from public issues, rights issues and/or through any others	-	-	Not applicable
1.5 (viii)	Explanation if the financial results deteriorate after the company goes for IPO, RPO, Rights Offer, Direct Listing	-	-	,,
1.5 (ix)	Explanation about significant variance occurs between Quarterly Financial performance and Annual Financial Statements	-	-	No such event occurred
1.5 (x)	Remuneration to directors including independent directors	√		
1.5 (xi)	Fairness of Financial Statements	√		
1.5 (xii)	Proper books of accounts maintained	√		
1.5 (xiii)	Adoption of appropriate accounting policies and estimates	√		
1.5 (xiv)	Followed IAS/BAS/IFRS and BFRS in preparation financial statements	√		
1.5 (xv)	The system of internal control sound in design & effectively implemented & monitored	√		
1.5 (xvi)	No significant doubt upon its ability to continue as a going concern	√		
1.5 (xvii)	Reporting of significant deviations from the last year's in operating results	√		
1.5 (xviii)	Key operating and financial data of at least preceding 5 (five) years	√		
1.5 (xix)	Dividend declared	√		
1.5 (xx)	Number of board meeting held & attendance reporting	√		
1.5 (xxi)	Pattern of shareholding:			

Condition No.	Title	Complied status (put √ in the appropriate column)		Remarks
1.5 (xxi) a)	Parent/Subsidiary/Associated Companies and other related parties	-	-	Not applicable
1.5 (xxi) b)	Directors, CEO, CS, CFO, HIA and their spouses and minor children	√		
1.5 (xxi) c)	Executives	√		
1.5 (xxi) d)	10% or more voting interest	√		
1.5 (xxii)	Appointment/re-appointment of director:	√		
1.5 (xxii) a)	Resume of the director	√		
1.5 (xxii) b)	Expertise in specific functional areas	√		
1.5 (xxii) c)	Holding of directorship and membership of committees of the board other than this company.	√		
2	**Company Secretary (CS), Chief Financial Officer (CFO) and Head of Internal Audit (HOI)**			
2.1	Appointment of CS, CFO & HIA	√		
2.2	Attendance of CFO and CS at the meeting of the Board of Directors	√		
3	**Audit Committee**			
3 (i)	Constitution of Audit Committee	√		
3 (ii)	Assistance of the Audit Committee to Board of Directors	√		
3 (iii)	Responsibility of the Audit Committee	√		
3.1	Composition of Audit Committee:			
3.1 (i)	At least 3 (three) members	√		
3.1 (ii)	Appointment of members of the Audit Committee	√		
3.1 (iii)	Qualification of Audit Committee members	√		
3.1 (iv)	Term of service of Audit Committee members	√		
3.1 (v)	Secretary of the Audit Committee	√		
3.1 (vi)	Quorum of the Audit Committee	√		
3.2	Chairman of Audit Committee:			
3.2 (i)	Board of Directors shall select the Chairman	√		

Condition No.	Title	Complied status (put √ in the appropriate column)		Remarks
3.2 (ii)	Chairman of the Audit Committee shall remain present in the AGM	√		
3.3	Role of the Audit Committee:			
3.3 (i)	Oversee the financial reporting process	√		
3.3 (ii)	Monitor choice of accounting policies and principles	√		
3.3 (iii)	Monitor Internal Control Risk management process	√		
3.3 (iv)	Oversee hiring and performance of external auditors	√		
3.3 (v)	Review the annual financial statements before submission to the Board for approval	√		
3.3 (vi)	Review the quarterly and half yearly financial statements before submission to the Board for approval	√		
3.3 (vii)	Review the adequacy of internal audit function	√		
3.3 (viii)	Review statement of significant related party transactions	√		
3.3 (ix)	Review Management Letters/ Letter of Internal Control weakness issued by statutory auditors	√		
3.3 (x)	Disclosure about the uses/ applications of funds raised by IPO/RPO/Right issue	-	-	No such events occurred
3.4	Reporting of the Audit Committee:			
3.4.1	Reporting to the Board of Directors:	√		
3.4.1 (i)	Activities of Audit Committee	√		
3.4.1 (ii) a)	Conflicts of interest	√		
3.4.1 (ii) b)	Material defect in the internal control system	√		
3.4.1 (ii) c)	Infringement of laws, rules and regulations	√		
3.4.1 (ii) d)	Any other matter	√		
3.4.2	Reporting to the Authorities	√		

Condition No.	Title	Complied status (put √ in the appropriate column)		Remarks
3.5	Reporting to the Shareholders & General Investors	√		
4	**Engagement of External/Statutory Auditors:**			
4 (i)	Appraisal or valuation services or fairness opinions	√		
4 (ii)	Financial information systems design and implementation	√		
4 (iii)	Book-keeping	√		
4 (iv)	Broker-dealer services	√		
4 (v)	Actuarial services	√		
4 (vi)	Internal audit services	√		
4 (vii)	Services that the Audit Committee determines	√		
4 (viii)	Audit firms shall not hold any share of the company they audit.	√		
4 (ix)	Audit firm shall not certify on compliance of corporate governance	√		
5	**Subsidiary Company:**			Not applicable
5 (i)	Composition of the Board of Directors	-	-	,,
5 (ii)	At least 1 (one) independent director to the subsidiary company	-	-	,,
5 (iii)	Submission of Minutes to the holding company	-	-	,,
5 (iv)	Review of Minutes by the holding company	-	-	,,
5 (v)	Review of Financial Statement by the holding company	-	-	,,
6	**Duties of Chief Executive Officer and Chief Financial Officer:**			
6 (i) a)	Reviewed the truthfulness of the financial statement and certified to the Board	√		
6 (i) b)	Reviewed compliance of the accounting standard	√		

Condition No.	Title	Complied status (put √ in the appropriate column)		Remarks
6 (ii)	Reviewed the absence of fraudulent or illegal transactions or violation of the company's code of conduct	√		
7	**Reporting and Compliance of Corporate Governance:**			Not applicable
7 (i)	Obtain certificate regarding compliance of conditions of Corporate Governance Guidelines	-	-	,,
7 (ii)	Annexure attached, in the directors' report	-	-	,,

Annexure-II

Compliance Report on Bangladesh Bank's Guidelines on Corporate Governance

Bangladesh Bank requires the Financial Institutions to comply with the guidelines on Corporate Governance as per the DFIM Circular no. 7 dated 25 September 2007 taken appropriate steps to comply with the guidelines and implemented the same. Status report on compliance with those guidelines is given below:

Condition no.	Particular	Complied status (put √ in the appropriate column)		Remarks (if any)
		Complied	Not complied	
01	Responsibilities and authorities of Board of Directors The responsibilities of the Board of Directors are mainly related to and developing strategy. Those are as-			
	A. Work Planning and Strategic Management			
	i. The Board shall determine the vision/mission of the Company. Board shall also determine the strategy and work plan for enhancement of institutional efficiency and other policy matters on annual basis. The Board shall make necessary amendments on the strategy on quarterly basis.	√		
	ii. The Board shall have its analytical review to be incorporated in the Annual Report as regard to the success or failure in achieving the target as set out in the annual work plan and inform the same to the shareholders in the Annual General Meeting (AGM).	√		
	iii. The Board shall determine the Key Performance Indicators for chief executive along with other top-level executives and re-assess on half yearly basis.	√		
	B. Formation of Sub-committee			
	For making timely decision, Executive Committee and Audit Committee can be formed. No alternative director shall be included in this committee.	√		
	C. Financial Management			
	i. Annual budget and statutory financial reports shall be authorized by the Board of Directors.	√		

ii. The Board shall review company's statement of income and expense, statement of loan/lease, liquidity requirement, capital adequacy of provision, action taken for legal cases and recovery of default loan.	√		
iii. The Board shall approve the procurement policy and shall accordingly approve the delegation of power for making such expenditure. The maximum delegation of power shall rest on the CEO and top management. However, decision relating to purchase of land, building, and vehicle shall remain with the Board.	√		
iv. Bank account of the Company shall be operated by a group constituted from amongst the Management which must be approved by the Board and having dual signatures (As amended through circular number 09, dated October 08, 2007).	√		
D. Loan/Lease/Investment Management			
i. The policies, strategies, procedures etc. in respect of loan appraisal of loan/lease/investment proposal sanction, disbursement, recovery, rescheduling, and write-off shall be made with the Board's approval under the purview of the existing laws, rules and regulations. The Board shall specifically delegate the power of sanction of loan/lease/investment and such delegate should desirably be made among the CEO and other top management of the company.	√		
ii. No Director shall interfere directly or indirectly in the process of loan approval.	√		
iii. Core Risk Management Guidelines shall be approved by the Board of Directors of the Company.	√		

E. Risk Management			
Approval shall be taken from Board of Directors for syndicate loan/lease/investment and large loan, lease or investment.	√		
F. Internal Control & Compliance			
Audit Committee shall be formed for effective implementation of an integrated internal control system of the Company and for keeping loan/lease/investment quality at a desired level. Board Audit Committee shall review the report provided by the Internal Control & Compliance Department, the external auditor and the Bangladesh Bank shall make comments thereon.	√		
G. Human Resources Management (HRM)			
Polices relating to recruitment, promotion, transfer disciplinary and punitive measures, HR development etc. and service rule shall be framed and approved by the Board. The Chairman or the Board shall no way involve themselves or influence over any administrative affairs including recruitment, promotion, transfer and disciplinary measures as executed under the service rules. No member of the Board shall be included in the selection committees for recruitment and promotion of different levels except the position MD, DMD and GM or equivalent.	√		
H. Appointment of Managing Director and Increase of Salaries & Allowances			
Board of Director shall appoint a competent Managing Director with approval of the Bangladesh Bank. Board shall approve any increment of salaries and allowance of the Managing Director.	√		
I. Benefit to the Chairman			
Chairman may be offered an office room, a personal secretary, a telephone at the office, a vehicle in the business-interest of the company subject to the approval of the Board.	√		

02	**Responsibilities and Duties of Chairman**			
	i. Chairman shall not personally possess the jurisdiction to apply policy making or executive or operational and routine affairs of the Company.	√		
	ii. The Minutes of the Board meetings shall be signed by the Chairman.	√		
	iii. Chairman shall sign-off the personal for appointment of Managing Director and revision of his salaries & allowances.	√		
03	**Responsibilities of Managing Director** The Managing Director or Chief Executive officer of the company or whatsoever be called, shall work under the following area:			
	i. Managing Director shall discharge his responsibilities on matters relating to financial, business and administration vested by the Board upon him. He is also accountable for achievement of financial and other business targets by means of business plan, efficient implementation of administration and financial management.	√		
	ii. Managing Director shall ensure compliance of Financial Institution Act 1993 and other relevant circulars of Bangladesh Bank and other regulatory authorities.	√		
	iii. All recruitment /promotion /training, except recruitment/promotion/ training of DMG & GM (as equivalent to EVP) shall be vested upon the Managing Director. He shall act such in accordance with the approve HR policy of the Company.	√		
	iv. Managing Director may re-schedule job responsibilities of employees.	√		
	v. Managing Director shall sign all the letters/statements/ relating to compliance of policies and guidelines. However, Departmental/unit heads may sign daily letters/ statements as set out in DFIM circular no.2 dated 06 January 2009 if so authorized.	√		

RESPONSIBILITY STATEMENT OF CEO AND CFO

We have reviewed the financial statements of BIFFL which contains balance sheet as on 31st December 2017, profit & loss statement, changes of equity statement, cash flow statement for the year ended 31st December 2017 and a summary of significant accounting policies and others explanatory notes.

These financial statements prepared and presented fairly in accordance with:

- International Financial Reporting Standard (IFRS) adopted by the Institute of Chartered Accountants of Bangladesh (ICAB);
- Bangladesh Bank guidelines;
- Companies Act 1994;
- Income Tax Ordinance 1984;
- Financial Institution Act 1993;
- Bangladesh Securities and Exchange Rules 1987; and
- Other applicable laws and regulations.

The company has taken proper and sufficient care in installing a system of internal control, which is reviewed, evaluated and updated on an ongoing basis. The internal control and compliance unit conducts periodic audits to provide reasonable assurance that the established policies and procedures of the company are consistently followed.

Based on the internal control system of the company and our review of these financial statements, we certify to the best of our knowledge and belief that:

- The statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
- The statements together present a true and fair view of the company's affair and follow existing accounting standards and applicable laws.
- No transection entered by the company during the year which are fraudulent illegal or violation of the company's code of conduct.
- Proper books of accounts as required by the law have been kept by the company.
- The expenditure incurred was for the company's business.
- Adequate provisions have been made for lease/loans and advances, investments and other assets which in our opinion are doubtful to be recovered.

Chief Financial Officer
Mashruna A. Chowdhury, FCA

Executive Director & CEO
S.M Formanul Islam

FINANCIAL HIGHLIGHTS OF BIFFL

HORIZONTAL ANALYSIS

For the last 3 years

Statement of Financial Position

Particulars	2015 (Base Year)	2016	2017
PROPERTY AND ASSETS			
Cash	**100%**	**111%**	**78%**
Cash in hand	100%	3555%	747%
Balance with Bangladesh Bank	100%	110%	78%
Balance with others Banks and Financial Institutions	**100%**	**65%**	**53%**
Inside Bangladesh	100%	65%	53%
Outside Bangladesh	-	-	-
Money at call and short notice	**0%**	**0%**	**100%**
Investment	**0%**	**100%**	**0%**
Government Securoties	-	-	-
Others Investments	0%	100%	100%
Lease, Loans and advances	**100%**	**179%**	**246%**
Lease portfolio, term finance, short term loan, etc.	-	-	-
Fixed assets including land, Building, Furniture and Fixtures	**100%**	**3775%**	**3400%**
Other assets	**100%**	**81%**	**95%**
TOTAL PROPERTY AND ASSETS	**100%**	**98%**	**103%**
LIABILITY AND SHAREHOLDERS' EQUITY			
Liabbilities			
Borrowings from Bangladesh Bank ,Other Banks and Financial Institutions	**100%**	**0.59%**	**0.46%**
Term Deposits	-	-	-
Other Liabilities	**100%**	**84%**	**109%**
TOTAL LIABILITIES	**100%**	**67%**	**87%**
Share holders' Equity	**100%**	**103%**	**106%**
Paid up capital	100%	104%	106%
Share premium	-	-	-
Statury reserve	100%	114%	129%
General reserve	-	-	-
Fair value measurement reserve	-	-	-
Retained earnings	100%	76%	77%
Non controling interest	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	**100%**	**98%**	**103%**

VERTICAL ANALYSIS

For the last 3 years

Statement of Financial Position

Particulars	2015 (Base Year)	2016	2017
PROPERTY AND ASSETS			
Cash	**0%**	**0.24%**	**0.16%**
Cash in hand	0%	0%	0%
Balance with Bangladesh Bank	0%	0.24%	0.16%
Balance with others Banks and Financial Institutions	**70%**	**46%**	**36%**
Inside Bangladesh	70%	46%	36%
Outside Bangladesh	-	-	-
Money at call and short notice	-	-	**0.23%**
Investment	-	**10%**	**10%**
Government Securoties	-	-	-
Others Investments	0%	10%	10%
Lease, Loans and advances	**17%**	**32%**	**42%**
Lease portfolio, term finance, short term loan, etc.	-	-	-
Fixed assets including land, Building, Furniture and Fixtures	**0%**	**1%**	**1%**
Other assets	**12%**	**10%**	**11%**
TOTAL PROPERTY AND ASSETS	**100%**	**100%**	**100%**
LIABILITY AND SHAREHOLDERS' EQUITY			
Liabbilities			
Borrowings from Bangladesh Bank ,Other Banks and Financial Institutions	**3%**	**0.02%**	**0.01%**
Term Deposits	-	-	-
Other Liabilities	**12%**	**10%**	**12%**
TOTAL LIABILITIES	**15%**	**10%**	**12%**
Share holders' Equity	**85%**	**90%**	**88%**
Paid up capital	78%	82%	80%
Share premium	-	-	-
Statury reserve	4%	5%	5%
General reserve	-	-	-
Fair value measurement reserve	-	-	-
Retained earnings	3%	3%	3%
Non controling interest	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	**100%**	**100%**	**100%**

HORIZONTAL ANALYSIS

For The Last 3 Years

Statement of Comprehensive Income

Particulars	2015 (Base Year)	2016	2017
Operating income			
Net interest	100%	228%	451%
Interest income	100%	219%	398%
Less: Interest expenses on deposits & borrowings	100%	158%	14%
Income from investment	-	100%	157%
Commission ,exchange and brokerage income	-	-	-
Other operational income	100%	63%	44%
Total Operating income	**100%**	**84%**	**90%**
Operating expenses			
Salary and allowances	100%	183%	280%
Rent ,taxes ,insurance, electricity etc.	100%	124%	87%
Legal and professional fees	100%	242%	65%
Postage ,stamp , telecommunication etc	100%	771%	566%
Stationary ,printing ,advertisement	100%	262%	145%
Managing directors salary and allowances	100%	162%	171%
Director's fees and expenses	100%	208%	203%
Audit fees	100%	151%	174%
Repairs ,Maintenance and depriciation	100%	466%	707%
Other expenses	100%	297%	387%
Total Operating expenses	**100%**	**242%**	**303%**
Net operating income	**100%**	**80%**	**85%**
Provision for loans/ investments	**100%**	**180%**	**243%**
Provision for lease and loans	100%	180%	243%
Profit before tax and reserve	**100%**	**78%**	**82%**
Provision for tax made during the year	100%	80%	84%
Net profit after tax	**100%**	**77%**	**80%**
Earning per share (EPS)	**100%**	**75%**	**78%**

VERTICAL ANALYSIS
For The Last 3 Years
Statement of Comprehensive Income

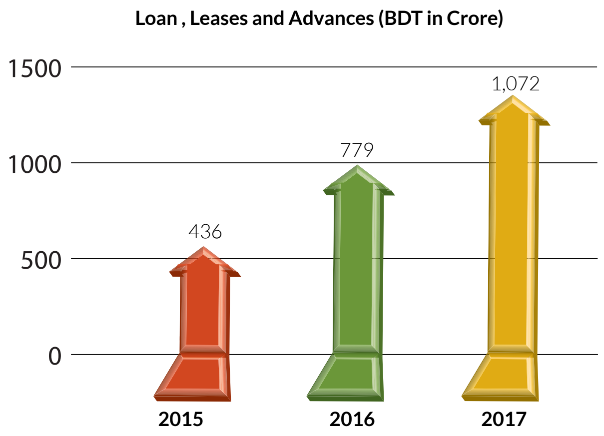
Particulars	2015 (Base Year)	2016	2017
Operating income			
Net interest	**8.85%**	**23.77%**	**45.06%**
Interest income	10.08%	26.06%	45.26%
Less: Interest expenses on deposits & borrowings	1.23%	2.29%	0.20%
Income from investment	0.00 %	7.03%	9.39%
Commission ,exchange and brokerage income	0.00%	0.00%	0.00%
Other operational income	89.92%	66.91%	44.58%
Total Operating income	**98.77%**	**97.71%**	**99.03%**
Operating expenses			
Salary and allowances	0.75%	1.61%	2.36%
Rent ,taxes ,insurance, electricity etc.	0.23%	0.33%	0.22%
Legal and professional fees	0.06%	0.17%	0.04%
Postage ,stamp , telecommunication etc	0.01%	0.13%	0.09%
Stationary ,printing ,advertisement	0.18%	0.56%	0.30%
Managing directors salary and allowances	0.30%	0.57%	0.58%
Director's fees and expenses	0.03%	0.08%	0.08%
Audit fees	0.00%	0.01%	0.01%
Repairs ,Maintenance and depriciation	0.29%	1.62%	2.35%
Other expenses	0.36%	1.27%	1.58%
Total Operating expenses	**2.22%**	**6.35%**	**7.60%**
Net operating income	**96.55%**	**91.36%**	**91.42%**
Provision for loans/ investments	**1.78%**	**3.78%**	**4.89%**
Provision for lease and loans	1.78%	3.78%	4.89%
Profit before tax and reserve	**94.76%**	**87.57%**	**87.31%**
Provision for tax made during the year	**41.03%**	**38.73%**	**38.67%**
Provision for tax made during the year	41.03%	38.73%	38.67%
Net profit after tax	**53.74%**	**48.84%**	**48.63%**

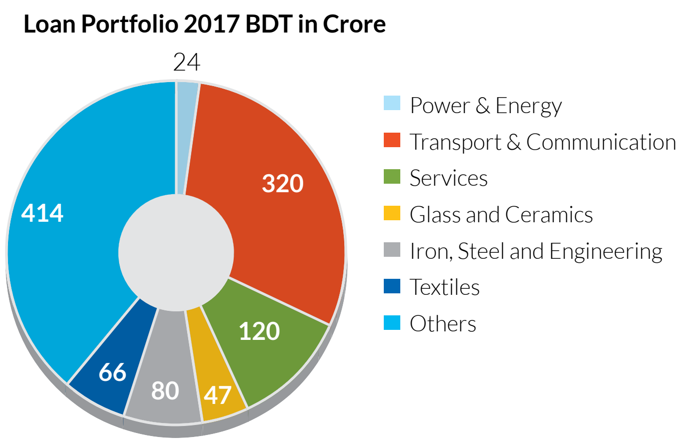
Key Operating & Financial Highlights

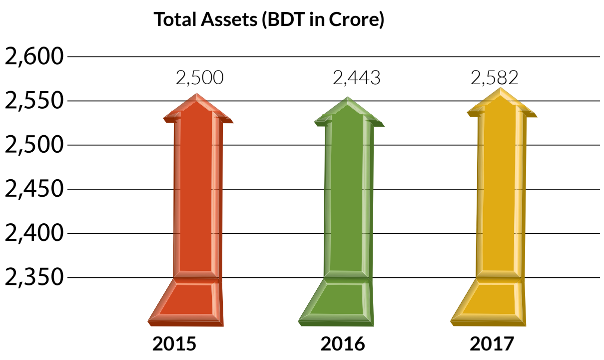
Particulars	2015	2016	2017
Financial Performance (BDT):			
Long Term Investment	-	855,544,789	747,603,687
Short Term Investment	-	1,650,000,000	1,750,000,000
Loan Portfolio	4,358,268,450	7,790,365,136	10,719,748,885
Power & Energy	1,281,890,477	270,054,602	244,962,850
Transport & Communication	120,000,000	3,800,000,000	3,200,000,000
Services	-	518,692,706	1,202,611,111
Glass and Ceramics	-	102,481,875	467,547,146
Iron, Steel and Engineering	-	-	800,000,000
Textiles	-	-	664,378,185
Others	2,956,377,973	3,099,135,953	4,140,249,593
Total Assets	24,996,275,061	24,430,253,970	25,822,384,167
Total Liabilities	3,659,653,932	2,440,217,844	3,178,240,743
Total Equity	21,336,621,129	21,990,036,126	22,644,143,424
Net Current Assets	17,587,867,571	11,406,612,423	9,163,271,367
Operational Performance (BDT):			
Interest Income from Leases, Loans and Advances	188,049,291	412,661,561	748,241,004
Total Revenues	1,865,373,080	1,583,574,404	1,653,372,411
Operating Income	1,842,463,329	1,547,302,192	1,650,140,401
Operating Expenses	41,495,144	100,571,797	125,801,396
Financial Expenses	22,909,751	36,272,212	3,232,010
Provision for Loan Lease and Advances	33,250,490	59,936,697	80,858,449
Profit Before Provision & Tax	1,800,968,185	1,446,730,395	1,524,339,005
Net Profit After Tax	1,002,363,040	773,414,997	804,107,298
Financial Ratios			
Current Ratio (Times)	7.04	5.68	3.89
Return on Assets (%)	4%	3%	3%
Return on Investment (%)	0%	4%	7%
Return on Share Holders Equity (%)	5%	4%	4%
Profit Margin (%)	54%	49%	49%
Opex as % of Operating Income	2%	6%	8%
Earnings Per Share (BDT)	4.99	3.76	3.91
Profit Per Employee (BDT)	45,561,956	18,414,643	14,620,133
Capital Adequacy Ratio (CAR)	112.48%	276.71%	149.69%
% Classified Loans	-	-	-
Equity Statistics:			
Number of Shares	194,000,000.00	201,000,000.00	205,900,000.00
Paid Up Capital (BDT)	19,400,000,000.00	20,100,000,000.00	20,590,000,000.00
Share Holders Equity (BDT)	21,336,621,129.00	21,990,036,126.33	22,644,143,424.07
Dividend (BDT)**	3500000000	820,000,000.00	640,000,000.00
Net Assets Value (NAV) per share	**109.98**	**109.40**	**109.98**

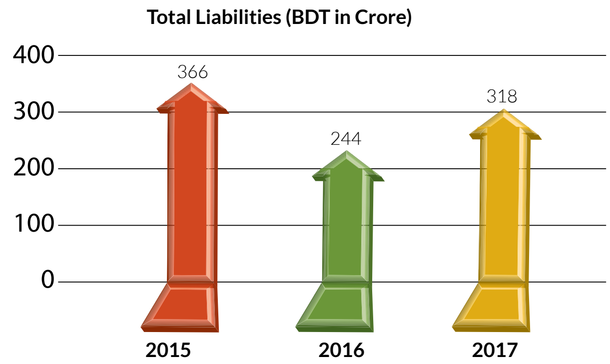
** In 2015 BIFFL paid Dividend BDT 350 Crore for the year 2011 to 2014

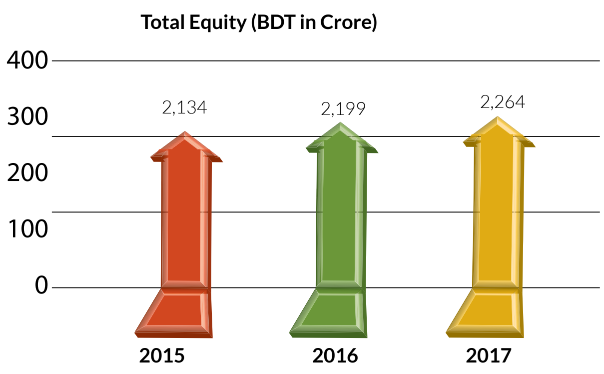
Financial Performance(BDT):





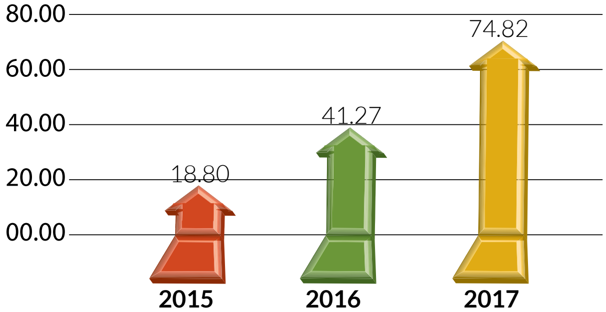




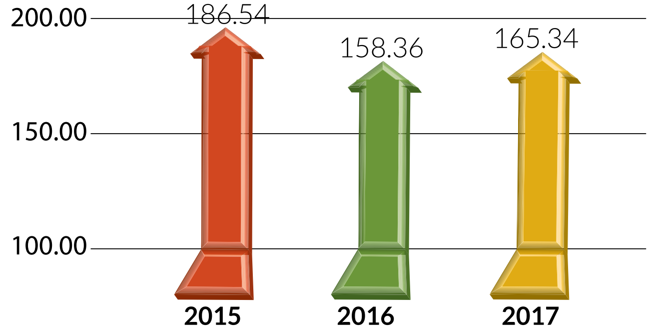


Operational Performance(BDT)

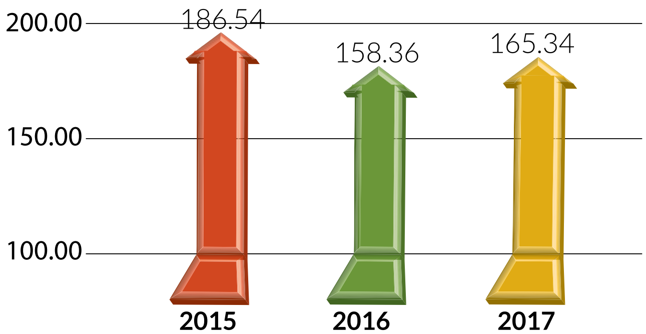
Interest Income from Leases, Loans and Advances (BDT in Crore)



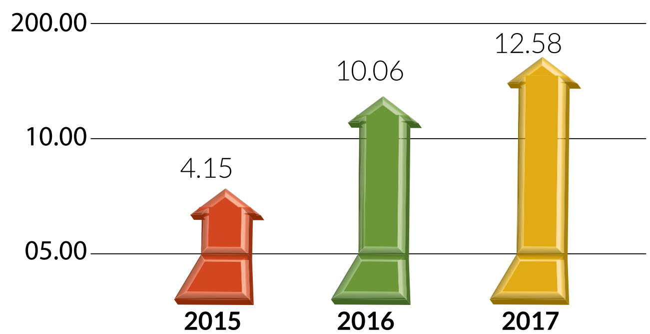
Total Revenues (BDT in Crore)



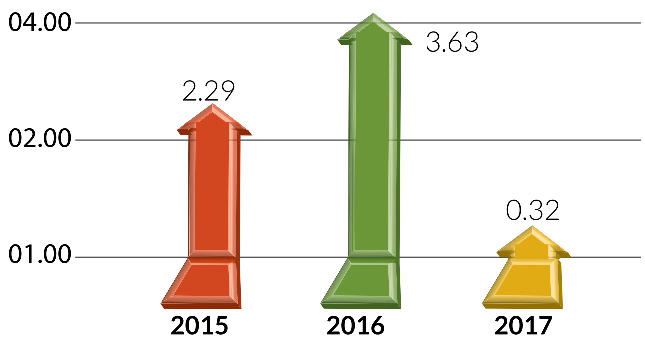
Operating Income (BDT in Crore)



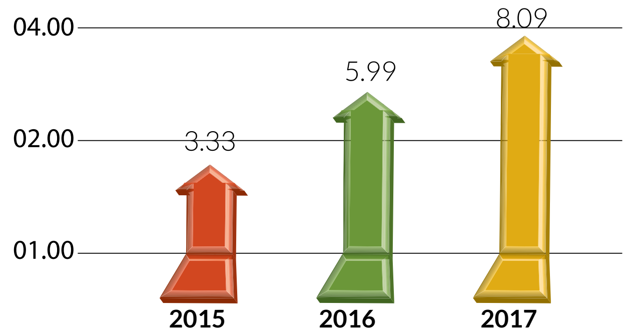
Operating Expenses (BDT in Crore)



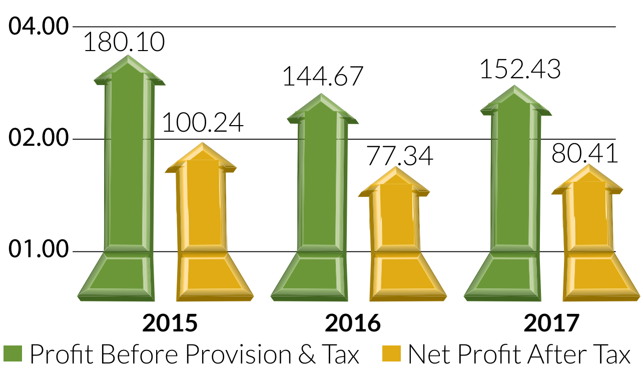
Financial Expenses (BDT in Crore)



Provision for Loan Lease and Advances (BDT in Crore)



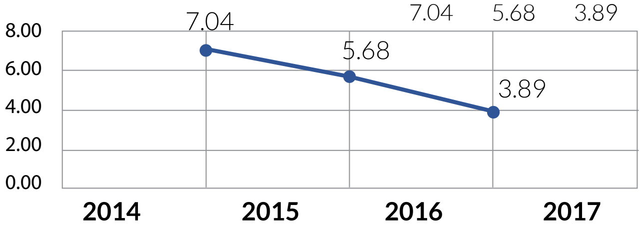
Profit BDT in Crore



Financial Ratios

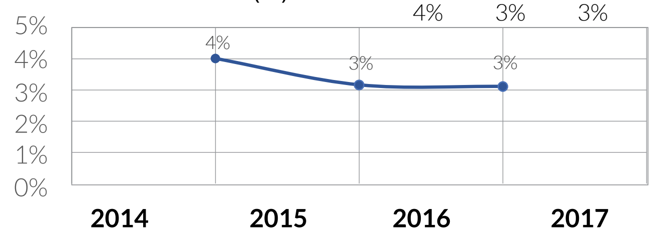
Current Ratio(Times)

2015	2016	2017
7.04	5.68	3.89



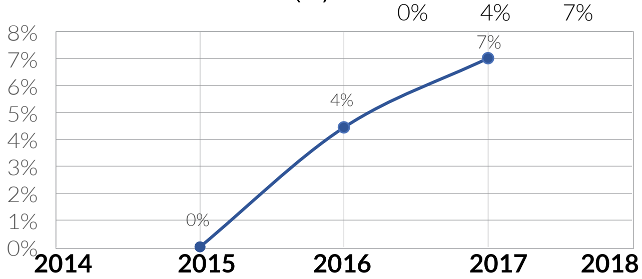
Return on Assets(%)

2015	2016	2017
4%	3%	3%



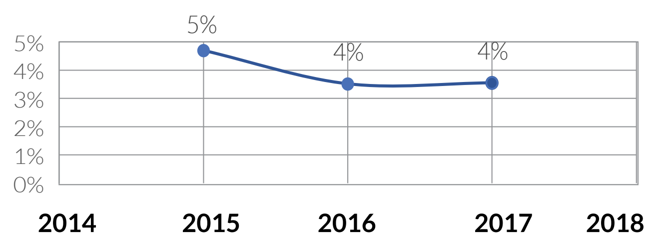
Return on Investment(%)

2015	2016	2017
0%	4%	7%



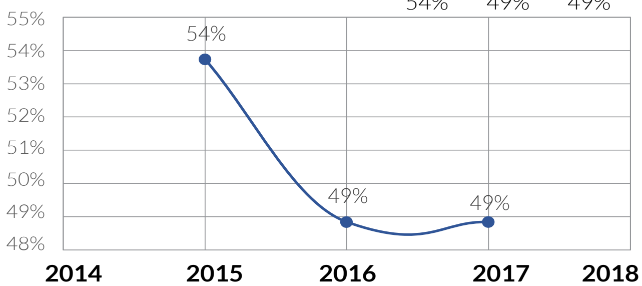
Return on Share Holders Equity(%)

2015	2016	2017
5%	4%	5%



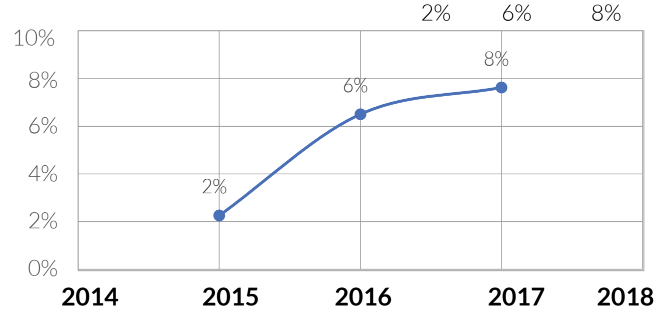
Profit Margin(%)

2015	2016	2017
54%	49%	49%



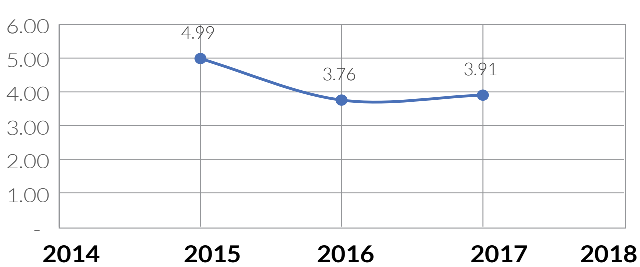
Opex as % of Operating Income

2015	2016	2017
2%	6%	8%



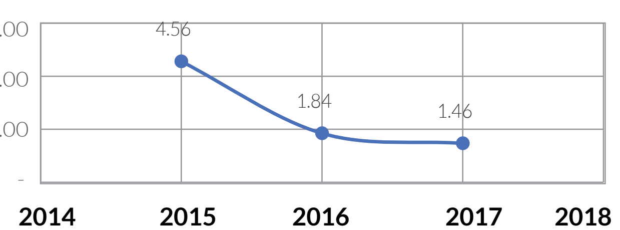
Earnings Per Share(BDT)

2015	2016	2017
2%	6%	8%



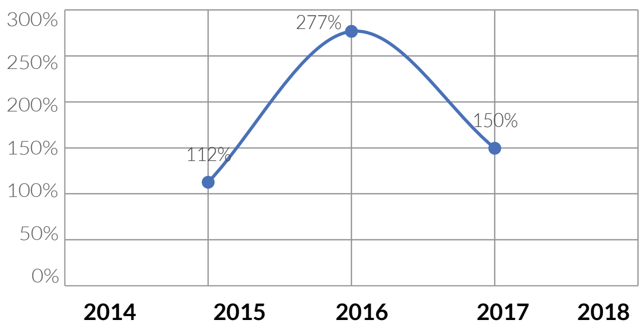
Profit Per Employee(BDT in Crore)

2015	2016	2017
4.56	1.84	1.46



Capital Adequacy Ratio(CAR-%)

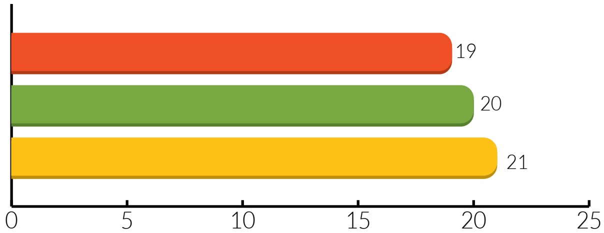
2015	2016	2017
112%	277%	150%



Equity Statistics

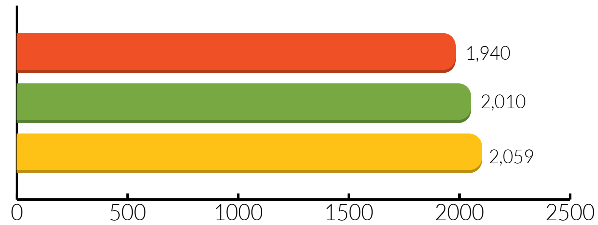
Number of Shares
(No. in Crore)

2015	2016	2017
19	20	21



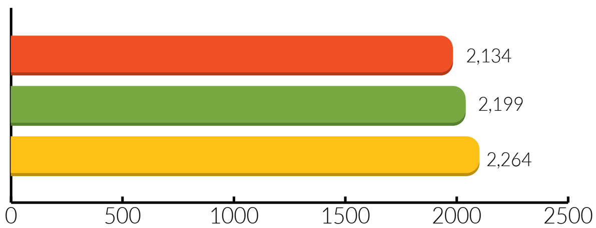
Paid Up Capital
(BDT in Crore)

2015	2016	2017
1,940	2,010	2,059



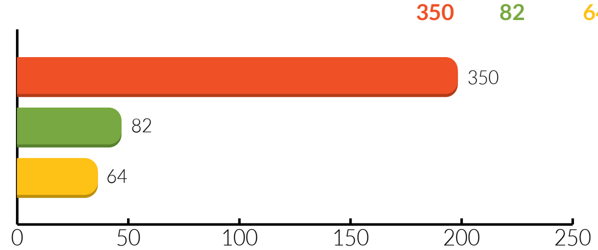
Share Holders Equity
(BDT in Crore)

2015	2016	2017
2,134	2,199	2,264



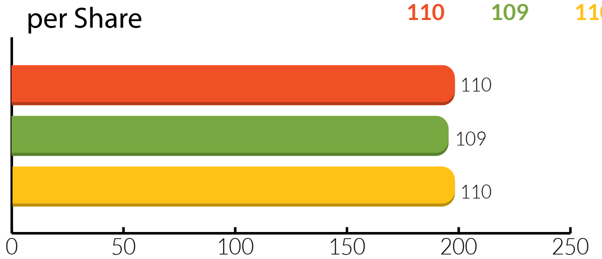
Dividend(BDT in Crore)

2015	2016	2017
350	82	64



Net Assets Value (NAV)
per Share

2015	2016	2017
110	109	110



Statement on Contribution to Government Exchequer

For the Year Ended on 31 Decemeber 2017

Government is one of the most important stakeholders and also play a critical role in economic and technological advancement of the country. As a concious and ethical government owned entity Bangladesh Infrastructure Finance Fund Limited (BIFFL) makes consistent contribution to the Goverment Exchequer. For the year ended 2017, BIFFL contributed to the Government Exchequer an amount of Taka 56 crore compsoed of income tax, withholding tax, withholding VAT and dividend.

Forms of Contribution	2017	2016
Income Tax:	**401,906,989.00**	**819,646,450.00**
Payroll tax	3,228,043.00	2,205,800.00
Advance corporate tax	397,143,090.00	816,773,044.00
Tax on payment to suppliers, vendors, service providors etc.	1,535,856.00	667,606.00
Value Added Tax(VAT):	**3,806,467.00**	**3,639,402.00**
VAT on payment to suppliers, vendors, service providers etc.	3,806,467.00	3,639,402.00
Dividend:	**150,000,000.00**	**120,000,000.00**
Cash dividend	150,000,000.00	120,000,000.00
Total Contribution to Government Exchequer	**555,713,456.00**	**943,285,852.00**

Value Added Statement

For the Year Ended on 31 Decemeber 2017

The value added statement appended below is the details of total value addition by Bangladesh Infrastructure Finance Fund Limited(BIFFL) and distribution thereof. The distribution of value reveals how the company contributed for socio-economic development by paying salaries and allowances to the employees, dividend to the shareholders (Government), taxes to the Government and retention of some amounts for growth and expansion.

	2017		2016		2015	
	Taka	%	Taka	%	Taka	%
Value added						
Operating income	1,653,372,411		1,583,574,404		1,865,373,080	
Cost of borrowing	(3,232,010)		(36,272,212)		(22,909,751)	
Provisions	(80,858,449)		(59,936,697)		(33,250,490)	
Operating expenses excluding salary expenses and depreciation	(40,416,710)		(51,065,781)		(20,317,059)	
	1,528,865,242		**1,436,299,714**		**1,788,895,780**	
Distribution of value addition						
To employees as salaries and allowances	48,590,300	3%	34,566,019	2%	19,538,160	1%
To Government as Income Tax (Provision)	641,851,639	42%	606,429,852	42%	765,585,884	43%
To Shareholders (Government) as dividend	640,000,000	42%	640,000,000	45%	820,000,000	46%
Value retained for expansion and furture growth						
Value retained in business	164,107,298	11%	133,414,997	9%	182,363,039	10%
Deferred Tax	(2,478,381)	-0%	6,948,849	0%	(231,228)	-0%
Depreciation	36,794,386	2%	14,939,997	1%	1,639,925	0%
Amount distributed	**1,528,865,242.13**	**100%**	**1,436,299,714**	**100%**	**1,788,895,780**	**100%**
Number of employees at the end of the year	55		42		22	
Value created per employee	**27,797,550**		**34,197,612**		**81,313,445**	
Number of shares	**205,900,000**		**201,000,000**		**194,000,000**	
Value created per share	**7.43**		**7.15**		**9.22**	

ETHICS AND COMPLIANCE

BIFFL pays close attention to the moral concerns in order to make the right ethical practice on a day-to-day basis over and above observing the law, as one of the basic professional requirements for the NBFIs. It is also committed to establishing and upholding the highest standards of ethics and compliance by its employees. This commitment is reflected in its Code of Conduct that covers, among other issues, the following areas:

- Their relationship with and responsibilities to BIFFL;
- Their relationship with and responsibilities to customers;
- Compliance with laws and regulations;
- Acting in a professional and ethical manner;
- Protection of business assets;
- Disclosure of conflicts of interest;
- Prohibition of any conduct involving dishonesty, fraud, deceit or misrepresentation including insider trading.

Dissemination of the statement of ethics and Code of Conduct

All BIFFL employees are required to sign an annual declaration confirming that they have read and understood the Code of Conduct. The Human Resources department circulates the required declaration, and ensures that all employees signed the declaration. The Internal Control and Compliance (ICC) Unit, through regular audits, assesses whether any employees have breached the Code of Conduct.

Board's commitment to establishing high levels of ethics and compliance within BIFFL

The BIFFL Board acknowledges its responsibility for ensuring that the Company's business activities are conducted in accordance with the highest standards of ethics and compliance. The Board views adherence to ethical standards and compliance as an integral part of the broader corporate governance framework and seeks to adopt a holistic approach in ensuring its implementation. As part of this, it has instituted a number of approaches to underline its commitment to high standards of ethical behaviour:

- Setting down standards of expected behaviour through the formulation and communication of a Code of Conduct;
- Installing a system of internal controls, which is reviewed, evaluated and updated on an ongoing basis;
- Positioning Company policies and procedures on ethical foundations to ensure that ethical considerations are integrated in the day-to-day decision-making, activities and processes;
- Establishing a clearly-defined organizational structure that assigns responsibility and authority for the conduct of organizational functions while at the same time ensuring accountability for individual actions;
- Establishing a variety of monitoring mechanisms including the creation and empowerment of an operationally independent internal audit team with reporting responsibilities to the audit committee;
- Ensuring instant action with zero tolerance for identified instances of unethical and/or non-compliant behaviour.

Reporting Compliance

We have reported breaches of our Code of Conduct and Ethics framework yearly. Breaches of operational, regulatory and compliance requirements are tracked and case management, with corrective action closely monitored until 'closed'. All breaches of the Code are reported annually to our Management Committee (ManCom). Compliance with our Code of Conduct and Ethics is monitored by Internal Audit, who ensures processes are in place to appropriately investigate alleged breaches of the Code. We also conduct annual testing of the controls that support our Code of Conduct and Ethics, which forms part of our financial reporting governance program and the results are made available to External Auditors in connection with their external audit of the financial statements.

Recompense of stakeholders' complaints

BIFFL has a formal complaint management process that is open to all stakeholders including both borrowers and vendors. A dedicated complaints cell is headed by a senior member of the management for dealing with complaints. Complaints may also be dropped at complaint boxes kept at all BIFFL premises or can be submitted online on the BIFFL website: www.biffl.org.bd.

CREDIT RATING REPORT

Date of Rating: August 24, 2017	Valid up to: August 23, 2018	
	Long Term	Short Term
Entity Rating as Government Supported Entity	AAA	ST-1
Entity Rating as NBFI	AA-	ST-1
Outlook	Stable	

Credit Rating Information and Services Limited (CRISL) has rated BIFFL from two distinct perspectives, first as a highly integrated Government Support Entity (GSE) and second, as a Non-Banking Financial Institution in Bangladesh on stand-alone basis i.e. without considering the Government support and on the basis of its actual position as a NBFI. As a highly integrated GSE, CRISL has assigned 'AAA' (triple A) rating in the long term and 'ST-1' in the short term to BIFFL. The above ratings have been assigned in consideration of implied commitment of the Government especially Public Private Participation for infrastructure development like power sectors and roads and communication sector etc. Government has also been extending its support through policy and other matters to address any adverse situation, which is also a key consideration in the above ratings. CRISL believes that the Government would do its utmost to maintain confidence in the NBFI at any stressed position.

Financial Institutions rated in this category are adjudged to be of best quality, offer highest safety and have highest credit quality. Risk factors are negligence and risk free, nearest to risk free Government bonds and securities. Changing economic circumstances are unlikely to have any serious impact on this category of financial institutions. The short-term rating indicates highest certainty of timely payment. Short term liquidity indicates that internal fund generation is very strong and access to alternative sources of funds is outstanding. Safety is almost like risk free Government short-term obligations.

As a stand-alone financial institution, CRISL has assigned "AA-" (pronounced as double A minus) rating in the long term and "ST-1" in the short term. The above ratings have been assigned in consideration of its fundamentals such as Government owned organization, sound capital base, good asset quality and liquidity, good generating efficiency, high exposure of Board and management personnel etc. However, the above factors have been moderated, to some extent, by its significance idle fund, moderate income generated from core business, concentrated loan portfolio, insufficient PPP projects etc. Moreover, CRISL also factors that asset quality, capital adequacy and liquidity might be affected in the upcoming year through increase of investment. Current rating might be sensitive depending on quality investment, effective monitoring and management efficiency.

On stand-alone basis, the long-term rating indicates a financial institution with a sound credit profile and without significant problems. Risks are modest and may vary from time to time because of economic conditions. The short-term rating indicates highest certainty of timely payment. Short-term liquidity indicates that internal fund generation is very strong and access to alternative sources of funds is outstanding. Safety is almost like risk free Government short-term obligations.

CRISL also viewed the NBFI with "Stable Outlook" in consideration of the fact that the existing fundamentals may remain unchanged in the foreseeable future.

REPORT ON GREEN BANKING AND SUSTAINABILITY

BIFFL has a dedicated "Sustainable Finance Unit", mandated for investing and promoting Green Projects. Through this unit BIFFL provides soft loan and organizes awareness building campaigns among the stakeholders. The 'Sustainable Finance Unit' of BIFFL is now functioning as one of the leading units in the market.

A. Areas of Investment:

- Energy Efficient Technologies
- Utility-scale Solar power
- Green Building
- Waste Treatment & Recycling
- Green Bricks

To cater to the huge potential for investment in Green Brick Sector, BIFFL has formed a new unit named "Green Brick and Construction Material Unit" under the SFU in December 2017.

B. Services:

- Advisory Services
- Project Finance/ Refinance
- Loan Syndication
- Awareness and Promotions

C. Approval and Disbursement Status: (All amounts as of 15 March, 2018)

a. Green Brick Projects:

Name of the Project	Project Location	BIFFL Sanction (BDT Crore)	BIFFL Disbursement (BDT Crore)
Makrail Auto Green Bricks Ltd.	Modhukhali, Faridpur	17.50	16.48
Dharmapur Ceramic Bricks Industries Ltd.	Ashulia, Dhaka	20.00	20.16
First Auto Bricks Ltd.	Polash, Narshingdi	10.00	08.67
Piya Auto Bricks Ltd.	Mirsharai, Chittagong	15.00	02.25
Asim Auto Bricks Industry Ltd.	Mirjapur, Tangail	20.00	03.03
MRD Bricks Ltd.	Dumuria, Khulna	10.00	-
Naz Auto Bricks Ltd.	Mithapukur, Rangpur	10.00	-
ANB Auto Bricks Ltd.	Madargonj, Jamalpur	20.00	-
Equitable Auto Bricks Ltd.	Shirajdikhan, Munshiganj	20.00	-
Phoenix Ceramic and Auto Bricks Ltd.	Bhuspur, Chittagong	20.00	-
Usa Agro and Auto Bricks Ltd.	Dumki, Patuakhali	20.00	-
Nawhata Green Bricks Ltd.	Poba, Rajshahi	11.00	-
KB Auto Bricks Ltd.	Derai, Sunamganj	20.00	-
Shore Auto Bricks Ltd.	Terokhada, Khulna	20.00	-
Total		**233.50**	**41.92**

b. Energy Efficiency & Green Industry:

Name of the Project	Project Location	BIFFL Sanction (BDT crore)	BIFFL Disbursement (BDT crore)
Odyssey Craft (Pvt.) Ltd.	Dhamrai, Dhaka	90.86	79.71
Aman Spinning Mills Ltd.	Savar, Dhaka	40.00	-
Total		**130.86**	**79.71**

D. Refinancing Facilities:

1. **Energy Efficiency and Conservation promotion financing Project**

    - Source of Fund: Japan International Corporation Agency (JICA), Fund Amount: USD 50 mn equivalent in BDT; Interest Rate: 4%

    - Eligible Industries: Fertilizer, Paper, RMG, Glass, Cement, Steel, Food, Telco Industry, Green Building and Home Appliance.

2. **Financing Brick Kiln Efficiency Improvement Project**

    - Source of Fund: Asian Development Bank / Bangladesh Bank, Fund Amount: USD 50 mn equivalent in BDT; Interest Rate: 9%

    - Featured Areas: Tunnel kiln-based Auto Bricks Only.

3. **Refinancing Scheme for Green products/ Initiatives**

    - Source of Fund: Bangladesh Bank, Fund Amount BDT 200 Crore, Interest rate: 8%-9%, subject to loan tenor

    - Featured Areas: Solar Energy, Bio Gas, Wind Energy, Waste Treatment & Recycling, Energy Efficiency, Green Building, Auto Bricks etc.

BIFFL also finances green brick projects from its own source of fund at a concessionary rate to promote the green brick sector.

E. Refinancing Status:

a. **Energy Efficiency and Conservation Promotion project, JICA**

- NOC Received: Four Projects i.e. BEXIMCO Textile Mills Limited, Tithi Textile Mills Limited, Odyssey Craft (pvt.) Limited and Aman Spinning Mills Limited have already received No-Objection Certificate from Sustainable and Renewable Energy Development Authority (SREDA) for refinancing under "Energy Efficiency and Conservation Financing Project" of JICA.

- Submitted to SREDA for NOC: Four more projects have been submitted to SREDA with an expected eligible energy efficient machinery value of approximately BDT 256 Crore.

- Pipeline: Through market development and awareness building, BIFFL has developed a robust pipeline of projects with an expected eligible energy efficient machinery value of BDT 1275 Crore.

Because of huge market demand as well as potential, JICA is actively considering Phase II of the existing facility with greater amount.

b. **Financing Brick Kiln Efficiency Improvement Project, ADB**

- Approval Stage: Two Green Brick projects i.e. Asim Auto Bricks Industry Limited and Dharmapur Ceramic Bricks Industry Limited are in advanced stage to get the final approval from ADB.

- Preliminary Selection Stage: Phoenix Ceramic and Auto Bricks Ltd. is waiting for preliminary selection from Bangladesh Bank for refinancing facility under 'Financing Brick Kiln Efficiency Improvement Project'.

- Pipeline: BIFFL has 4 more Tunnel Kiln based green Brick Projects to be submitted for refinancing under this scheme.

F. Syndication Financing:

- As the lead arranger, BIFFL SFU has successfully completed financial closure of two Green Brick Manufacturing Projects, Dharmapur Ceramic Bricks Industry Limited and Asim Auto Bricks Industry Limited.

- BIFFL is arranging BDT 206.90 crore for Odyssey Crafts (Pvt.) Ltd, a fully compliant RMG Industry. The syndication facility is divided into two tranches where the first tranche of BDT 107.50 crore has already been arranged.
- BIFFL is working as the lead arranger and agent for two Green Brick projects totaling an amount of approx. BDT 36 crore where BDT 20.00 crore needs to be raised for Phoenix Ceramic and Auto Bricks Limited and BDT 16.00 crore for Shore Auto Bricks Limited.

G. Green Events:

a. BIFFL Green Convention & Expo 2017:

As a part of national awareness campaign for sustainable development, BIFFL organized "BIFFL Green Convention & Expo 2017" at Bangabandhu International Conference Center (BICC), Dhaka.

The convention was held on 25 December 2017 and the Expo continued till 27. The focused areas were: Energy Efficiency, Renewable Energy, Green Building/Industry, Waste Treatment and Green Brick.

The Honourable Minister, Ministry of Environment & Forests, the Governor, Bangladesh Bank, the Alternate Executive Director, Asian Development Bank, Manila, the Commercial Counsellor, Embassy of the People's Republic of China in Bangladesh, the Country Director, the World Bank, Dhaka Office, the Chief Representative, JICA Bangladesh Office, the Secretary in Charge, Finance Division, Ministry of Finance, the Secretary, Economic Relations Division, Ministry of Finance, were present in the convention and inaugurated the Expo. Dr. A Atiq Rahman, Executive Director, Bangladesh Centre for Advanced Studies (BCAS) delivered Keynote Speech. The Honourable Minister, Ministry of Environment & Forests, inaugurated the Expo. Delegates from different institutions and countries including major development partners, researchers and academicians, experts and professionals, industrialists and entrepreneurs were present in the convention.

A pool of experts shared their experiences, ideas and thoughts in panel discussion on the topic "Green Movement in Bangladesh: Present and Future" moderated by the renowned environmentalist Dr. Ainun Nishat. More than 50 organizations including technology providers, consultants, research firms, distributors, financiers, regulators etc. participated in the Expo with 71 stalls to showcase their green products and services to the visitors and prospective clients. An estimate of 3,000-3,500 visitors attended the Expo.

b. BIFFL has also sponsored and participated in three more Green Events:

- 8th Bangladesh Infrastructure Innovation & Development (BIID) Expo & Dialogue 2017, held at Bangabandhu International Conference Centre (BICC), Sher-E-Bangla Nagar, Dhaka from March 2, 2017 to March 4, 2017 where BIFFL participated as the trade partner.
- 17th National Renewable Energy & Green Expo 2017, held at Dhaka University from March 15 to 18, 2017.
- 1st International Conference on Green Architecture, held at BUET from 4 to 5 August 2017 where BIFFL participated as silver sponsor that was.

H. Training and Consumer Awareness:

BIFFL has provided green finance trainings to all of its officials in 10 different programs in FY 2017.

a. BIFFL Green Brick Workshop 2017: BIFFL organized a workshop for the Banking Officials on 27 April 2017 at BIFFL office premise. Total 23 Officials from 8 banks, 5 NBFIs and other stakeholders participated the workshop.

b. **Green Brick Study Tour:** BIFFL arranged Green Brick Study tour for 9 Officials from March 17 to 22, 2017 in China. The team visited machinery manufacturing facilities, Labs and green brick manufacturing facilities of four renowned technology solution providers. BIFFL also signed and MoU with China Building Material Federation (CBMF) for collaboration on the following:

- To support the cooperation between the two countries in the field of building materials industry on the basis of full reciprocity, equality and mutual benefit.
- To use full advantages of the organizations to jointly promote the deep cooperation between China and Bangladesh in the investment and development of Green Brick and Tile Production Lines in Bangladesh.
- To set up working groups to coordinate on the aspect to establish the cooperation platform.

I. Sector Specific Environmental Policies:

Strategies are being formulated to design specific policies for different environment sensitive sectors.

J. Green Strategic Investment Planning:

BIFFL has a five-year investment plan for sustainable finance sector which was adopted in 2016. According to the plan, an amount of BDT 1,648 crore will be invested in the period of 2017-2021 in this sector. Year-wise investment plan is BDT 300 crore in 2018, BDT 315 crore in 2019, BDT 345 crore in 2020 and BDT 403 crore in 2021.

CORPORATE SOCIAL RESPONSIBILITY

Being establish in 2011 BIFFL has been financing Infrastructure projects particularly in the area of Power & Energy, Economic Zones; Tourism and Hospitality Management, Road Transport and Communication, Environment & Eco-friendly projects for ensuring sustainable economic development in the country. With this commitment BIFFL also sees itself as an integral part of the communities and has always been promoting a solid long term relationships with all of its stakeholders. The company believes that an integrated approach and improvement in all aspects of the society can only bring the expected development of the country.

CSR is a concept that aims to help the organization achieving a balance between profitable operation and ethical practice. BIFFL understands that, being a part of the society it is a moral responsibility to support and serve the society to the maximum possible extent.

BIFFL's CSR policy intends to:

- Embrace responsibility for the company's action and encourage a positive impact through its activities on Education, Public Health and Safety, Research & Development works etc.;
- Strive for economic development that positively impacts the societal status, standards and values at large with minimal resource footprint;

The Government of Bangladesh persuades and appreciates the CSR program of the corporate entities of the country. National Board of Revenue (NBR) offers different tax incentives and rebate to motivate the spirit of CSR. Bangladesh Bank (BB) being the primary regulator of Banks and Non-Banking Financial Institutions (NBFI) of the country is also vigilant to the CSR initiatives and contributions of the Banks and NBFIs, and issues Circulars, Directives and Guidelines on CSR;

BIFFL is directly or indirectly participating in or implementing the different CSR programs by meticulously complying with the directives and guidelines of Bangladesh Bank. In the light of indicative guidelines of BB for CSR expenditure allocation and end use oversight, BIFFL formulates its CSR policy to ensure proper management of its CSR activities and contribution to the society as well.

Focus Area

CSR programs of BIFFL will be operated in the following sectors:

- Public Health & Safety;
- Education and Research & Development works;
- Protection of Environment & Nature and Disaster Management;
- Protection of Environment and Nature;
- Restoration of History, Culture and Heritage.

Financial Assistance to cancer patients

Financial Assistance to kidney patients

Voluntary Blood Donation Program 2017

Relief distribution to 150 Cyclone Mora affected families at Moheshkhali/Chokoria

Relief distribution to 150 flood affected families at Mohongonj, Netrokona

STATEMENT ON FINANCIAL RELATIONS UNIT

Financial Relations Unit liaises with other banks/ financial institutions, government and development partners in order to arrange funds for its borrowers under syndication, club financing, co-financing, refinancing, bridge financing etc. as required for the projects.

Syndication

Loan syndication has become an important part of the financial landscape of Bangladesh to diversify risks by sharing and to tackle capital and exposure limit constraints. BIFFL partners with peer banks/FIs for the projects of its borrowers in most of the cases becoming either the lead arranger or participating lender. As of now, BIFFL is acting as the lead arranger and awaiting financial closure of a number of syndicated transactions involving prominent projects like an LPG bottling plant, a zero-discharge energy efficient RMG manufacturing factory and a handful of environment friendly modern green brick manufacturing projects.

Development Partners

The nature of financing requirement for large scale infrastructure projects vis-à-vis augmentation of BIFFL's loan portfolio demands alternative financing solutions from development partners i.e. World Bank JICA, ADB, KfW, etc. BIFFL is already is in the process of having/has access to the following development partners' loans:

JICA

Under the Japanese ODA loan package, GoB and Japan have signed an agreement on Energy Efficiency and Conservation Promotion Financing Project (BD-P90) of JPY 13,098 million financed by JICA out of which JPY 9,978 million is available to BIFFL for refinancing the eligible projects. Besides, BIFFL will receive JPY 574 million as Technical Assistance for 6 years as grant. SREDA as an agent for GoB will be providing technical support. A number of projects have already been acceptable for refinance under this scheme and awaiting disbursement.

GoB is also committed to establish a separate Special Economic Zone for potential Japanese investors to facilitate investment in infrastructure, transport, power, energy and RMG sector of Bangladesh and expand bilateral trade relationship. The fund from JICA (the development partner) would be channeled to BIFFL through GoB for injecting equity along with Japanese investors to form a Special Purpose Company in order for implementing the project.

IPFF-II

As an eligible Participating Financial Institution, BIFFL is going to have access to Long-Term Infrastructure Financing Component (USD 403.7 million) under IPFF-II of the World Bank for onlending and investment in support of long-term infrastructure projects by private sector investors. In addition to conventional debt, this component will support leveraging the market through innovative and diverse financial instruments. BIFFL will be playing the lead role to develop the innovative instruments and pilot the same based on market responses to utilze an indicative amount of USD 30 million allocated for this purpose. Besides, BIFFL is also entrusted with the responsibility for creating, promoting and developing innovative infrastructure finance instruments utilizing the tentative allocation of USD 2 million under Technical Assistance Component.

ADB

BIFFL is also working with Asian Development Bank to avail proposed Infrastructure Finance Support Facility for Bangladesh, a sovereign facility to expand availability of long term funds for infrastructure development with a focus on PPP modality. The proposed project envisages a USD 200 million (including a Viability Gap Fund Component of USD 75 million for the Government) long-term credit line to BIFFL for re-lending to eligible sub-projects structured through PPP modality. The fund is expected to be available by third quarter of 2018.

HUMAN RESOURCE

We are developing BIFFL and its culture in such a way where our employees are trained, developed and empowered to work and achieve our business goals.

BIFFL not only committed to provide leadership and expertise that promotes excellence in work built on the competence, integrity, respect and professionalism but also plays critical roles in achieving the business objectives through its focus on human resources.

A talented and skilled workforce is the lifeblood of every organization. In support to that BIFFL is helping employees develop skills and expertise, new ways to accomplish target, leadership skills both soft and hard skills within its culture that encourage diversity in all ways always. This culture helps us attract and retain the best leaders and talents which is critical to reach at a new height.

- Talent development
- Career development
- Compensation management
- Health and safety
- Employees performance

Our workforce, totalling around 57 people, is our most powerful capital to reach our business targets.

The primary task of our human resource team is to ensure right people in the right place at the right time. BIFFL HR always consult with all department to determine future manpower requisition. Through talent acquisition, talent development and succession planning, BIFFL try to meet such manpower requisition as efficiently as possible. BIFFL always recruits talents from the best educational institution through competitive examination which is conducted by the best university like IBA, Dhaka University, BUET, BIBM. BIFFL not only recruits best talents but also grooms up these talents so that they can become future business leaders in the industry. In the year 2017, a good number of employees from senior level to entry level participated in various training programs, at home and abroad.

Our employees are reviewed against their job objective annually depending on their job roles. Our performance appraisal process enables us to emphasize on the growth of our employees as well as identity their leaning and career development need. Our employees are also encouraged to work on areas where there is scope of improvement. We are also get to identify our high-potential employees for our succession planning program. This process also helps us to ensure that the contributions of our employees are properly recognized and appropriately rewarded.

Challenges:

- Ensuring work life balance
- Managing technological changes
- Maintaining a vibrant and friendly work environment
- Retaining talents
- Upscaling employee motivation

WOMEN ENTREPRENEUR DEVELOPMENT

In Bangladesh, it is women and girls who are often affected by poverty and discrimination. Generally, women and girls are not allowed to make decisions about their household's income. Tradition and culture forbid them to leave their homes for outdoor jobs. As a result, half of the population cannot contribute to their family's and community's economic development. A great resource goes untapped. Women are an important part of our society , need to overcome poverty for overall development of the society . They play a key role in navigating their family and their community to a better life. "When women earn an income, they reinvest 90 percent of it in their families. She raises her family income by up to 20 percent". *(Sources: Care Bangladesh, Women Empowerment)*. Empowerment is the total sum of changes needed for a woman to realize her full human rights. Empowerment is not just about giving women training or a loan. It means that relationships and social structures that shape the lives of women and girls must change.

Government is very much cautious about attaining the SDGs in every aspect in due time and get the status of a middle income country by 2021 and a higher middle income country by 2030. To achieve the target in time. Government has given emphasis on women empowerment.

BIFFL's long term vision is to bring Women Entrepreneurs beyond micro level to larger scale business initiatives. We are focused on women exercising greater choice in decisions affecting their lives and the emergence of strong social movements built on women's solidarity and participation. Its aim is to remove the stereotype about women's incapacity to develop and run big businesses through encouraging women to explore unconventional business opportunities for them. Therefore, BIFFL 'Shoilee' offers customized financing facilities as per business/project requirements for Women Entrepreneurs to give them an extra edge to succeed. BIFF has signed a participation agreement with Bangladesh Bank under the "Small Enterprise Sector" refinancing scheme on 17July, 2017. In this regards, a dedicated Women Entrepreneur Desk has been established on 21 March, 2016. It offers interest rate less than those of the commercial banks.

A short description of activities of WEDU is given below:

In 2017, BIFFL allocated BDT 10 cores to be invested by WEDU.

Refinancing agreement was signed on 17th July, 2017 between BIFFL and Bangladesh Bank.

We financed women entrepreneurs at Jamdani polli, Rupganj, Narayanganj, as a cluster of woman entrepreneurs.

Currently, we are working for more than 15 projects under SME.

By the end of first quarter 2018, BDT 2 cores is expected to be disbursed.

We expect strong continuity of WEDU and financially progress of Women in Bangladesh. A country's overall development is possible only when all of its population included in the production and service sectors.

BIFFL TEAM

Units in BIFFL

Investment

Accounts & Finance and Treasury

HR & Administration

Compliance and Legal

Photographs of the 6th AGM

বাংলাদেশ ইনফ্রাস্ট্রাকচার ফাইন্যান্স ফান্ড লিমিটেড

BANGLADESH INFRASTRUCTURE FINANCE FUND LIMITED

4, Anjuman Mufidul Islam Road, Kakrail, Dhaka -1000, Bangladesh.
PABX-880-2-8333238-9; FAX-880-2-9348518; WEB: http://www.biffl.org.bd

Ref. No- BIFFL/CS-2.2.1/2018
Date: 8 March 2018

NOTICE

The 7th Annual General Meeting

The 7th Annual General Meeting (AGM) of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year ended on 31st December 2017 will be held on Tuesday, 27 March 2018 at 7.00 p.m. at at Bangabandhu International Conference Center (BICC), Agargaon, Dhaka-1207 to transact the following business:

AGENDA:

- To approve the Director's Report and audited financial statements for the year ended on 31 December 2017;
- To approve and declare the Dividend for the FY 2017;
- To elect /re-elect the Director(s);
- To appoint /reappoint the Auditors for the FY 2018 and fix their remuneration.

By order of the Board of Directors,

Mohammad Khan, FCS
Company Secretary
Cell phone- 01841655302
Email: mohammad.khan@biffl.org.bd

DIRECTORS' REPORT

On behalf of the Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) I have the pleasure to present the Director's Report together with Audited Financial Statements for the year ended on 31 December 2017 before the Shareholders and other Stakeholders of the organization. This report has been prepared in compliance with section 184 of the Companies Act, 1994, Financial Institutions Act, 1993 and rules and regulations of Bangladesh Bank, Bangladesh Securities and Exchange Commission (BSEC), Bangladesh Accounting Standards (BAS) as well as Bangladesh Financial Reporting Standards (BFRS).

Key strategic pillar of business

Bangladesh is moving fast on the development highway with increasing economic growth to become a middle-income nation by 2021 and a developed country by 2041. The Vision 2021 and the associated Perspective Plan 2010-2021 have set solid development targets for Bangladesh by the end of 2021. Those targets, if achieved, will transform the socio-economic environment of Bangladesh from a low-income economy to a middle-income economy. Along with higher per capita income, Vision 2021 lays down a development scenario where citizens will have a higher standard of living; better education; will receive better social justice; equitable socio-economic environment; and the sustainability of development through better protection from climate change concerns and natural disasters.

Bangladesh's progress is a mosaic of solid achievements sans some disappointments in few areas such as a portion of our people still lack access to electricity, reliable transport, safe drinking water, proper sanitation and communication facilities which prevents the economy from realizing the optimum growth potentials. The main reason for inadequate infrastructure is insufficient investment and lack of resources. According to the report of Asian Development Bank (ADB), the average infrastructure investment as % of GDP in some South-East Asian countries are as follows:

Country	% on GDP
Vietnam	5.7
India	5.4
Nepal	2.6
Myanmar	2.5
Bangladesh	1.8

Source: Meeting Asia's Infrastructure Needs, ADB, 2017

The Government of Bangladesh (GoB) has prioritized Public Private Partnership (PPP) program as a key initiative for increasing investment in infrastructure and supporting the realization of vision 2021 as well as Sustainable Development Goals (SDG) 2030.

BIFFL was formed as a special purpose vehicle for financing to accelerate economic growth by leveraging the relative strengths of the public and private sector in financing infrastructure and sustainable development projects. Since the country lacks adequate infrastructures due to inadequate resources of the Government, and the conventional banking system does not have capacity to finance long-term infrastructure projects (more than 5 years), BIFFL can contribute to the growth of economy by extending long-term financing facilities for the development of infrastructure projects. The main objective of the organization is to promote country's economic development by facilitating and encouraging private sector investment in infrastructure projects as a professional financial institution by adopting internationally accepted best practices and maintaining highest level of moral and ethical standards.

The World Economy

The last decade has been punctuated by a series of broad-based economic crises and negative shocks, starting with the global financial crisis of 2008–2009, followed by the European sovereign debt crisis of 2010–2012 and the global commodity price realignments of 2014–2016. As these crises and the persistent headwinds that accompanied them subside, the world economy has strengthened, offering greater scope to reorient policy towards longer-term issues that hold back progress along the economic, social and environmental dimensions of sustainable development. In 2017, global economic growth is estimated to have reached 3.0%, a significant acceleration compared to growth of just 2.4% in 2016, and the highest rate of global growth recorded since 2011. Labor market indicators continue to improve in a broad spectrum of countries, and roughly two-thirds of countries worldwide experienced stronger growth in 2017 than in the previous year. At the global level, growth is expected to remain steady at 3.0% in 2018 and 2019.

The World Bank forecasts global economic growth to edge up to 3.1% in 2018 after a much stronger-than-expected 2017, as the recovery in investment, manufacturing, and trade continues. Growth in advanced economies is expected to become moderate slightly to 2.2% in 2018, as central banks gradually remove their post-crisis accommodation and the upturn in investment growth stabilizes. Growth in emerging market and developing economies as a whole is projected to strengthen to 4.5% in 2018, as activity in commodity exporters continues to recover amid firming prices.

Economic Growth of Bangladesh

Bangladesh has maintained an impressive track record on growth and development. In the past decade, the economy has grown at nearly 6% per year, and human development went hand-in-hand with economic growth. In FY2017, Bangladesh Economy grew by 7.28%, up from 7.1% in FY2016. This growth was mainly supported by industry and service sectors.

Bangladesh aspires to be a middle-income country by 2021. This will require increasing GDP growth to 7.5% to 8 % per year based on accelerated export and remittance growth. Both public and private investment will need to increase as well. Growth will also need to be more inclusive through creation of productive employment opportunities in the domestic economy. To sustain accelerated and inclusive growth, Bangladesh will need to manage the urbanization process more effectively, as well as prepare for adaptation to climate change impacts.

KEY Economic Challenges to Improve in 2018

Key economic challenges to improve in 2018 include, macroeconomic stability, revenue mobilization, reducing energy and infrastructure deficit, financial sector and trade reform, urban management, labor skill development, service sector development, higher education management and quality assurance etc. Despite the political stability, reducing distortion in environment is also important for a sustainable growth.

Reference:
Perspective Plan of Bangladesh (2010-2021)
World's economic situation and prospect (WESP)-2017 report;
Bangladesh Bank Annual Report 2017
www.worldbank.org/en/country/bangladesh/overview

Operation and Performance of BIFFL

Established in 2011, BIFFL financed 43 projects with an amount of BDT 17.16 crore in Power and Energy, Transport and Communication, Economic Zones, Green and Energy Efficient Projects and also Heath sector of the country. According to its 5-Year Strategic Investment Plan (2017-2021) BIFFL has been working to finance about BDT 13,751 crore by 2021 where the proposed investment allocation is 29% for Power Sector, 20% for Economic Zones, 12% for Green and Renewable Projects, 20% for Transport and Communication, 8% for Tourism Infrastructure, 5% for Social Infrastructure, 2% for Women Entrepreneurs, and 4% for other Infrastructure Projects. Considering the infrastructure funding requirement in the country till 2021, BIFFL's proposal would account for only 2.22%.

Out of the proposed investment, BDT 6,118 crore is expected to be financed from BIFFL's own sources and rest of the amount from the Development Agencies as secured / unsecured loans; through issuance of local / foreign currency bonds; through private equity placement and initial public offering (IPO) of Shares; from investment by strategic partner(s); and taking loans from the GoB.

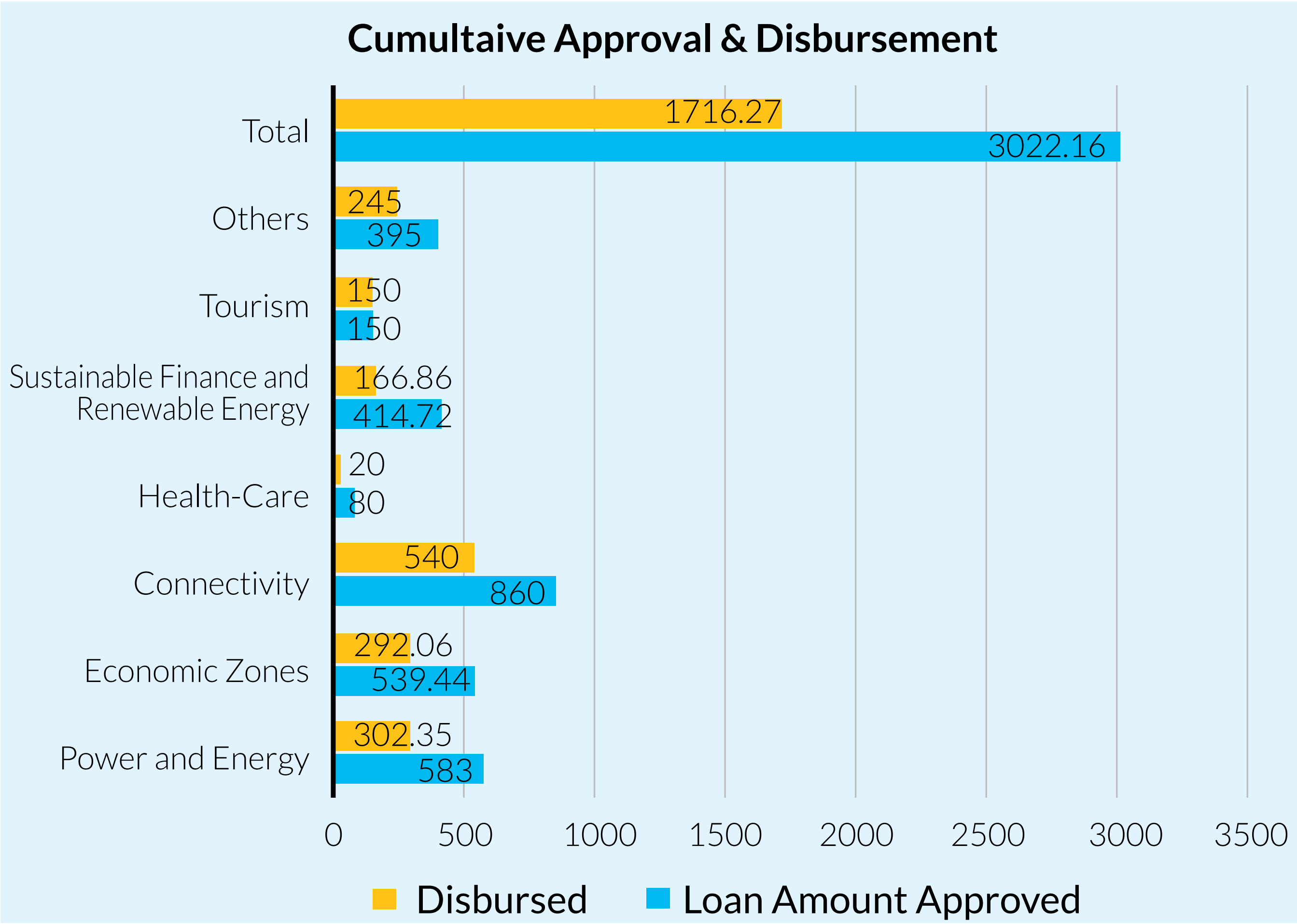
BIFFL Board in its 55th meeting held on 31J uly 2017 accorded its consent to proceed for issuance of Bond and Raising of Capital through Private Equity Placement and IPO. Meanwhile, the company has started working for Issuance of Bond for raising fund of BDT 500 crore. Besides, the process of appointing Issue Manager is going on for raising of capital through private equity placement and IPO.

Performance in 2017:

Compared to the previous years, 2017 was a prolific business year for BIFFL. Despite having some shortcomings and adverse situations, the company continued to expand its investment in diverse sectors. The investment portfolio of the company is as follows, which significantly impacts infrastructural development of the country:

Figures in BDT crore

Sector	Loan Amount Approved	Disbursed
Power and Energy	583.00	302.35
Economic Zones	539.44	292.06
Connectivity	860.00	540.00
Health-Care	80.00	20.00
Sustainable Finance and Renewable Energy	414.72	166.86
Tourism	150.00	150.00
Others	395.00	245.00
Total	**3,022.16**	**1,716.27**



The company has completed the FY2017 and got the financial transactions audited by the external auditor. Key Financial Information:

BDT in crore

Parameters	2017	2016	% Change
Total Asset	2,582	2,443	**5.70%**
Current Liabilities	318	244	**30.20%**
Capital/Shareholders Equity	2,264	2,199	**3.00%**
Total Revenue	165	155	**6.60%**
Total Operating Expenses	13	10	**25.10%**
Total Profit before Provision & Income Tax	152	145	**5.40%**
Provision of Loan Lease & Advances	8	6	**34.90%**
Provision for Income Tax	64	61	**4.20%**
Net Profit after Income Tax	80	77	**4.00%**
Earnings per Share (EPS)	3.91	3.76	**4.00%**

As per the audited financial statements, 2016 the Net Profit after Tax and Provision was BDT77.34 crore and the accumulated retained earnings was BDT 64.80 crore after the Statutory Reserve. BIFFL declared dividend for the FY2016 as follows:

Cash Dividend of BDT 15.00 crore and Stock Dividend of BDT49.00 (BDT64.00 crore in total) to the GoB represented by the Finance Division, MOFagainst its shareholdings.

As per the Audited Accounts as on 31st December 2017, the Net Profit after Tax and Provision of the FY2017 is BDT80.41 crore and the accumulated retained earnings is BDT 65.13 crore (after Statutory Reserve of BDT16.00 core) at the end of the year, 2017. The Board in its 62nd meeting held on 11 March 2018 recommended the Dividend for the year 2017 as follows:

Cash Dividend of BDT15.00 crore and Stock Dividend of BDT49 (BDT64 crore in total) to the GoB represented by the Finance Division, MoFagainst its shareholdings.

Shareholding Structure

Sharehoders	Number of Shares held at the end of years						
	2011	2012	2013	2014	2015	2016	2017
Finance Division Ministry of Finance (MoF)	159999984	159999984	159999984	159999984	193999984	200999984	205899984
Secretary Finance Division, MoF	10	10	10	10	10	10	9
Secretary Bridges Division Ministry of Road Transport and Bridges (MoRTB)	1	1	1	1	1	1	1
Secretary Economic Relations Division, MoF	0	0	0	0	0	0	1
Secretary Energy & Mineral Resource Division, Ministry of Power, Energy and Mineral Resources(MoPEMR)	1	1	1	1	1	1	1
Secretary Power Division, MoPEMR	1	1	1	1	1	1	1
Secretary Road Transport and Highways Division, MoRTB	1	1	1	1	1	1	1
Secretary Prime Minister's Office	1	1	1	1	1	1	1
Additional Secretary Finance Division, MoF	1	1	1	1	1	1	1
Total	160000000	160000000	160000000	160000000	194000000	201000000	205900000

Board of Directors

The Board of Directors of BIFFL comprises eight nominated senior officials from different Ministries of the Government and a fulltime Executive Director & Chief Executive Officer (CEO) appointed from the private sector.

The Board provides the policy supports, decisions and approvals of the Investment / Financing and Management functions of the organization. The CEO is responsible to conduct the day to day business operation of the company and discharge his duties and responsibilities under the supervision and control of the Board.

Change of Directors (from Jan 2017 to March 2018):

In order of the date of joining:

Name	Designation	Date of 1st Appoint...	Appointment/ Re Appoint...	Cease of Directorship	Remarks
A.R.M Nazmus Sakib	Director	3-Nov-11	15-May-17	6-Feb-18	Ceased
M.A.N. Siddque	Director	15-Dec-11	-	7-Nov-17	Ceased
Khandker Anwarul Islam	Director	15-Dec-11	15-May-17	-	Continuing
Monowar Islam,ndc	Director	8-May-13	-	20-Feb-17	Ceased
Mahbub Ahmed	Chairman	19-Aug-14	-	20-Feb-17	Ceased

Name	Designation	Date of 1st Appoint...	Appointment/ Re Appoint...	Cease of Directorship	Remarks
Suraiya Begum, ndc	Director	11-Apr-15	15-May-17	6-Feb-18	Ceased
Nazimuddin Chowdhury	Director	13-Jan-16	-	-	Continuing
Dr. Ahmad Kaikaus	Director	20-Feb-17	-	-	Continuing
Hedayetullah Al Mamoon, ndc	Chairman	2-Mar-17	-	7-Nov-17	Ceased
Kazi Shofiqul Azam	Director	11-Sep-17	-	-	Continuing
Mohammad Muslim Chow-dhury	Chairman	7-Nov-17	-	-	Continuing
Md. Nazrul Islam	Director	7-Nov-17	-	-	Continuing
Sajjadul Hassan	Director	6-Feb-18	-	-	Continuing
Md. Ekhlasur Rahman	Director	6-Feb-18	-	-	Continuing

Board Meeting and Attendance

In 2017, 14 (fourteen) nos., of Board Meetings were held. All directors attended the meetings complying with the provisions of the Companies Act, 1994 (sec-108) . The attendances of those meetings are as follows:

Directors	No of Meeting	No of attendance	% of presence	No of absence	Absence in the meeting of
Mahbub Ahmed	5	5	100%	-	-
Hedayetullah Al Mamoon, ndc	9	9	100%	-	-
Mohammad Muslim Chowdhury	2	2	100%	-	-
Suraiya Begum, ndc	14	12	86%	2	58th & 59th
Khandker Anwarul Islam	14	12	86%	2	46th & 47th
Nazimuddin Chowdhury	14	10	71%	4	46th,47th,54th & 55th
Dr. Ahmad Kaikaus	14	8	57%	6	46th,47th,48th, 52nd, 53rd & 54th
Kazi Shofiqul Azam	4	2	50%	2	56th & 57th
Nazrul Islam	2	1	50%	1	59th
A.R.M. Nazmus Sakib	14	13	93%	1	55th
S.M. Formanul Islam	14	14	100%	-	-

Attendance in meeting during the FY2018 (as on 26 March):

Directors	Total Meeting	No of attendance	% of presence	Absence	Absence in the meeting
Mohammad Muslim Chowdhury	3	3	100%	-	-
Mr. Suraiya Begum, ndc	1	1	100%	2	Ceased in 60th meeting
Khandker Anwarul Islam	3	2	67%	1	60th Meeting
Mr. Nazimuddin Chowdhury	3	2	67%	1	60th Meeting
Dr. Ahmad Kaikaus	3	2	67%	1	62nd Meeting
Kazi Shofiqul Azam	3	2	67%	1	60th Meeting
Mr. Nazrul Islam	3	1	33%	2	61st & 62nd Meeting
Mr. Sajjadul Hassan	3	1	33%	2	61st & 62nd Meeting
Mr. A.R.M. Nazmus Sakib	1	1	100%	2	Ceased in 60th meeting
Mr. Md. Ekhlasur Rahman	3	3	100%	-	-
Mr. S.M. Formanul Islam	3	3	100%	-	-

Directors Rotation:

Pursuant to the provision conferred in the sec-91(2) of the Companies Act,1994 and the regulations 79-83 of the schedule-I of the Act, one third (1/3) of the Directors are to retire in every AGM in the order of seniority in joining the Board.

Accordingly, the following Directors of BIFFL will retire in the 7th AGM:

SI	Name of Director	Designation	Last Appointment / Re-ap-pointment
1	Nazimuddin Chowdhury	Director	13- Jan-16
2	Dr. Ahmad Kaikaus	Director	20-Feb-17
3	Khandker Anwarul Islam	Director	15-May-17

The retiring Directors would be eligible for reappointment according to the regulation 81 of the schedule-1 of the Act.

BIFFL Board in its 62nd meeting considered the retirement of the above Directors in the ensuing Annual General Meeting (AGM). The Board, on receiving consents of the retiring Director to be re-elected, advised to place the proposal for re-appointment of the retiring Directors in the ensuing AGM.

Board Committees

The Board of Directors of BIFFL constituted two committees consisting of different members of the Board i.e. Executive Committee and Audit Committee. The Board also took note of formation of different committees/ subcommittee like Management Committee, Risk Management Forum, Core Risk Committee, Purchase Committee, Tender Evaluation Committee etc. within the Management.

The Board Committees perform their roles to assists the Board of Directors for decision making, and the other committees/subcommittees are working as per their terms of reference to facilitate the functions of the organization.

Regulatory Compliance

BIFFL has complied with all rules and regulations of the regulators such as RJSC, Bangladesh Bank, BSEC, etc. during the FY2017. The company in its day to day operation complies with the following law, rules and regulations:

a. Financial Institutions Act, 1993;
b. Bangladesh Bank Guidelines;
c. BSEC's Rules and Directives;
d. Memorandums of Association (BIFFL);
e. Articles of Association (BIFFL);
f. Polices and Manuals as approved by its Board.

Corporate Governance

The Advisory Board is the apex body of BIFFL which is to give policy directions according to the national development plan. The Board of Directors is the highest authority of the organization which critically appraises and approves organization's strategic policies and evaluates the performance of the CEO and Management.

BIFFL has been trying to follow the best corporate governance principles in every aspect of its operation. Besides, the Board emphasizes on ensuring transparency and accountability. A separate detailed report on Corporate Governance is included in the Annual Report.

The auditors and its appointment

The Shareholders of BIFFL in its 6^{th} AGM held on 15-05-2017 appointed M/s. Saiful Shamsul Alam (SSACO), Chartered Accountants as the auditor for the FY2017 till completion of the 7^{th} AGM. The auditor verified the closing cash and bank balances on 31-12-2017 and subsequently started audit works on the financial statements and transaction papers of the said year on 07-01-2018, They also verified the financial control procedure of BIFFL.

The Auditors submitted an unqualified opinion on the Financial Statements for the FY2017. According to their opinion, the financial statements had provided a true and fair view of the Balance Sheet as on 31 December 2017, and of its financial performance and cash flows for the year then ended in accordance with Bangladesh Financial Reporting Standards (BFRS) and comply with the Financial Institution Act,1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987 and other applicable laws and regulations. During the audit no material misstatement was identified.

SSACO submitted their expression of interest to be appointed as auditors for FY2018 and requested to increase their audit fee owing to increasing volume of works;

As per circular of Bangladesh Bank (FID Circular No- 03, dated 02-03-1999) an auditor (chartered accounts firms) can be appointed for maximum three consecutive years. In line with that guideline, SSAC is eligible to be appointed for the FY2018;

BIFFL has started working to raise its capital through Private Equity Placement and IPO which is expected to be submitted to BESC in 2019 based on the Audited Financial Statement for the FY2018;

According to the Pubic Issue Rule, 2015 the Issuer Company should place its financial position with various analysis, and the Auditor should certify the financial statements and reports as required by the law. As per the practice, auditors would claim fees for every certificate to be submitted to BSEC;

The Board in its 62nd meeting recommended the shareholders of BIFFL to re-appoint M/s. Syful Shamsul Alam & Co. Chartered Accountants as the auditor for the FY-2018 with remuneration of BDT110,000/- (one lac ten thousand) only excluding VAT and advised the management to place the proposal in the 7th Annual General Meeting for final approval.

Under section 184 of the Companies Act, 1994 and BSEC Corporate Governance Guidelines We Report that:

1. The Financial Statements (FS), prepared by the Management of the company, present the true and fair view of Company's State of Affairs, Cash Flows and Changes in Equity;

2. Books of Accounts are maintained properly;

3. Accounting Policies have been consistently applied in preparation of the FS and the accounting estimates are based on the reasonable judgment;

4. International Accounting Standards (IAS), as applicable in Bangladesh, have been followed in preparation of the FS and any information have been adequately disclosed;

5. The system of financial control seemed effective in design and assumed, that is implemented and monitored effectively;

6. There is no significant doubt upon the company's ability to continue as a Going Concern;

7. The key operating and financial data for the last 5-year at a glance is given;

8. The Board has recommended dividend for the FY2017;

9. During the FY2017, fourteen meetings of the Board of Directors were held where more than 80% presence of Directors were found;

10. Board Committees i.e. Executive Committee and Audit Committee are actively performing their roles;

11. The Shareholding pattern/ownership of the company is fully Government as on 31-12- 2017.

Acknowledgement

The Board of Directors of BIFFL expresses its sincere appreciation and gratitude to its valued Shareholders, Borrowers and other Stakeholders including the Auditors, Bankers, Employees and Business Associates for their continued support and immense cooperation towards the success of the Company. The Board also appreciates Bangladesh Bank, Bangladesh Securities and Exchange Commission, Registrar of Joint Stock Companies and Firms, National Board of Revenue for their valuable guidance and cooperation being extended to BIFFL from time to time. The Board also thanks M/s Saiful Shamsul Alam & Co., Chartered Accountants for their audit works and unqualified opinion for the FY2017.

The Board believes that BIFFL will be able to play a significant role in acceleration of economic growth by leveraging the relative strengths of the public and private sector in financing infrastructure and sustainable development projects in Bangladesh.

For and on behalf of the Board of Directors,

Mohammad Muslim Chowdhury
Chairman

AUDITORS' REPORT

Auditor’s Report and Financial Statements as at and for the year ended on 31 December 2017

INDEPENDENT AUDITORS' REPORT

To the shareholders of Bangladesh Infrastructure Finance Fund Limited

We have audited the accompanying financial statements of Bangladesh Infrastructure Finance Fund Limited ("the Company"), which comprises the Balance sheet as at 31 December 2017, and the Profit & Loss account, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements of the Company that give a true and fair view in accordance with Bangladesh Financial Reporting Standards (BFRS) as explained in note 2.01, the Financial Institution Act 1993, the rules and regulations issued by the Bangladesh Bank, the Securities and Exchange Rules 1987, the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements of the financial statements of the Company that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements of the Company based on our audit. We conducted our audit in accordance with Bangladesh Standards on Auditing (BSA). Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements of the Company are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements of the Company. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the financial statements of the Company, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements of the Company that give a true and fair view and design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements of the Company.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements of the Company give a true and fair view of the Balance sheet of the Company as at 31 December 2017, and of its financial performance and cash flows for the year then ended in accordance with Bangladesh Financial Reporting Standards (BFRS) as explained in note 2.01 and comply with the Financial Institution Act 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act 1994 and other applicable laws and regulations.

Report on Other Legal and Regulatory Requirements

We also report that:

i) we have obtained all the information and explanation which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof and found satisfactory;

Dhaka

ii) in our opinion, proper books of account as required by law have been kept by the Company so far as it appeared from our examination of those books;

iii) the balance sheet and profit and loss of the Company together with annexed notes from 1 to 45 dealt with by the report are in agreement with the books of account and returns;

iv) the expenditure incurred was for the purpose of the Company's business;

v) the financial statements of the Company have been drawn up inconformity with the Financial Institution Act 1993 and in accordance with the accounting rules and regulations issued by the Bangladesh Bank to the extent applicable to the Company;

vi) adequate Provisions have been made for leases loans and advances and other assets which are doubtful of recovery;

vii) statements sent to Bangladesh Bank has been checked on sample basis and no inaccuracy has come to our attention;

viii) taxes and other duties collected and deposited to Government treasury by the company as per Government instructions found satisfactory;

ix) nothing has come to our attention that the company has adopted any unethical means i.e. 'window dressing' to inflate the profit and mismatch between the maturity of assets & liabilities;

x) proper measures have been taken to eliminate the irregularities mentioned in the inspection report of Bangladesh Bank and the instructions issued by Bangladesh Bank & other regulatory authorities have been found complied;

xi) the internal control and compliance of the company is satisfactory, and effective measures have been taken to prevent possible fraud, forgery and internal policies are being followed;

xii) the Company has complied with relevant laws pertaining to capital, reserve & net worth, cash & liquid assets and procedure for sanctioning & disbursing loans/leases found satisfactory;

xiii) the financial statements of the Company conform to the prescribed standards set in the accounting regulations issued by the Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;

xiv) we have reviewed over 80% of the risk weighted assets of the Company during the course of our audit and we have spent over 1,118 person-hours for the audit of books and accounts of the Company;

Syful Shamsul Alam & Co.

Syful Shamsul Alam & Co.
Chartered Accountants

Place : Dhaka
Dated: 11 March, 2018

Bangladesh Infrastructure Finance Fund Ltd.
Balance Sheet
As at 31 December 2017

Particulars	Notes	Amount in Taka 2017	Amount in Taka 2016
PROPERTY AND ASSETS			
Cash	3	**41,297,117**	**58,603,882**
In hand (including foreign currencies)		100,566	478,374
Balance with Bangladesh Bank and its agents (including foreign currencies)		41,196,551	58,125,508
Balance with other banks and financial institutions	4	**9,402,286,152**	**11,353,250,610**
Inside Bangladesh		9,402,286,152	11,353,250,610
Outside Bangladesh		-	-
Money at call and short notice	5	**60,000,000**	-
Investments	6	**2,497,603,687**	**2,505,544,789**
Government		-	-
Others		2,497,603,687	2,505,544,789
Leases, loans and advances	7	**10,719,748,885**	**7,790,365,136**
Bills purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	**266,993,173**	**296,379,847**
Other assets	10	**2,834,455,153**	**2,426,109,706**
Non-Financial institutional assets	11	-	-
TOTAL PROPERTY AND ASSETS		**25,822,384,167**	**24,430,253,970**
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from banks, other fina al institutions and agents	12	**3,473,688**	**4,385,528**
Deposits and other accounts	13	-	-
Current deposits and other accounts		-	-
Bills Payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	**3,174,767,055**	**2,435,832,316**
Total Liabilities		**3,178,240,743**	**2,440,217,844**
Capital / Shareholders' Equity		**22,644,143,424**	**21,990,036,126**
Paid up capital	15	20,590,000,000	20,100,000,000
Statutory reserve	16	1,402,828,685	1,242,007,225
Other reserve	17	-	-
Retained earnings	18	651,314,740	648,028,901
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		**25,822,384,167**	**24,430,253,970**

Syful Shamsul Alam & Co. Chartered Accountants Dhaka

Particulars	Notes	Amount in Taka 2017	Amount in Taka 2016
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities		-	-
Acceptances and endorsements		-	-
Letter of guarantee		-	-
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
TOTAL OFF-BALANCE SHEET ITEMS INCLUDING CONTINGENT LIABILITIES		-	-

The annexed notes form an integral part of these financial statements.

Chief Financial Officer | **Company Secretary** | **Executive Director & CEO** | **Director** | **Chairman**

Signed in terms of our separate report of even date annexed.

Syful Shamsul Alam & Co.
Dhaka
Chartered Accountants

Dated, Dhaka
March 11, 2018

Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited
Profit and Loss Account
For the year ended 31 December 2017

Particulars	Notes	Amount in Taka 2017	Amount in Taka 2016
Interest income from leases, loans and advances	20	748,241,004	412,661,561
Interest expenses on deposits & borrowings etc.	21	3,232,010	36,272,212
Net interest income		**745,008,995**	**376,389,349**
Investment income	22	175,222,608	111,305,553
Commission, exchange and brokerage		-	-
Other operating income	23	729,908,798	1,059,607,290
Total operating income		**1,650,140,401**	**1,547,302,192**
Salary and allowances	24	39,034,424	25,482,859
Rent, taxes, insurance, electricity, etc.	25	3,663,665	5,228,062
Legal expenses	26	728,641	2,691,756
Postage, stamp, telecommunication, etc.	27	1,553,885	2,117,637
Stationery, printing, advertisements, etc.	28	4,956,661	8,936,393
Managing Director's salary and allowances	29	9,555,876	9,083,160
Directors' fees	30	1,257,088	1,286,705
Audit fees	31	120,050	104,200
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	38,826,235	25,582,091
Other operating expenses	33	26,104,871	20,058,934
Total operating expenses		**125,801,396**	**100,571,797**
Profit before provision		**1,524,339,005**	**1,446,730,395**
Provision for leases, loans and advances	34	80,858,449	59,936,697
Provision for diminution in value of investments		-	-
Other provision		-	-
Total provision		**80,858,449**	**59,936,697**
Total profit before income tax		**1,443,480,556**	**1,386,793,698**
Provision for income tax	35	639,373,258	613,378,700
Net profit after Tax & Provision		**804,107,298**	**773,414,997**
Appropriations:			
Statutory reserve	16	160,821,460	154,682,999
Retained surplus		**643,285,838**	**618,731,998**
Earnings per share (Restated)	36	**3.91**	**3.76**

The annexed notes form an integral part of these financial statements.

Chief Financial Officer | **Company Secretary** | **Executive Director & CEO** | **Director** | **Chairman**

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
March 11, 2018

Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited
Statement of Cash Flows
For the year ended 31 December 2017

	Amount in Taka 2017	Amount in Taka 2016
A. CASH FLOW FROM OPERATING ACTIVITIES:		
Interest receipts in cash	748,241,004	412,661,561
Interest payments in cash	(3,230,562)	(36,272,212)
Dividend receipts in cash	46,918,668	20,015,625
Interest receipts in cash from commercial paper & bond	140,257,766	28,437,500
Cash payments to employees	(49,091,705)	(33,482,961)
Cash payments to suppliers	(12,015,796)	(16,282,092)
Income taxes paid	(397,143,090)	(816,773,044)
Receipts from other operating activities	748,123,755	1,059,607,290
Payments for other operating activities	(26,104,871)	(30,794,922)
Cash generated from operating activities	**1,195,955,169**	**587,116,746**
Increase/(decrease) in operating assets and liabilities,		
Statutory deposits		
Loans and advances to other banks	-	-
Loans and advances to other customers	(2,929,383,749)	(3,432,096,686)
Other assets	(21,089,193)	149,655,700
Borrowings from bank	(911,840)	(743,731,421)
Deposits from other banks/borrowings		
Other liabilities	(3,375,000)	62,828
	(2,954,759,782)	**(4,026,109,580)**
Net cash used in operating activities	**(1,758,804,613)**	**(3,438,992,834)**
B. CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of property, plant and equipment	(7,407,712)	(169,967,787)
Investment/Proceed from securities	7,941,102	(2,505,544,789)
Net cash flow from/(used in) investing activities	**533,390**	**(2,675,512,576)**
C. CASH FLOW FROM FINANCING ACTIVITIES:		
Dividend paid	(150,000,000)	(120,000,000)
Issuance of shares	-	-
Net cash flow from/(used in) financing activities	**(150,000,000)**	**(120,000,000)**
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)	(1,908,271,223)	(6,234,505,410)
E. Effects of exchange rate changes on cash and cash equivalents	-	-
F. Cash and cash equivalents at beginning of the year	11,411,854,492	17,646,359,902
G. Cash and cash equivalents at end of the year (D+E+F)	**9,503,583,269**	**11,411,854,492**
Cash and cash equivalents		
Cash in hand	100,566	478,374
Balance with Bangladesh Bank and its agents bank(s)	41,196,551	58,125,508
Balance with other banks and financial institutions	9,402,286,152	11,353,250,610
Money at call and short notice	60,000,000	-
	9,503,583,269	**11,411,854,492**

The annexed notes form an integral part of these financial statements.

Chief Financial Officer | **Company Secretary** | **Executive Director & CEO** | **Director** | **Chairman**

Dhaka

Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the year ended 31 December 2017

Amount in Taka

Particulars	Paid-up Capital (Tk.)	Statutory Reserve (Tk.)	Retained Earnings (Tk.)	Total (Tk.)
Balance as on 1 January, 2016	**19,400,000,000**	**1,087,324,226**	**849,296,903**	**21,336,621,129**
Net profit for the year	-	-	773,414,997	773,414,997
Dividend paid	-	-	(120,000,000)	(120,000,000)
Issue of share capital	700,000,000	-	(700,000,000)	-
Appropriations made during the year	-	154,682,999	(154,682,999)	-
Balance as on 31 December 2016	**20,100,000,000**	**1,242,007,225**	**648,028,901**	**21,990,036,126**
Balance as on 1 January, 2017	**20,100,000,000**	**1,242,007,225**	**648,028,901**	**21,990,036,126**
Net profit for the year	-	-	804,107,298	804,107,298
Dividend paid	-	-	(150,000,000)	(150,000,000)
Issue of share capital	490,000,000	-	(490,000,000)	-
Appropriations made during the year	-	160,821,460	(160,821,460)	-
Balance as on 31 December 2017	**20,590,000,000**	**1,402,828,685**	**651,314,740**	**22,644,143,424**

The annexed notes form an integral part of these financial statements.

Chief Financial Officer | **Company Secretary** | **Executive Director & CEO** | **Director** | **Chairman**

UHY Syful Shamsul Alam & Co. Chartered Accountants Dhaka

Bangladesh Infrastructure Finance Fund Ltd.

Liquidity Statement

Asset and Liability Maturity Analysis

as at 31 December 2017

Amount in Taka

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand (including balance with Bangladesh Bank and its agents)	100,566	41,196,551	-	-	-	41,297,117
Balance with other banks and financial institutions	1,456,754,967	7,945,531,185		-	-	9,402,286,152
Money at call on short notice	60,000,000	-	-	-	-	60,000,000
Investment	-	819,909,091	1,677,694,596	-	-	2,497,603,687
Loans and advances	-	72,916,778	3,361,828,479	7,178,563,782	106,439,846	10,719,748,885
Fixed assets including land, buildings, furniture and fixtures	-	-	2,307,013	13,073,073	251,613,087	266,993,173
Other assets	55,316,293	44,439,806	2,125,841,365	608,857,689	-	2,834,455,153
Non banking assets	-	-	-	-	-	-
Total Assets (A)	**1,572,171,826**	**8,923,993,411**	**7,167,671,453**	**7,800,494,544**	**358,052,933**	**25,822,384,167**
Liabilities						
Borrowing from banks, financial institutions and agents	-	315,789	947,367	2,210,532	-	3,473,688
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	126,447	11,407,890	910,625,848	2,252,606,869	-	3,174,767,055
Total Liabilities (B)	**126,447**	**11,723,679**	**911,573,215**	**2,254,817,401**	**-**	**3,178,240,743**
Net Liquidity (Gap)/ Excess (A-B)	**1,572,045,379**	**8,912,269,732**	**6,256,098,237**	**5,545,677,143**	**358,052,933**	**22,644,143,424**

Chief Financial Officer **Company Secretary** **Executive Director & CEO** **Director** **Chairman**

Syful Shamsul Alam & Co. Chartered Accountants Dhaka

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act. 1994(ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 20.59 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 9-member Board of Directors. The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road's Division, MoC; Secretary, Bridges Division, MoC; and Additional Secretary, Finance Division, MoF. Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an ex-officio member.

1.1 Nature of business of the company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2.0 Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards (IASs)/International Financial Reporting Standards (IFRSs) so far adopted in Bangladesh as Bangladesh Accounting Standards (BASs)/Bangladesh Financial Reporting Standards (BFRs) by the Institute of Chartered Accountants of Bangladesh, (ICAB) the Financial Institution Act 1993, the Companies Act 1994 and other applicable laws and regulations.

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated December 23, 2009 issued by the Department of Financial Institution and Markets of Bangladesh Bank.

The financial institution has departed from those contradictory requirements of BFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

BFRS:

As per requirements of BAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale" where any change in the fair value at the year-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

2.01.02 Provision on loans and advances

BFRS:

As per BAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categorise, recognise, measure and present financial instruments differently from those prescribed in BAS 39. As such some disclosure and presentation requirements of BFRS 7 'Financial Instruments: Disclosures' and BAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.01.04 Financial guarantees

BFRS:

As per BAS 39 financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

2.01.05 Cash and cash equivalents

BFRS:

Cash and cash equivalents items should be reported as cash item as per BAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Some cash and cash equivalent items such as ‘money at call and on short notice’, T-bills, Prize bond are not shown as cash and cash equivalent. Money at call and on short notice is shown as face item in statement of financial position and T-bills, Prize bonds are shown in Investment.

2.01.06 Non business assets

BFRS:

No indication of non-business assets is found in any BFRS.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-business asset.

2.01.07 **Statement of cash flows**

BFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 **Balance with Bangladesh Bank (CRR)**

BFRS:

Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per BAS 7.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

2.01.09 **Off balance sheet items**

BFRS:

There is no concept of off balance sheet items in any BFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, off balance sheet items e.g. L/C, L/G must be disclosed separately in the face of the statement financial position (balance sheet).

2.01.10 **Disclosure of appropriation of profit**

BFRS:

There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 **Other comprehensive income**

BFRS:

As per BAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.

2.01.12 Loans and advance net of provision

BFRS:

Loans and advances should be presented as net of provisions.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

2.02 Integral components of financial statements

The Financial Statements of the Company include the following components:

1. Statement of Financial Position (Balance Sheet) as at 31 December, 2017.
2. Statement of Comprehensive Income (Profit and Loss A/C) for the year ended 31 December, 2017.
3. Statement of Cash Flows for the year ended 31 December, 2017.
4. Statement of Changes in Equity for the year ended 31 December, 2017.
5. Liquidity Statement as at 31 December, 2017.
6. Notes to the Financial Statements.

2.03 Use of estimate & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and BFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

Syed Shamsul Alam & Co. Chartered Accountants Dhaka

2.03.02 Impairment Losses on Loans and Advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made.

Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorizing them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident.

The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.03.03 Impairment of Available for Sale Investments

The company review their debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgments as applied on the individual assessment of loans and advances. The company also record impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost.

2.03.04 Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.03.05 Fair Value of Property, Plant and Equipment

The Land and Buildings of the company are reflected at fair value. The company engaged independent valuation specialist to determine fair value of land and building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets.

2.03.6 Useful Life-time of the Property, Plant and Equipment

The company review the residual values, useful lives and methods of depreciation of Property, Plant and Equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.03.07 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

2.04 Statement of cash flows

The cash flow statement has been prepared using the Direct Method as mentioned in line with Bangladesh Accounting standard 7 'Statement of cash flows'.

2.05 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with Bangladesh Accounting Standard 1 'Presentation of Financial Statements' and Bangladesh Accounting Standard 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL Ltd. applies the accounting disclosure principles consistently from one period to the next.

2.06 Reporting period

These Financial Statements cover one calendar year from 01 January 2017 to 31 December 2017.

2.07 Presentation and functional currencies

The figures of the Financial Statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.08 Assets and basis of their valuation

2.08.01 Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, balances held with Bangladesh Bank.

2.08.02 Investment in securities

Investment in marketable ordinary shares as well as investment in non-marketable shares have been shown at cost. Full provision for diminution in value of shares has been made as per Bangladesh Bank's Guidelines. Market value of securities has been determined on the basis of the value of securities at the last trading day of the period (last trading day for the year was 31 December, 2017). Unrealized gains on investment was not recognized as income in the Financial Statements.

The company has no investment in securities.

2.08.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans and Off-Balance Sheet Items, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instructions contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.

a) Interest on loans and advances

Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the year. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances

Provision for loans and advances are made on quarter basis as well as year-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of provision

Particulars	All loan/lease
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

d) Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the Statement of Financial Position.

e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.08.04 Property, plant and equipment

2.08.04.01 Owned assets

Own property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per Bangladesh Accounting Standard 16 'Property, Plant and Equipment'.

2.08.04.02 Leased assets

Leasehold assets are accounted for as Finance Lease and capitalized at the inception of the lease at the fair value of the leased property or at the present value of the minimum lease payments, whichever is lower as per Bangladesh Accounting Standard 17 'Leases'. The corresponding obligation under the lease is accounted for as liability.

2.08.04.03 Subsequent expenditures on property, plant and equipment

Subsequent expenditures are capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

2.08.04.04 Depreciation on property, plant & equipment and intangible assets

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged for the full month irrespective of date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & Land Development	0%
Computer & IT Equipment	33.33%
Office Equipment	20%
Furniture & Fixtures	10%
Motor Vehicles	20%
Building	10%
Civil Construction	50%
Accounting Software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

2.08.04.05 Impairment of property, plant and equipment

The carrying amount of the assets should be reduced to its recoverable amount when carrying amount of an asset is exceeding the recoverable amount of that asset. That reduction is an impairment loss hence recognized as expenses in the Statement of Comprehensive Income (Profit or Loss Account).

2.08.05 Leases

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

(a) The company as a lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to income statement on a straight-line basis over the period of the lease.

(ii) Finance lease

Leases of assets where the company has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in current and non-current borrowings. No assets has acquired by the company as a finance lease.

(b) The company as a lessor

Leases where the company does not transfer substantially all of the risk and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned. No assets have given by the company as a lease.

2.08.06 Intangible assets

The Company's intangible assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is presented as a separate line item in the statement of comprehensive income (profit and loss account).

Amortization is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Items of intangible Assets	Estimate useful life
Computer software	2 years

2.08.07 Non-current assets held for sale

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition, management has committed to the sale, and the sale is expected to have been completed within one year from the date of classification.

The company has no such asset which held for sale.

2.08.08 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamp. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial asset from another entity.

2.08.09 Non-business assets

Non-business assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.09 Basis for valuation of liabilities and provisions

2.09.01 Provision for tax

a. Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.

b. Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with Bangladesh Accounting Standard 12 'Income Taxes'. Deferred tax is provided using the liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.09.02 Employees' benefit obligation

Defined contribution plan

The Company started contributory provident fund scheme for its employees as per provident fund rules. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets.

Defined benefit plan

The Company started operating gratuity scheme as per gratuity rules which is administered by the Labour Act 2006.

2.09.03 Write-off

Write-off describes a reduction in recognized value. It refers to recognized or the zero value of an assets. Generally it refers to an investment for which a return on the investment is now impossible or unlikely. The items' potential returns are thus calculated and removed (written-off) from the Company's balance sheet.

2.10 Capital and shareholders' equity

2.10.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.10.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.10.03 Statutory reserve

As per the Financial Institution Regulations 1994 it is required for the company to transfer 20% of its current year's profit after tax to reserve until such reserve equals to its paid up capital.

2.10.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

2.11 Contingent liabilities and contingent assets

A contingent liability is any possible obligation that arises from the past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or any present obligation that arises from past events but is not recognised because:

- it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

- the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits is reliably estimated. Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.12 Materiality, aggregation and off setting

Each material item as considered by management significant has been displayed separately in the financial statements. No amount has been set off unless the Company has legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

The values of any asset or liability as shown in the statement of financial position (balance sheet) are not off-set by way of deduction from another liability or asset unless there exist a legal right therefore. No such incident existed during the year.

2.13 Revenue recognition

2.13.01 Income from lease finance

The lease transactions are accounted for under finance lease in line with IAS -17 as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB). The aggregate lease receivables including un-guaranteed residual value throughout the lease term are recorded as gross receivables while excess of gross receivables over the total acquisition cost including interest during the period of acquiring the lease equipment constitutes the unearned lease income.

2.13.02 Income from direct finance

Direct finance operation consists of long term, short term and working capital finance, books of account for which are maintained based on the accrual method of accounting. Interest earnings from direct finance are recognized as operational revenue periodically.

2.13.03 Dividend income

Revenue is recognised when the company right to receive the payment is established, which is generally when the shareholders approve the dividend.

2.13.04 Other operational income

Other operational income is recognized as and when received. Such income comprises of the following:

a. Appraisal and documentation fees,

b. Commitment fees,

c. Supervision fees,

d Delinquent charge,

e. Due diligence fees, and

f. Miscellaneous receipts.

2.14 Earnings per share

Earnings per shares is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the year. BIFFL calculates EPS in accordance with Bangladesh Accounting Standard 33 'Earnings Per Share' which has been shown in the profit and loss and computation is stated in Note no. 37.

Diluted earnings per share is not required to be calculated for the year as there is no scope for dilution during the year.

2.15 Presentation of operating segments

There are no reportable operating segments of BIFFL as on reporting date according to the definition of operating segments of BAS 14 and BFRS 8.

2.16 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but disclosed the existence of contingent liabilities and assets in the Financial Statements. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.17 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and Advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipments are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.18 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 45 as per Bangladesh Accounting Standards (BAS)-10: 'Events after the reporting period'.

2.19 Compliance report on Bangladesh accounting standards (BAS) and Bangladesh Financial Reporting Standards (BFRSs)

The following Accounting and Reporting Standards are applicable for Bangladesh Infrastructure Finance Fund Limited and which are followed in preparing the Financial Statements of the Company:

Sl. No.	BFRS/ BAS No.	Name of the BFRS/BAS	Status
1	BFRS-1	First Time adoption of IFRS	Not Applicable
2	BFRS-2	Share Based Payment	Not Applicable
3	BFRS-3	Business Combinations	Not Applicable
4	BFRS-4	Insurance Contracts	Not Applicable
5	BFRS-5	Non-current Assets Held for Sales and Discontinued Operations	Applied
6	BFRS-6	Exploration for and Evaluation of Mineral Resources	Not Applicable
7	BFRS-7	Financial Instruments: disclosures	Applied
8	BFRS-8	Operating Segments	Not Applicable
9	BFRS-9	Financial Instruments	Applied
10	BFRS-10	Consolidated Financial Statements	Not Applicable
11	BFRS-11	Joint Arrangements	Not Applicable
12	BFRS-12	Discloser of Interest in Other Entities	Not Applicable
13	BFRS-13	Fair Value Measurement	Applied
14	BAS-1	Presentation of Financial Statements	Applied *
15	BAS-2	Inventories	Not Applicable
16	BAS-7	Cash Flow Statements	Applied
17	BAS-8	Accounting Policies, Changes in Accounting Estimates and Errors	Applied
18	BAS-10	Events after the Balance Sheet Date	Applied
19	BAS-11	Construction Contract	Not Applicable
20	BAS-12	Income Taxes	Applied
21	BAS-14	Segment Reporting	Not Applicable
22	BAS-16	Property, Plant and Equipment	Applied
23	BAS-17	Leases	Applied
24	BAS-18	Revenue	Applied
25	BAS-19	Employee Benefits	Applied
26	BAS-20	Accounting for Government Grants and Disclosure of Government Assistance	Not Applicable
27	BAS-21	The Effects of Changes in Foreign Exchange Rates	Applied
28	BAS-23	Borrowing Costs	Not Applicable
29	BAS-24	Related Party Disclosures	Applied
30	BAS-26	Accounting and Reporting by Retirement Benefit Plans	Applied

31	BAS-27	Consolidated and Separate Financial Statements	Not Applicable
32	BAS-28	Investments in Associates	Not Applicable
33	BAS-31	Interest in Joint Ventures	Not Applicable
34	BAS-32	Financial Instruments: Presentation	Applied
35	BAS-33	Earnings Per Share	Applied
36	BAS-34	Interim Financial Reporting	Applied
37	BAS-36	Impairment of Assets	Not Applied
38	BAS-37	Provision, Contingent Liabilities and Contingent Assets	Applied
39	BAS-38	Intangible Assets	Applied
40	BAS-39	Financial Instruments: Recognition and Measurement	Applied
41	BAS-40	Investment Property	Not Applicable
42	BAS-41	Agriculture	Not Applicable

2.20 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December, 2011. The guidelines came into force from 1 January, 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar – 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The Accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

• The risks pertaining to interest rate related instruments and equities in the trading book;

• Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.21 Stress testing

Stress Testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an Indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

√ Providing forward-looking assessment of risk;
√ Overcoming limitations of models and historical data;
√ Supporting external and internal communication;
√ Feeding into capital and liquidity planning procedures;
√ Informing the setting of an FI's risk tolerance; and
√ Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guidelineshave been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

	Amount in Taka	
	2017	**2016**
3.00 Cash		
Cash in hand (3.1)	100,566	478,374
Balance with Bangladesh Bank and its agents bank(s) (3.2)	41,196,551	58,125,508
	41,297,117	**58,603,882**
3.1 Cash in hand		
In local currency	100,566	478,374
In foreign currency	-	-
	100,566	**478,374**
3.2 Balance with Bangladesh Bank and its agents bank(s)		
Balance with Bangladesh Bank	41,196,551	58,125,508
In foreign currency	-	-
	41,196,551	**58,125,508**

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note 3.4) and Statutory Liquidity Reserve (note 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID Circular No. 06 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004.

3.4 Cash Reserve Requirement (CRR)

CRR has been calculated at the rate of 2.5% on Total Term Deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004. Total Term Deposits means Term or Fixed Deposits, Security Deposit against Lease/Loan and other Term Deposits received from individuals and institutions (except Banks and Financial Institutions).

Required reserve	-	-
Actual reserve held	**41,196,551**	**58,125,508**
Surplus / (Deficit)	**41,196,551**	**58,125,508**

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 5% of total liabilities, including CRR of 2.5% on total term deposits. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

Required reserve	1,875,431	13,994,924
Actual reserve held	9,443,482,703	11,371,726,075
Surplus / (Deficit)	**9,441,607,272**	**11,357,731,151**

4 Balance with other banks and financial institutions		
Inside Bangladesh		
Current accounts (Note-4.1)	97,917	176,795
Short term deposit accounts (Note-4.2)	121,230,612	39,473,248
Fixed deposit accounts (Note-4.3)	9,280,957,623	11,313,600,567
	9,402,286,152	**11,353,250,610**
Outside Bangladesh	**-**	**-**
	9,402,286,152	**11,353,250,610**

The company does not maintain any account outside of Bangladesh

	Amount in Taka	
	2017	**2016**

4.1 Current account

	2017	2016
One Bank Ltd.	33,941	37,166
Dutch Bangla Bank Ltd.	63,976	139,629
	97,917	**176,795**

4.2 Short term deposit account

	2017	2016
One Bank Ltd.	106,892,094	11,354,730
NRB Bank Ltd.	6,869,531	14,022,028
United Commercial Bank Ltd.	6,507,988	6,235,682
Shahjalal Islami Bank Ltd.	847,535	7,850,222
Sonali Bank Ltd.	113,463	10,586
	121,230,612	**39,473,248**

4.3 Fixed deposit accounts

	2017	2016
AB Bank Ltd.	101,537,010	389,767,033
First Security Islami Bank Ltd.	161,588,125	398,758,075
NRB Commercial Bank Ltd.	80,000,001	164,856,022
NRB Bank Ltd.	50,000,000	154,990,832
One Bank Ltd.	31,450,064	215,965,998
Midland Bank Ltd.	50,000,000	-
Union Bank Ltd.	70,959,962	627,952,426
Janata Bank Ltd.	-	-
SBAC Bank Ltd.	42,548,302	278,844,537
IDLC Finance Ltd.	33,285,436	31,445,160
Premier Bank Ltd.	101,550,000	1,268,161,946
Modhumoti Bank Ltd.	50,000,000	-
Shahjalal Islami Bank Ltd.	80,947,375	71,039,733
City Bank Ltd.	100,000,000	-
Delta Brac Housing Corp. Ltd.	104,087,150	248,289,606
Meghna Bank Ltd.	-	111,080,832
EXIM Bank Ltd.	293,177,915	1,001,883,056
Lanka Bangla Finance Ltd.	200,000,000	259,295,817
Trust Bank Ltd.		56,782,548
NRB Global bank Ltd.	191,712,904	526,410,574
Farmers Bank Ltd.	1,239,241,615	1,011,691,331
Al Arafah bank Ltd.	-	345,906,479
National Bank Ltd.	22,165,896	21,055,032
Jamuna Bank Ltd.	-	-
Rupali Bank Ltd.	-	10,000
United Commercial Bank Ltd.	61,519,714	392,315,384
Bank Asia Ltd.	21,696,352	186,271,493
International Leasing and Financial Services Ltd.	711,770,550	301,785,000
ICB Islamic Bank Ltd.	582,351,943	537,141,001
IPDC Finance Ltd.	-	-
IFIC Bank Ltd.	636,743,136	1,313,220,203
FAS Finance & Investment Ltd.	519,806,205	200,892,500
First Finance Ltd.	181,285,517	175,291,900
Premier Leasing & Finance Ltd.	150,000,000	250,000,000
Phoenix Finance & Investment Ltd.	-	104,799,806
Peoples Leasing & Financial Services Ltd.	560,253,865	150,000,000

	Amount in Taka	
	2017	2016
NCC Bank Ltd.	135,673,450	91,131,328
BD Finance & Investment Ltd.	130,000,000	-
Social Islami Bank Ltd.	172,341,869	256,564,915
Mercantile Bank Ltd.	70,000,000	50,000,000
Bangladesh Commerce Bank Ltd.	152,038,335	50,000,000
Bay Leasing & Investment Ltd.	52,487,007	-
BIFC Ltd.	518,243,674	70,000,000
Brac Bank Ltd.	50,000,000	-
Fareast Finance & Investment Ltd.	350,000,000	-
Reliance Finance Ltd.	160,000,000	-
Islami Bank Bangladesh Ltd.	230,000,000	-
Meridian Finance & Investment Ltd.	50,000,000	-
Prime Finance & Investment Ltd.	300,000,000	-
Standard Bank Ltd.	80,494,250	-
Union Capital Ltd.	400,000,000	-
	9,280,957,623	**11,313,600,567**

4.4 Maturity grouping of balance with banks and other financial institutions

On demand	97,917	176,795
Up to 1 month	1,456,754,967	39,473,248
Over 1 month but not more than 3 months	7,945,531,185	8,485,200,425
Over 3 months but not more than 1 year	-	2,828,400,142
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	9,402,384,070	**11,353,250,610**

5 Money at call and short notice

Bangladesh Commerce Bank Ltd.	30,000,000	-
FAS Finance & Investment Ltd.	30,000,000	-
	60,000,000	

6 Investments

Investment classified as per nature:		
Government Bond (Securitiy) (Note -6.1)	-	-
Others investment (Note-6.2)	2,497,603,687	2,505,544,789
	2,497,603,687	**2,505,544,789**

6.1 Government Bond (Securitiy) :

Treasury bills	-	-
National investment bonds	-	-
Bangladesh Bank bills	-	-
Government notes / bonds	-	-
Others	-	-
		-

6.2 Others investment:

Investment in Preference Share (6.2.1)	436,363,632	450,000,000
Investment in Commercial Paper (6.2.2)	1,750,000,000	1,650,000,000
Investment in Bond (6.2.3)	311,240,055	405,544,789
	2,497,603,687	**2,505,544,789**

	Amount in Taka	
	2017	**2016**
6.2.1 Investment in Preference Share		
Summit Barisal Power Ltd.	-	250,000,000
Summit Narayanganj Power Unit-II Ltd.	-	200,000,000
Rajlanka Power Company Ltd.	436,363,632	-
	436,363,632	**450,000,000**
6.2.2 Investment in Commercial Paper		
MAX infrastructure Ltd.	1,000,000,000	400,000,000
Durable Plastic Ltd.	-	500,000,000
Energypac Engineering Ltd.	-	500,000,000
Computer Source Ltd.	250,000,000	250,000,000
Lanka Bangla Finance Ltd.	500,000,000	-
	1,750,000,000	**1,650,000,000**
6.2.3 Investment in Bond		
IDLC Zero Coupon Bond	311,240,055	405,544,789
	311,240,055	**405,544,789**
7 Leases, Loans and advances :		
a) Inside Bangladesh		
Leases (Note -7.1)	-	-
Loans	10,719,748,885	7,790,365,136
Cash credits	-	-
Overdrafts	-	-
Sub-total	10,719,748,885	7,790,365,136
b) outside Bangladesh	**-**	-
Total	**10,719,748,885**	**7,790,365,136**
7.1 Leases	**-**	**-**
7.2 Sector wise leases, loans and advances		
Public sector	4,140,207,975	3,099,044,331
Co-operative sector	-	-
Private sector	6,579,540,910	4,691,320,805
	10,719,748,885	**7,790,365,136**
7.3 Residual maturity grouping of leases, loans and advances		
On demand	-	-
Up to 1 month	-	-
Over 1 month but not more than 3 months	72,916,778	1,012,747,468
Over 3 months but not more than 1 year	3,361,828,479	2,492,916,844
Over 1 year but not more than 5 years	7,178,563,782	2,726,627,798
Over 5 years	106,439,846	1,558,073,027
	10,719,748,885	**7,790,365,136**

		Amount in Taka	
		2017	**2016**
7.4	**Leases, loans and advances on the basis of significant concentration**		
	a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
	b. Leases, loans and advances to Chief Executive Officer and other senior executives	41,618	91,622
	c. Leases, loans and advances to customers groups:	-	-
	d. Leases, loans and advances on sector basis:	-	-
	i) Textiles	664,378,185	-
	ii) Garments and accessories	-	-
	iii) Transport (including marine transport)	3,200,000,000	3,800,000,000
	iv) Chemicals and pharmaceuticals	-	-
	v) Iron, steel and engineering	800,000,000	-
	vi) Agricultural equipment and agro industries	-	-
	vii) Power and energy	244,962,850	270,054,602
	viii) Electronics and electrical	-	-
	ix) Information Technology (IT)	-	-
	x) Paper printing and packaging	-	-
	xi) Plastic	-	-
	xii) Real estate and housing	-	-
	xiii) Food and beverage	-	-
	xiv) Glass and ceramics	467,547,146	102,481,875
	xv) Services	1,202,611,111	518,692,706
	xvi) Others	4,140,207,975	3,099,044,331
	Sub-total	**10,719,748,885**	**7,790,365,136**
7.5	**Leases, loans and advances on geographical basis:**		
	Inside Bangladesh:		
	Urban :		
	Dhaka Division	4,703,595,002	7,790,365,136
	Chittagong Division	1,000,000,000	-
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	-	-
	Sub-total	**5,703,595,002**	**7,790,365,136**
	Rural :		
	Dhaka Division	873,334,797	-
	Chittagong Division	909,055,087	-
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	3,233,763,999	-
	Sub-total	**5,016,153,883**	-
	Outside Bangladesh:	-	-
	Total	**10,719,748,885**	**7,790,365,136**

	Amount in Taka	
	2017	**2016**
7.6 Classification of Leases, loans and advances :		
Unclassified :		
Standard	10,719,707,267	7,790,365,136
Special mention account	-	-
Sub-total	**10,719,707,267**	**7,790,365,136**
Classified :		
Sub-standard	-	-
Doubtful	-	-
Bad/Loss	-	-
Sub-total	-	-
Total	**10,719,707,267**	**7,790,365,136**
7.7 Particulars of loans, advances and leases		
i) Loan considered good in respect of which the Bank/ FI is fully secured	-	-
ii) Loan considered good for which the Bank/FI holds no other security than the debtor's personal security.	-	-
iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	-	-
iv) Loan adversely classified; for which no provision is created.	-	-
	-	-
v) Loan due by directors or officers of the Bank/ FI or any of them either jointly or separately with any other persons.	-	-
vi) Loan due by companies and firms in which the directors of the Bank/FI have interests as directors, partners or managing agent or in case of private companies as members.	-	-
vii) Maximum total amount of advances, including temporary advances made at any time during the year to directors and managers or officers of the Bank/ FI or any of them either severally or jointly with any other persons.	-	-
viii) Maximum total amount of advances, including temporary advances granted during the year to the companies or firms in which the directors of the Bank/ FI have interests as directors, partners or managing agents or, in case of private companies as members.	-	-

	Amount in Taka	
	2017	**2016**
ix) Due from other bank/ FI companies	-	-
x) Information in respect of classified loans and advances:	-	-
a) Classified loans for which interest/ profit not credited to income	-	-
b) Amount of provision kept against loans classified as bad/ loss as at the Balance Sheet date	-	-
	-	-
c) Amount of interest credited to the interest suspense account	-	-
xi) Cumulative amount of written off loans:	-	-
Opening Balance		
Amount written off during the year	-	-
Amount received from written off during the year	-	-
Balance of written off loans and advances yet to be recovered	-	-
The amount of written off loans for which law suits have been filed.		

8 Bills purchased and discounted

Payable inside Bangladesh	-	-
Payable outside Bangladesh	-	-
	-	-

9 Fixed assets including premises, furniture and fixtures:

Cost:		
Opening balance	320,227,976	16,760,189
Addition during the year	7,407,712	303,467,787
	327,635,688	320,227,976
Adjustment during the year	-	-
Closing balance (A)	**327,635,688**	**320,227,976**
Less: Accumulated Depreciation :		
Opening balance	23,848,129	8,908,132
Charged during the year:	36,794,386	14,939,997
	60,642,515	23,848,129
Adjustment during the year	-	-
Closing balance (B)	60,642,515	23,848,129
Written down value (A-B) (Annexure -A)	**266,993,173**	**296,379,847**

10 Other assets

Advance income tax (Note -10.1)	2,662,388,461	2,265,245,371
Interest receivables on FDR	73,640,613	94,462,441
Interest receivables on STL	85,833	-
Security deposit	63,975	63,975
Advance to suppliers	22,542,483	830,255
Office rent receivables	1,932,271	966,132
Deferred tax assets (Note-10.2)	1,019,127	987,182
Advance to staff	78,888	701,923
Receivables against investment (Note-10.3)	71,148,602	62,852,428
Bill Receivables	1,554,899	-
	2,834,455,153	**2,426,109,706**

		Amount in Taka	
		2017	2016
10.1	**Advance income tax**		
	Opening balance	2,265,245,371	2,606,744,317
	Income tax deducted at sources	84,176,834	122,928,325
	Paid during the year	312,966,256	693,844,719
	Less: Adjustment of AIT (Assessment Year 2015-16)	-	1,158,271,990
		2,662,388,461	**2,265,245,371**
10.2	**Deferred tax assets**		
	Opening balance	987,182	369,910
	Deferred tax income during the year	31,946	617,272
		1,019,127	**987,182**
	Tax deductible temporary difference		
	Gratuity payable	2,397,947	2,322,781
	Appliacble tax rate	42.50%	42.50%
	Closing deferred tax assets	**1,019,127**	**987,182**
10.3	**Receivables against investment**		
	Dividend receivable (Note-10.3.1)	11,029,037	7,982,877
	Interest receivable on commercial paper (Note-10.3.2)	56,419,444	53,587,500
	Interest receivable on zero coupon bond (Note-10.3.3)	3,700,121	1,282,051
		71,148,602	**62,852,428**
10.3.1	**Receivable in Preference Share**		
	Summit Barisal Power Ltd.	-	4,434,931
	Summit Narayanganj Power Unit-II Ltd.	-	3,547,946
	Rajlanka Power Company Ltd.	11,029,037	-
		11,029,037	**7,982,877**
10.3.2	**Receivable in Commercial Paper**		
	MAX infrastructure Ltd.	10,752,778	38,150,000
	Durable Plastic Ltd.	-	7,104,167
	Energypac Engineering Ltd.	-	8,333,333
	Computer Source Pvt. Ltd.	20,250,000	-
	Lanka Bangla Finance Ltd.	25,416,667	-
		56,419,444	**53,587,500**
10.3.3	**Receivable in Bond**		
	IDLC Zero Coupon Bond	3,700,121	1,282,051
		3,700,121	**1,282,051**
11	**Non-Financial Institutions Assets**	**-**	**-**
12	**Borrowings from banks, financial institutions and agents**		
	Inside Bangladesh (Note - 12.1)	**3,473,688**	4,385,528
	Outside Bangladesh (Note - 12.2)	**-**	-
		3,473,688	**4,385,528**
12.1	**Inside Bangladesh**		
	Advance from BB Refinance Scheem	3,473,688	4,385,528
		3,473,688	**4,385,528**

Dhaka

		Amount in Taka	
		2017	2016
12.2	**Outside Bangladesh**	-	-
13	**Deposits and other accounts**	-	-

14	**Other Liabilities**		
	Provision for income tax (Note-14.1)	2,952,882,026	2,311,030,387
	Account payables (Note-14.2)	7,953,814	6,259,343
	Advance commercial space rent	966,129	966,129
	Provision for loan, lease & advances	184,376,414	103,517,965
	Deferred tax liabilities (Note-14.3)	5,724,277	8,170,713
	Employee benefit liabilities (Note-14.4)	2,397,947	2,322,781
	Audit fees payable	90,000	65,000
	Advance fees	125,000	-
	Accounts payable - Borak Unique Heights	-	3,500,000
	Interest suspenses account	20,250,000	-
	Interest payable	1,447	-
		3,174,767,055	**2,435,832,316**

14.1	**Provision for income tax**		
	Opening balance	2,311,030,387	2,862,872,525
	Add: Addition during this year	641,851,639	606,429,852
	Less : Adjustment of AIT (Assessment Year 2015-16)	-	1,158,271,990
	Closing balance	**2,952,882,026**	**2,311,030,387**

14.2	**Accounts Payable:**		
	Salary payable	386,858	963,430
	Withholding tax	466,708	503,524
	Withholding VAT	1,066,871	803,622
	Bills payables	6,033,377	3,988,767
		7,953,814	**6,259,343**

14.3	**Deferred tax liabilities**		
	Opening balance	8,170,713	604,592
	Deferred tax (income)/expense during the year	(2,446,436)	7,566,121
		5,724,277	**8,170,713**

Taxable temporary difference		
Carrying amount of fixed assets as per accounting base	266,993,173	296,524,594
Carrying amount of fixed assets as per tax base	253,524,285	277,299,387
Taxable temporary difference on fixed assets	13,468,888	19,225,206
Appliacble tax rate	42.50%	42.50%
Closing defered tax liabilities	5,724,277	8,170,713
Deferred tax liabilities at the beginning of the year	8,170,713	604,592
Deferred tax (income)/expense during the year	(2,446,436)	7,566,121

		Amount in Taka	
		2017	**2016**
14.4	**Employee benefit liabilities**		
	Gratuity payable - ED & CEO	514,800	792,000
	Gratuity payable - Staff	1,883,147	1,617,405
	Total	2,397,947	2,409,405
	Paid during the year	-	86,625
		2,397,947	**2,322,780**
15	**Share Capital:**		
15.1	**Authorized capital**		
	1,000,000,000 Ordinary shares of Tk. 100 each	100,000,000,000	100,000,000,000
15.2	**Issued, Subscribed & Paid up Capital :**		
	205,900,000 shares & 201,000,000 Shares @Tk 100 each	**20,590,000,000**	**20,100,000,000**

15.3 Capital adequacy and Market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

	2017	2016
Tier-1 (Core Capital)		
Fully paid-up capital/ capital lien with BB	20,590,000,000	20,100,000,000
Statutory reserve	1,402,828,685	1,242,007,225
Non-repayable share premium account	-	-
General reserve	-	-
Retained earnings	651,314,740	648,028,901
Minority interest in subsidiaries	-	-
Non- cumulative irredeemable preference shares	-	-
Dividend equalization account	-	-
Other (if any item approved by Bangladesh Bank)	-	-
Sub-Total	**22,644,143,424**	**21,990,036,126**
Deductions from tier-1(Core capital)		
Book value of goodwill and any value of any contingent assets	-	-
Shortfall in provisions required against classified assets	-	-
Shortfall in provisions required against investment in share	-	-
Remaining deficit on account of revaluation of investments	-	-
in securities after netting off any other surplus on the securities	-	-
Any investment exceeding the approved limit	-	-
Investments in subsidiaries which are not consolidated	-	-
Other (if any)	-	-
Sub-Total	**-**	**-**
Total eligible Tier-1 capital	**22,644,143,424**	**21,990,036,126**
2. Tier-2 (Supplementary capital)		
General provision (Unclassified up to special limit+SMA+ off balance sheet exposure)	134,376,414	103,517,965
Assets revaluation reserves upto 50%	-	-
Revaluation reserve for securities upto 50%	-	-
All other preference shares	-	-
Other (if any item approved by Bangladesh Bank)	-	-
Sub-Total	**134,376,414**	**103,517,965**
Deductions, if any	-	-
Total eligible Tier-2 capital	**134,376,414**	**103,517,965**

Syful Shamsul Alam & Co. Dhaka Chartered Accountants

	Amount in Taka	
	2017	**2016**
Total capital	**22,778,519,838**	**22,093,554,091**
Total risk weighted asset	**15,216,900,000**	**7,984,306,514**
Required capital	1,521,690,000	798,430,651
Surplus / (Deficit)	**21,256,829,838**	**21,295,123,440**
Capital Adequacy Ratio (CAR)	149.69%	276.71%
On core capital (Tier-1)	148.81%	275.42%
On supplementary capital (Tier-2)	0.88%	1.30%

16 Statutory reserve

	2017	2016
Opening balance	1,242,007,225	1,087,324,226
Add: Transferred during the year	160,821,460	154,682,999
Closing balance	**1,402,828,685**	**1,242,007,225**

According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective year to statutory reserve.

	2017	2016
17 Other Reserve:	-	-

The company doesn't maintain any other reserve.

18 Retained earnings

	2017	2016
Opening balance	648,028,901	849,296,903
Add: Net profit for the year	804,107,298	773,414,997
	1,452,136,199	1,622,711,900
Less: Transferred to statutory reserve	160,821,460	154,682,999
Less: Stock dividend transferred to paid up capital	490,000,000	700,000,000
Less: Cash dividend transferred to paid up capital	150,000,000	120,000,000
Closing balance	**651,314,740**	**648,028,901**

	Amount in Taka	
	2017	2016

19 Income Statement

19.1 Income

	2017	2016
Interest, discount and similar income	-	-
Interest income on leases, loans and advances (Note-20)	748,241,004	412,661,561
Investment income (Note-22)	175,222,608	111,305,553
Other operating income (Note - 23)	729,908,798	1,059,607,290
	1,653,372,411	**1,583,574,404**

19.2 Expenses

	2017	2016
Interest expenses on deposits, borrowings, etc.: (Notes-21)	3,232,010	36,272,212
Salary and allowances (Note-24)	39,034,424	25,482,859
Rent, taxes, insurance, electricity, etc. (Note-25)	3,663,665	5,228,062
Legal expenses (Note-26)	728,641	2,691,756
Postage, stamp, telecommunication etc. (Note-27)	1,553,885	2,117,637
Stationery, printing, advertisement etc. (Note-28)	4,956,661	8,936,393
Managing Director's salary and allowances (Note-29)	9,555,876	9,083,160
Directors' fee (Note-30)	1,257,088	1,286,705
Auditors' fee (Note-31)	120,050	104,200
Charges on loan losses	-	-
Depreciation and repairs of company's assets (Note-32)	38,826,235	25,582,091
Other operating expenses (Note - 33)	26,104,871	20,058,934
	129,033,405	**136,844,009**

20 Interest income on leases, loans and advances:

	2017	2016
Interest income from term loan (Note - 20.1)	748,241,004	412,661,561
	748,241,004	**412,661,561**

20.1 Interest income from Term Loan

	2017	2016
KSRM Billet Industries Ltd.	37,185,374	-
Best Holdings Ltd.	43,519,295	-
Mirsharai Economic Zone (MEZ)	3,910,976	-
Imperial Hospital Ltd.	2,611,111	-
Sinha Peoples Energy Ltd.	-	80,572,432
Dharmapur Ceramics Industries Ltd.	9,724,210	-
First Auto Bricks Ltd.	4,855,639	-
Oddessy Craft (Pvt.) Ltd.	45,726,185	-
ARB Enterprise	359,861	464,227
First Dhaka Elevated Expressway (FDEE) Company Ltd.	358,250,000	123,323,928
Regent Energy & Power Ltd.	27,400,229	33,480,946
Srehatta Economic Zone	164,736,589	148,462,072
Makrail Auto Bricks Ltd.	14,939,765	2,971,250
Sea Pearl Beach Resort & Spa Ltd.	35,021,769	23,386,706
	748,241,004	**412,661,561**

		Amount in Taka	
		2017	**2016**
21	**Interest expenses on deposits, borrowings, etc.:**		
	Interest expense on SOD loan - Rupali Bank Ltd.	-	10,551,152
	Interest expense on SOD loan - United Commercial Bank Ltd.	1,397,724	1,007,735
	Interest expense on SOD loan - IFIC Bank Ltd.	-	15,334,387
	Interest expense on SOD loan - IDLC Ltd.	-	60,764
	Interest expense on SOD loan - First Security Islami Bank Ltd.	-	87,500
	Interest expense on SOD loan - NRB Global Bank Ltd.	-	324,167
	Interest expense on SOD loan - Farmers Bank Ltd.	988,364	3,956,500
	Interest expense on SOD loan - Janata Bank Ltd.	-	4,783,340
	Interest expense on SOD loan - Premier Bank Ltd.	-	166,667
	Interest expense on SOD loan - EXIM Bank Ltd.	280,000	-
	Interest Expeses-BB Refinancing Scheme	565,921	-
		3,232,010	**36,272,212**
22	**Investment income:**		
	Interest income from commercial paper (Note - 22.1)	117,144,444	82,025,000
	Interest Income from bond (Note - 22.2)	8,113,337	1,282,051
	Dividend Income from preference share (Note - 22.3)	49,964,827	27,998,502
		175,222,608	**111,305,553**
22.1	**Interest income from Commercial Paper :**		
	Bangla Trac Ltd.	-	20,250,000
	Lankabangla Finance Ltd.	25,416,667	-
	Computer Source Ltd.	5,625,000	8,187,500
	Max infrastructure Ltd.	50,602,778	38,150,000
	Energypac Engineering Ltd.	11,666,667	8,333,333
	Durable Plastics Ltd.	23,833,333	7,104,167
		117,144,444	**82,025,000**
22.2	**Interest Income from Bond :**		
	IDLC Zero Coupon Bond	8,113,337	1,282,051
		8,113,337	**1,282,051**
22.3	**Dividend Income from Preference Share :**		
	Summit Narayanganj Power Unit-II Ltd.	8,049,276	12,443,779
	Summit Barisal Power Ltd.	10,064,597	15,554,723
	Rajlanka Power Company Ltd.	31,850,954	-
		49,964,827	**27,998,502**
23	**Other operating income:**		
	Interest revenue (FDR)	706,605,190	1,004,857,271
	Interest on Short Term Loan(STL)	200,556	-
	Interest on SND	5,497,210	27,823,305
	Revenue from fees (Note - 23.1)	11,774,450	21,690,078
	Income from offfice rent	5,831,392	5,236,636
		729,908,798	**1,059,607,290**
23.1	**Revenue from fees**		
	Due diligence fees	990,363	1,924,239
	Loan application fees	880,000	612,725
	Participation fees	9,904,087	262,500
	Delinquency fees	-	18,518,114
	Agency fees	-	200,000
	Legal fees Income	-	172,500
		11,774,450	**21,690,078**

		Amount in Taka	
		2017	**2016**
24	**Salary and allowances:**		
	Salary and allowances	33,438,705	22,705,788
	Bonus	3,625,927	2,030,062
	Gratuity provision	1,969,792	747,009
		39,034,424	**25,482,859**
25	**Rent, taxes, insurance, electricity, etc.**		
	Rent and taxes	1,784,298	2,462,394
	Electricity and WASA bill	1,093,718	1,630,715
	Health insurance premium	484,419	377,688
	Insurance vehicle	301,230	757,265
		3,663,665	**5,228,062**
26	**Legal expenses:**		
	Legal expense	362,721	208,500
	Renewal & registration	355,260	2,482,112
	Stamp cost	10,660	1,144
		728,641	**2,691,756**
27	**Postage, stamp, telecommunication etc.**		
	Postage and courier	15,016	212,397
	Telephone, fax, internet and mobile	450,985	782,398
	Internet & networking expense	487,884	445,992
	Internet bandwith charge (Broadband)	600,000	676,850
		1,553,885	**2,117,637**
28	**Stationery, printing, advertisement, etc.**		
	Printing and stationery	849,756	2,590,984
	Advertisement and publicity	2,715,260	3,469,890
	Books & periodicals	5,375	101,810
	Business development expense	324,120	2,773,709
	Gift expenses	1,062,150	-
		4,956,661	**8,936,393**
29	**Managing Director's salary and allowances:**		
	Remuneration	7,694,676	7,499,160
	Bonus	1,346,400	792,000
	Gratuity	514,800	792,000
		9,555,876	**9,083,160**
30	**Directors' fees :**		
	Directors fees	1,257,088	1,286,705
		1,257,088	**1,286,705**
31	**Audit fees**	**120,050**	**104,200**
32	**Depreciation and repairs of company's assets:**		
	Repair & maintenance	2,031,849	10,642,094
	Depreciation on company's fixed assets (Annexure-A)	36,794,386	14,939,997
		38,826,235	**25,582,091**

	Amount in Taka	
	2017	**2016**
33 Other operating expenses:		
Office maintenance	3,418,399	3,941,400
Training expenditure	1,233,216	2,091,647
Bank charge & commission	3,964,407	1,981,888
Entertainment expenses	1,801,972	2,205,860
Promotional expenditure	6,295,580	2,091,929
Consulatancy fee	255,606	424,192
AGM expenditure	1,184,000	1,529,423
Donation & subscription	-	193,375
Office meeting expenses	-	245,321
Project site supervision expense	2,393,560	613,742
Board meeting expense	1,400,826	1,020,672
Tax consultant fee	368,000	-
Recruitment expense	357,000	1,070,000
Membership expense	203,450	400,000
CIB charge	618,922	662,666
CSR expenses	1,846,742	1,586,819
IT maintenance	763,191	-
	26,104,871	**20,058,934**
34 Provision for leases, loans and advances:		
Provision for classified investments	50,000,000	-
Provision for unclassified leases, loans and advances	30,858,449	59,936,697
	80,858,449	**59,936,697**
35 Provision for income tax:		
Current tax (Note-35.1)	641,851,639	606,429,852
Deferred tax (income)/expense during the year	(2,478,381)	6,948,849
	639,373,258	**613,378,700**
35.1 Current tax expense:		
Income tax expense during the year	641,851,639	602,002,712
Previous year shortage of tax provision	-	4,427,140
	641,851,639	**606,429,852**

36 Earning per Share:

Earning per Share (EPS) is calculated in accordance with Bangladesh Accounting Standard No. 33. Earning per share has been calculated as follows:

	2017	2016
Net profit after tax	804,107,298	773,414,997
Number of ordinary shares outstanding	205,900,000	205,900,000
Earning per Share (restated)	**3.91**	**3.76**

The EPS for the year ended 31 December 2016 is being restated as 4900,000 no. of stock dividend was issued for the year ended 31 December 2016.

37 Related party disclosures:

The company doesn't have any transaction with related party.

38 Unacknowledged debt :

The Company had no claim against it which has not been acknowledged as debt at the balance sheet date.

39 Receivable from directors :

No amount is due from any of the directors of the Company.

40 Disclosure regarding branch :

As at December 2017, the company has no branch in or outside of Bangladesh.

41 Disclosure of Executive Committee :

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met saveral times during the year 2017.

42 Rounding off

Monetary figures in the Financial Statements have been rounded off to the nearest Taka.

43 Authorisation for issue

The Board of Directors at its 62nd meeting of the Board held on 11 March 2018 recommended to the Shareholders a cash dividend BDT 15 crore and stock dividend BDT 49 crore. This will be considered for approval by the Shareholders at the 7th Annual General Meeting (AGM) to be held on 27th March 2018.

44 Events after reporting period

There are no events after the reporting period.

Annexure -A

Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2017

Amount in Taka

Particulars	Cost				Depriciation					Written down value	
	Balance as at 01.01.17	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.17	Rate	Balance as at 01.01.17	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.17	As at 31.12.17	As at 31.12.16
Computer & IT Equipment:											
Scanner & Printer	457,232	97,600	-	554,832	33.33%	156,136	164,028	-	320,164	234,668	301,096
Desktop & Laptop	3,306,476	754,560	-	4,061,036	33.33%	1,368,396	951,453	-	2,319,849	1,741,187	1,938,080
LT Pannel & PFI Plant & PABX	805,282	11,800	-	817,082	33.33%	269,046	315,359	-	584,405	232,677	536,236
Multimedia Projector	243,700	75,500	-	319,200	33.33%	60,985	100,158	-	161,143	158,057	182,715
Projector Screen	20,000	-	-	20,000	33.33%	16,696	3,303	-	19,999	1	3,304
Wifi System	432,000	-		432,000	33.33%	77,318	143,986		221,304	210,696	354,682
Office Equipment	3,117,899	125,504	-	3,243,403	20%	364,341	712,177	-	1,076,518	2,166,885	2,753,558
Electric Meter	9,400	-	-	9,400	10%	3,760	940	-	4,700	4,700	5,640
Wasa Meter	5,980	-	-	5,980	10%	2,272	1,315	-	3,587	2,393	3,708
Civil Construction	1,536,612	-		1,536,612	50%	857,136	679,476		1,536,611	1	679,477
Building	291,527,555	-	-	291,527,555	10%	10,761,712	29,152,756	-	39,914,468	251,613,087	280,765,843
Furniture	2,445,289	166,737	-	2,612,026	10%	345,266	227,951	-	573,217	2,038,809	2,100,023
Vehicle	16,035,191	6,176,011	-	22,211,202	20%	9,279,705	4,341,484	-	13,621,189	8,590,013	6,755,486
Sub total	**319,942,616**	**7,407,712**	**-**	**327,350,328**		**23,562,769**	**36,794,386**	**-**	**60,357,155**	**266,993,173**	**296,379,847**
Intangible assets											
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Sub total	**285,360**	**-**	**-**	**285,360**		**285,360**	**-**	**-**	**285,360**	**-**	**-**
Total	**320,227,976**	**7,407,712**	**-**	**327,635,688**		**23,848,129**	**36,794,386**	**-**	**60,642,515**	**266,993,173**	**296,379,847**

Highlights

Annexure -B

(As per Bangladesh Bank guidelines)

Sl No.	Key Indicators	Amount in Taka	
		2017	2016
1	Paid-up capital	20,590,000,000	20,100,000,000
2	Total capital	22,644,143,424	21,990,036,126
3	Capital surplus	21,256,829,838	21,295,123,440
4	Total assets	25,822,384,167	24,430,253,970
5	Total deposits	-	-
6	Total leases, loans, and advances	10,719,748,885	7,790,365,136
7	Total contingent liabilities and commitments	-	-
8	Cash deposit ratio	-	-
9	Percentage of classified loans against total leases, loans, and advances	-	-
10	Profit after tax and provision	804,107,298	773,414,997
11	Amount of classified loans during current period	-	-
12	Provision kept against classified loans	-	-
13	Provision surplus against classified loan	-	-
14	Cost of fund	-	-
15	Interest earning assets	22,679,638,725	21,649,160,535
16	Non-interest earning assets	3,142,745,443	2,781,093,435
17	Return on investment (ROI)	0.07	0.04
18	Return on assets (ROA)	0.03	0.03
19	Income from investment	175,222,608	111,305,553
20	Earnings per share (EPS)	3.91	3.76
21	Net income per share	3.91	3.76
22	Market price per share	-	-
22	Price earning ratio (Times)	-	-

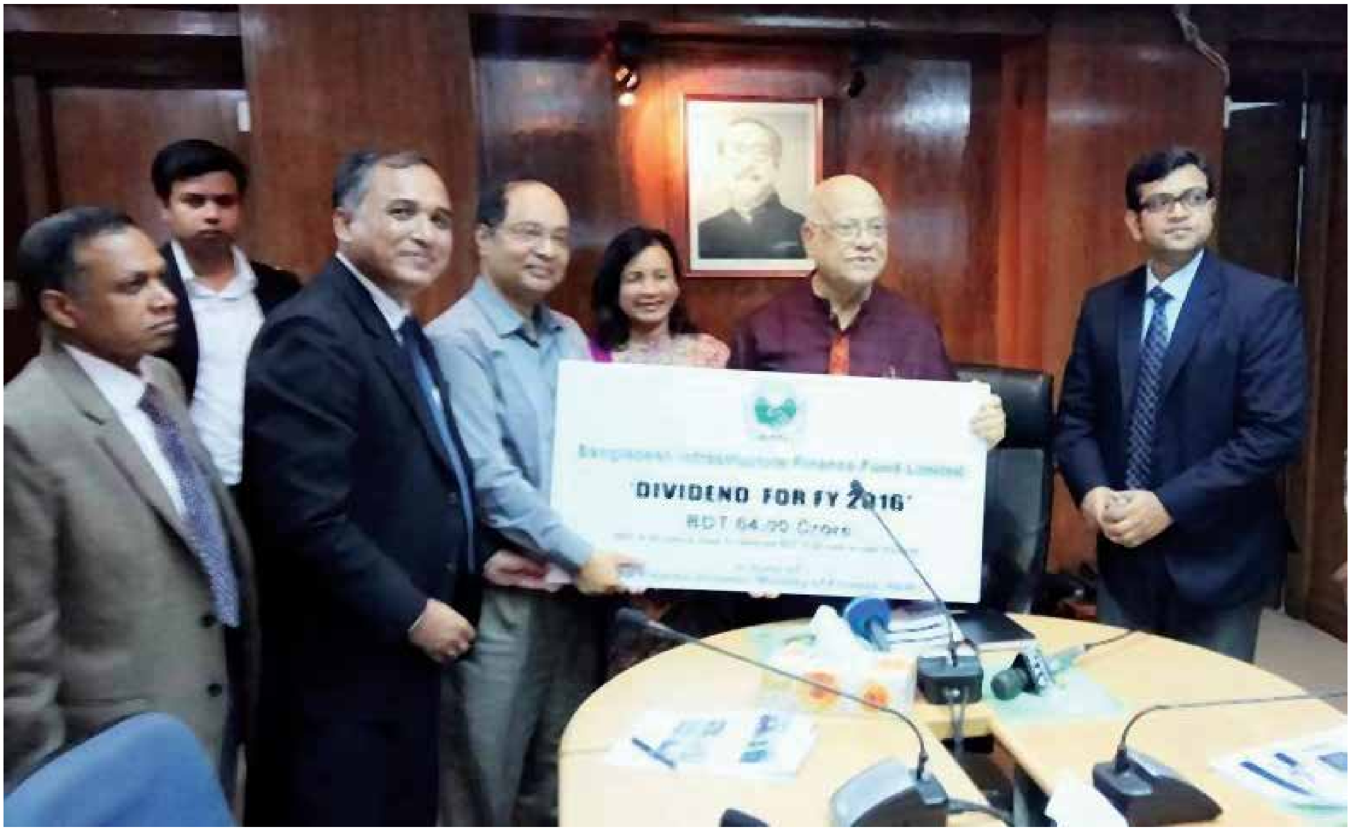
Syful Shamsul Alam & Co. Chartered Accountants Dhaka

Photo archive

CEO of BIFFL greeting Hon'ble Chairman on 6th AGM

Falicitaion to Bari Siddiqui on 6th AGM

Inauguration of Green Brick Convention & Expo 2017



Dividend cheque hand over to Hon'ble Finance Minister for FY-2016

Receiving 2nd largest Tax Payer Award from NBR under NBFI category

Signing ceremony of Letter of Collaboration with Future Carbon Energy Services for Carbon Trading

Signing Ceremony with CRAB & CRISL for Credit Rating


Pohela Boishakh Celebration

One Team, One Dream, Be the Best

Blanket distribution in the Winter season

First Cluster financing to Jamdani Polli under WEDU

Moments of Strategic Meeting at Annual Retreat-2017

Celebration of Roser Mela at Institute of Fine Arts, University of Dhaka

BIFFL Annual Retreat-2017 at Shuvolong Waterfalls (Rangamati)

VOTE OF THANKS

Dear Sir(s),

BIFFL's Management is pleased to organize the 7th Annual General Meeting (AGM) as well as to present the Annual Report, 2017 containing the Directors' Report, Audited Financial Statements along with the Independent Auditors' Report. The Report was endorsed in the 62nd meeting of the Board held on 11 March 2018 and satisfies the requirement of section-184 of the Companies Act, 1994 and the Financial Institutions Act, 1993.

On behalf of the Management, I would like to thank the Honorable Chairman, Members of the Board and the Executive Director & CEO for their immense support and guidance.

I would like to thank all the employees of BIFFL for their effort and sincere works to prepare the Annual Report and organize the AGM.

I am also pleased to convey our deep gratitude to the Finance Division of Ministry of Finance, regulatory authorities, auditors, clients and borrowers and other stakeholders of the organization.

At the same time, I apologize for any mistake and inconvenience in the Annual Report .

Regards.
Sincerely,

Mohammad Khan, FCS
Company Sectary

With You, For the Change

Bangladesh Infrastructure Finance Fund Limited

(A Financial Institution owned by the Government of Bangladesh)

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